

**OROMIA PUBLIC SERVICE COLLEGE
ACCOUNTING AND PUBLIC FINANCE DEPARTMENT**

**ADVANCED ACCOUNTING
MODULE FOR DISTANCE EDUCATION
ACPF 421**

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Table of Contents	Page
Table of Contents.....	i
Course Introduction.....	iv
Course Objective.....	iv
Chapter One: Agency and Principal, Head Office and Branch.....	1
Introduction.....	1
Chapter Objective.....	1
1.1 Distinction between Sales Agency and Branch.....	1
1.2 Characteristics of a Sales Agency.....	2
1.3 Characteristics of a Branch.....	3
1.4 Accounting for Sales Agencies.....	4
1.5 Accounting for Branch Operations.....	5
1.5.1 Reciprocal (Intra-company) Ledger Accounts.....	6
1.6 Billing of Merchandise to Branch.....	7
1.7 Combined (Consolidated) Financial Statements.....	15
1.8 Reciprocal Accounts and their Reconciliation.....	29
1.9 Transaction between Branches.....	31
1.10 Accounting for Foreign Branches and Foreign Currency Transactions.....	33
Check List.....	48
Summary.....	49
Self-Assessment Questions (SAQs) No. 1.....	50
Chapter Two: Joint Venture and Public Enterprises.....	55
Introduction.....	55
Chapter Objective.....	55
2.1 Nature of Joint Ventures.....	56
2.2 Accounting for Joint Ventures.....	57
2.3 Accounting for Investments in Joint Ventures.....	57
2.4 Nature of Public Enterprises.....	59
2.5 Benefits of Public Enterprises.....	61
2.6 Characteristics of Public Enterprises.....	62
2.7 Accounting for Public Enterprises.....	64
2.7.1 Formation of Public Enterprises.....	67
2.7.2 Operation of Public Enterprises.....	68
2.7.3 Privatization of Public Enterprises.....	69
2.7.4 Financial Statements of Ethiopian Public Enterprises.....	72
Check List.....	75
Summary.....	76
Self-Assessment Questions (SAQs) No. 2.....	77
Chapter Three: Installment Contract Sales.....	80
Introduction.....	80
Chapter Objective.....	80
3.1 Characteristics of Installment Sales.....	80
3.2 Methods of Recognition of Profit on Installment Sales.....	81
3.3 Accounting for Installment Sales.....	82
3.4 Defaults and Repossessions, and Trade Ins.....	87
3.5 Interest on Installment Contracts.....	89
Check List.....	91

Summary.....	92
Self-Assessment Questions (SAQs) No.3.....	93
Chapter Four: Consignment Sales.....	97
Introduction.....	97
Chapter Objective.....	97
4.1 Nature of the Consignment Agreement.....	97
4.2 Distinction between Consignment Sales and Regular Sales.....	97
4.3 Accounting for Consignments.....	100
4.4 Allocating Costs on Partial Sales.....	105
4.5 Financial Statement Presentation of Consignment Sales.....	107
4.6 Consignment Reshipments.....	108
Check List.....	108
Summary.....	109
Self-Assessment Questions (SAQs) No.4.....	110
Chapter Five: Leases.....	113
Introduction.....	113
Chapter Objective.....	113
5.1 Basics of Leasing.....	113
5.1.1 Advantages of Leasing.....	114
5.1.2 Conceptual Nature of a Lease.....	115
5.2 Accounting by Lessee.....	116
5.2.1 Capitalization Criteria.....	116
5.2.2 Asset and Liability Accounted Differently.....	119
5.2.3 Capital Lease Method.....	119
5.2.4 Operating Method.....	122
5.2.5 Comparison of Capital Lease with Operating Lease.....	123
5.2.6 Lessee Accounting for Residual Value.....	124
5.2.7 Lessee Accounting for Bargain-Purchase Option.....	128
5.2.8 Lease Issues Related to Real Estate.....	129
5.3 Accounting by Lessor.....	129
5.3.1 Economics of Leasing.....	130
5.3.2 Classification of Leases by the Lessor.....	130
5.3.3 Direct Financing Method.....	131
5.3.4 Operating Method.....	135
5.3.5 Sales-Type Method.....	136
Check List.....	139
Summary.....	140
Self-Assessment Questions (SAQs) No.5.....	141
References.....	145
Answer Key for Self-Assessment Questions (SAQs).....	146
Answer Key for Activities.....	154
Glossary.....	158

Course Introduction

Dear learner, this course is designed to equip you with the knowledge and skills on modern advanced and complex accounting topics and issues.

Accounting is at the heart of the information age. Accounting plays a pivotal and constantly expanding role in modern business. There are different opportunities in accounting, including financial, managerial, taxation, and accounting related. Advanced accounting is one of the many courses in the area of financial accounting that focus on the advanced level study of the accounting and reporting principles used by a variety of business entities. These entities vary considerably in size and complexity in comparison with the single corporate entity that is the focus of intermediate financial accounting. The daily business press carries a multitude of news stories about the many multi corporate business entities that dominate the economy, the effects of foreign events on multinational firms, and numerous other topics involving the subject matter of advanced accounting. This course will help you to deal knowledgeably with the accounting ramifications of such events and reduce your reliance on hunches, guesses, and intuition and, in turn, improves your decision making ability.

The course builds upon the financial accounting framework studied in Introductory as well as Intermediate level Financial Accounting courses. It extends your knowledge of Generally Accepted Accounting Principles (GAAP) through an in-depth examination of the theory and current practice of advanced and complex financial accounting issues for business firms. You will develop an awareness of the underlying rationale for the accounting standards and an appreciation of the characteristics and limitations of accounting. The emphasis throughout this course like intermediate financial accounting is on financial accounting concepts and on the application of these concepts to problems arising in business organizations. The basic philosophy of this module is to provide a strong conceptual foundation for the topics presented so that you will understand the reasoning underlying the procedures that follow.

The course comprises units, in text questions, activities, summaries, self-assessment questions and the like. Dear learner, in order to achieve the knowledge and skills of the course, you are highly expected to do the activities presented in different forms.

Course Objective

Upon completion of the study of this course, you are expected to:

- Discuss the types of joint ventures and appreciate how joint venture transactions and the investments in joint ventures are accounted for;
- Explain the nature of public enterprises and the accounting for its formation, operation, privatization, amalgamation, and dissolution;
- Differentiate installment and consignment sales from ordinary or regular sales and explain how revenues are recognized for such sales;
- Record transactions and prepare combined financial statements for businesses with home office and branch operations; and
- Grasp the accounting concepts of recording foreign currency transactions and translation of foreign currency financial statements of foreign branches.

CHAPTER ONE
AGENCY AND PRINCIPAL, HEAD OFFICE AND BRANCH**Introduction**

Dear learner, the purpose of this unit is to discuss about sales agencies and branches. In their search for increased sales, business organizations are constantly reaching out into areas that are more distant. Frequently salespeople traveling from a central office cannot adequately accomplish the development of these areas. The use of catalogs with mail orders or shipments on consignment may increase sales but may still fail to accomplish the desired results.

Business companies often expand by establishing additional locations in several districts as a means of achieving marketing objectives. Selling activities are conducted from sales offices at different locations under the direction of the home office. Customers deal, not with the headquarters of the business, but with an outlying sales unit. Contact with the organization is more easily and quickly made. The desired goods or services are more readily available. When operations are conducted at more than a single location, the different locations may be referred to as sales agencies, branches, plants, or by numerous other terms. Unfortunately, terminology referring to multiple operating locations is not standardized.

This chapter is subdivided into ten sections. The first and second section introduces you the characteristics of agencies and branches along with their basic differences. Accounting for sales agency is presented in section three of this chapter. From section four up to section eight you will find the accounting for branch operations. Finally this chapter presents to you the accounting treatments made for foreign currency transactions and translation of foreign currency financial statements of foreign branch.

The chapter involves in-text questions, activities, and checklist. You are, therefore, required to deal with these varied exercises in order to get adequate knowledge and skills in the chapter.

Chapter Objective

After studying this chapter, you should be able to:

- State the characteristics of agency-principal and head office-branch relationships.
- Distinguish between agency and branch.
- Describe the accounting for sales agency and the accounting for branch operations.
- Explain the use of reciprocal accounts.
- Discuss the manner how inter branch transactions are recorded.
- Prepare combined financial statements for branch and home office.
- Record foreign currency transactions.
- Translate the accounts of a foreign branch.

1.1 Distinction between Sales Agency and Branch

- ❓ Dear learner, can you list down the differences between sales agency and branch office? Give your answer in the space provided.

When a business enterprise grows and expands its activities it establishes branches to extend its activities and market its output. There are many ways of branching out. A company may form subentities of its own. These subentities may be formal; namely, a separately controlled corporations known as subsidiaries that can operate as separate companies, or they may be informal; namely, sales agencies or branches within a larger company. The concept of responsibility accounting provides the basis for identifying these entities as cost or profit centers; accordingly, expense and revenue data are accumulated for these units of activity in the firm's management. In this topic, we examine the accounting for informal subentities within a larger company.

The difference between a sales agency and a branch most often has to do with the degree of autonomy. A sales agency, sometimes referred to simply as an "agency," usually is not an autonomous operation but acts on behalf of the home office. The agency may display and demonstrate sample merchandise, take orders, and arrange for delivery. The orders typically are filled by the home office because a sales agency usually does not stock inventory. Merchandise selection, advertising, granting of credit, collection on accounts, and other aspects of operating the business usually are conducted by the home office.

By contrast, a branch office usually has more autonomy and provides a greater range of services than a sales agency does, although the degree differs with the individual company. A branch typically stocks merchandise, makes sales to customers, passes on customer credit, collects receivables, incurs expenses, and performs other functions normally associated with the operations of a separate business enterprise. For some companies the branches perform their own credit function, while for other companies credit is handled by the home office. A branch may obtain merchandise from the home office, or a portion may be purchased from outside suppliers. There typically is little management decision making in a sales agency; decisions are made at the home office, and the agency conducts routine operations. The degree of management decision making in branches usually is greater than in sales agencies but differs considerably from company to company.

While one branch manager may be permitted few choices, other branch managers may operate with relative independence from the home office. The manager of an automobile assembly plant, for example, may have no discretion over the quantity and type of units produced and little discretion in the choice of vendors. On the other hand, the manager of a branch grocery store may have considerable discretion in the types and quantities of products to stock and in the choice of vendors. In some banks, loans may be approved by branch management, at least up to a certain limit, while in other banks; all loans must be approved by a centralized loan committee. In large department store chains, branch stores normally are required to stock certain items chosen by the home office, but local management has a choice of other items from a large number specified by central management. In some cases, local management may be free to make purchases entirely on its own.

1.2 Characteristics of a Sales Agency

Sales agency is a unit smaller than branch and with very limited responsibilities agreed upon with the principal. It is a business unit physically removed from the firm's main or home office. Its limited functions include serving as a base for sales personnel in the field, processing

customer orders, and maintaining limited inventories of the company's products. A sales agency usually does not maintain a financial accounting system but only keeps sufficient records to conduct its business. The home office maintains the accounting system, and transactions of the agency are recorded by the home office. More specifically a sales agency often has the following features:

- Carries no inventory of merchandise but only samples,
- Solicits (takes) customer orders and transmits to head office, which approves customer credits and makes shipments directly to customer,
- Accounts receivable of customers are maintained at head office,
- Collections of accounts receivable are made by head office,
- Maintains an imprest fund for payments of its operating expenses.

1.3 Characteristics of a Branch

Branch is an enterprise unit located at some distance from head office (or home office), with given responsibility and independence from the head office. The extent of independence and responsibility varies from company to company and organization to organization, and country to country. More specifically a branch often undertakes the following activities:

- Carries inventories of merchandise,
- Obtains stock from head office or purchases portion of its stock by itself from outside, i.e. suppliers.,
- Makes sales on cash or credit in its local areas,
- Approves customer credits and makes collection on its own receivables,
- Has an imprest fund from which it operates, and accounts to head office to obtain reimbursement,
- Cash received are usually deposited in bank account opened in the name of head office,
- May or may not maintain a branch account of its own and issue own checks, depending on the size of its operation.

The extent of authority and responsibility accorded over these points depend on the extent of independence and responsibility given to the branch which practice varies from company to company and country to country.

A branch does maintain a complete financial accounting system in most cases. The maintenance of separate accounting systems for the home office and each branch often provides better control over operations and allows top management to assess the performance of individual branches.

- ⑨ Dear learner, can you mention the two basic alternative accounting systems that would be used for home office-branch accounting? Provide your answer in the space provided below.
-

Did you try? Good! You will be provided a detail discussion about the two basic types of accounting systems for accounting branch operations in the following sections.

Neither sales agencies nor branches are separate legal or accounting entities; they do not prepare separate external accounting reports. Whether the accounting system is centralized in the home office or separate accounting systems are maintained by individual branches, the external reporting entity is the company as a whole. When separate branch accounting records are maintained for internal purposes, such as responsibility accounting and performance evaluation, the accounts of the branches and the home office must be combined in preparing external accounting reports.

1.4 Accounting for Sales Agencies

- ❓ Dear learner, can you describe how the transactions for sales agencies are accounted for? Give your response in the space provided.
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From an accounting standpoint, the sales agency's accounts are carried on the books of the home office. Transactions are recorded in accounts that identify the particular sales agency, for example, Sales-Awash Agency; Rent Expense-Awash Agency. For some types of transactions, the entries recorded by the home office are based on source documents generated by the agency. For example, the home office may record agency transactions based on sales invoices, payroll records, and documented petty cash vouchers provided by a sales agency. Other transactions may be recorded based on source documents provided by external parties directly to the home office. For example, the utility companies providing gas, electricity, water, and phone service to the agency might bill the home office directly.

An imprest (petty cash) fund is established to provide the agency with cash used for various small expenses. Since rent, payroll, utilities, and asset accounting are all handled by the home office, the agency's primary accounting responsibility relates to the imprest fund.

The home office normally accounts for the assets, revenues, and expenses of each agency separately. This allows the home office to maintain control over the assets and provides information for assessing the performance of each agency. The cost of goods sold by each agency also must be measured. When the perpetual inventory system is used, shipments to customers of the agency are debited to cost of goods sold account and credited to inventories. When the periodic inventory system is used, a shipment of goods sold by an agency may be recorded by a debit to cost of goods sold account and a credit to shipments to agencies account. This journal entry is recorded only at the end of an accounting period if a memorandum record is maintained during the period listing the cost of goods shipped to fill sales orders received from agencies. At the end of the period, the shipments to agencies account is offset against the total of beginning inventories and purchases to measure the cost of goods available for sale for the home office in its own operations.

Example:

As an example of home office accounting for a sales agency, assume that ABC Enterprise, a manufacturer of modular structures and partitions based in Addis Ababa, establishes a sales agency in Mettu. The journal entries to record typical sales agency transactions for the month of March on the home office books are shown below. Note that the entries are recorded in the same

way as if the home office had engaged in the transactions except that the assets, revenues, and expenses are specifically designated as relating to the Metu Agency.

- a. March 1. Receipt of petty cash fund from home office
Petty cash-Metu Agency.....1,000
Cash.....1,000
- b. March 1-31. Fill sales orders from sales agency.
Accounts receivable.....5, 000
Sales-Metu Agency.....5, 000
- c. March 1-31. Collections by home office on agency sales
Cash.....3, 000
Accounts receivable.....3,000
- d. March 1-31. Pay bills received by home office for expenses of Metu agency.
Salaries Expense- Metu Agency.....450
Office Supplies- Metu Agency.....450
Cash.....900
- e. March 31. Replenish sales agency petty cash fund.
Miscellaneous expense- Metu Agency.....550
Cash.....550
- f. March 31. Record end-of-period adjusting entries:
Cost of Goods Sold- Metu Agency.....3, 500
Office supplies expense- Metu Agency.....150
Merchandise shipments- Metu Agency.....3,500
Office supplies- Metu Agency.....150
- g. March 31. Record end-of-period closing entries:
Sales- Metu Agency.....5, 000
Income- Metu Agency.....5, 000
Income- Metu Agency.....4,650
Cost of goods sold- Metu Agency.....3,500
Salaries expense- Metu Agency.....450
Office supplies expense- Metu Agency.....150
Miscellaneous expense- Metu Agency.....550
Income- Metu Agency.....350
Income summary.....350

1.5 Accounting for Branch Operations

- ④ Dear learner, can you state how branch operations are accounted for under a centralized and decentralized accounting systems? Give your response in the space given below.

Did you try? Ok! Let's examine together. Occasionally, accounting for branch operations is centralized at the home office, and the procedures followed are similar to those for a sales

agency. Under a centralized accounting system, an outlying location does not maintain a separate general ledger in which to record its transactions. If such an approach is used, the branch maintains only limited accounting records and submits source documents for transactions to the home office for entry in the centralized accounting system.

Normally, however, and especially with larger branches, the home office and branch maintain separate accounting systems. Under a decentralized accounting system, an outlying location maintains a separate general ledger in which to record its transactions. In such a decentralized accounting system, each maintains a full set of books with a complete self-balancing set of accounts and records its transactions with external parties in its own accounting system. These transactions are recorded in the normal manner, and no special treatment is needed. In addition, the home office and branch both must record transactions with one another in their respective accounting systems. Even though the home office and each branch maintain separate books, all accounts are combined for external reporting in such a way that the external financial statements represent the company as a single economic enterprise.

Because they present no unusual accounting issues, centralized accounting systems are not discussed any further. In the remainder of this unit, we are concerned with a branch operation that maintains a complete set of accounting records. Transactions recorded by a branch should include all controllable expenses and revenue for which the branch manager is responsible. If the branch manager has responsibility over all branch assets, liabilities, receipts, and expenditures, the branch accounting records should reflect this responsibility. The following section provides a discussion on the essential features of a decentralized accounting system.



Activity 1

Some branches maintain complete accounting records and prepare financial statements much the same as an autonomous business enterprise. Other branches perform only limited accounting functions, with most accounting activity concentrated in the home office. Assuming that a branch has a complete set of accounting records, what criterion or principle would you suggest be used in deciding whether various types of expenses applicable to the branch should be recognized by the home office or by the branch?

1.1.1 Reciprocal (Intra company) Ledger Accounts

❓ Dear learner, what is a reciprocal account? Give your view in the space given below.

A key element both in identifying home office/branch situations and in providing the needed accounting is the presence of reciprocal accounts. Reciprocal accounts have equal and offsetting balances on both the home office and branch books. They are used by both business units to record those transactions between the units or made on behalf of one unit by the other.

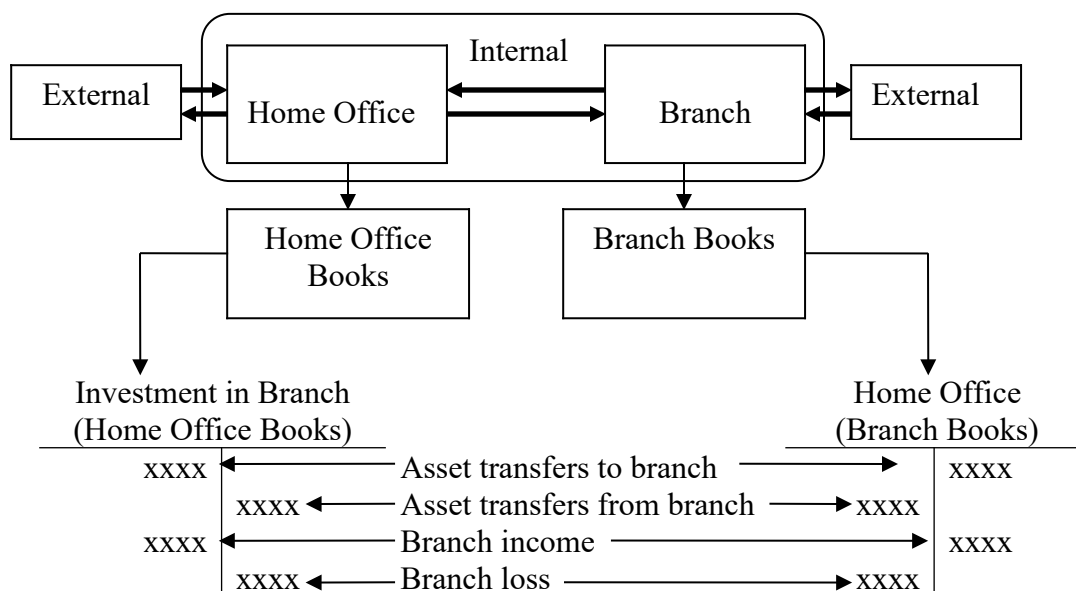
Transactions with external parties are recorded in the normal manner. Transactions between the home office and a branch also are treated in the normal manner except that they are recorded in intracompany accounts. These accounts are reciprocal accounts between the home office and the branch. When the books of both the home office and the branch are completely up to date, the

balance in an intracompany account on the home office books will be equal but opposite that of the related intracompany account on the branch books. For example, if an intracompany account on the home office books has a Br.10,000 debit balance, the related intracompany account on the branch books should have a credit balance of the same amount.

The intracompany account on the books of the home office often is called Investment in Branch, while the reciprocal account on the branch books may be labeled Home Office. When a company has more than one branch, a separate investment account for each branch is maintained on the home office books. The balance of the Investment in Branch account indicates the extent of the home office's investment in a particular branch through contributions of cash and the transfer of assets to the branch. The reciprocal Home Office account on the books of the branch represents the home office's equity in the branch, and the balance is shown in place of owners' equity in the separate financial statements of the branch prepared for internal reporting purposes.

The balances of the two reciprocal accounts are adjusted for the same transactions. The account balances are increased for asset transfers from the home office to the branch and reduced for asset transfers from the branch to the home office. Adjustments to the accounts also are made for profits and losses of the branch, with branch profits leading to an increase in the account balances and branch losses leading to a decrease. Note that increases in the home office's Investment in Branch account are accomplished with debit entries and decreases with credit entries. The opposite is true with respect to the branch's Home Office account.

When a company's financial statements are prepared, the reciprocal accounts-which represent all internal transactions among the units of the company, are eliminated so that the statements reflect only transactions with outside parties. The reciprocal nature of the Investment in Branch and the Home Office accounts, and the way in which they are affected by various transactions, can be shown as follows:



1.6 Merchandise Shipments to Branches

Dear learner, can you describe how merchandise shipments from home office to branch are treated? Give your reply in the space given below.

Branches are often established to serve as retail outlets for a company's products. Merchandise inventories carried at the branch locations are periodically replenished with shipments of merchandise from the home office or the branch may be permitted to acquire some merchandise from external parties. Purchases of merchandise from external parties are recorded by the branch in the normal manner. For example, if ABC Company's Desse branch purchases Br.5,000 of merchandise from an independent wholesaler, and the branch uses a perpetual inventory system, the transaction is recorded by the branch as follows:

Inventory	5,000	
Cash (or Accounts Payable)		5,000

No entry with respect to this transaction is made on the books of the home office.

When inventory is transferred from the home office to a branch, both the home office and the branch must record the transfer. The money value assigned to the inventory that is transferred is referred to as a transfer price. The internal transfer price used to bill shipments to branches affects the accounting for shipments and the procedures employed to combine the accounts of the home office and its branches when financial statements are prepared. Three alternative methods are available to the home office for billing merchandise shipped to its branches. The shipments may be billed (1) at home office cost, (2) at a percentage above home office cost, or (3) at the branch's retail selling price. The shipment of merchandise to a branch does not constitute a sale, because ownership of the merchandise does not change.

Merchandise Shipments Billed at Cost: The simplest practice for handling merchandise shipments to branches is to bill these shipments to the branch at cost; this system creates no special accounting problems and results in a branch income statement that provides management with a straightforward view of the results of branch operations. On the other hand, it has the effect of attributing the entire gross profit on merchandise sales to the branch, even though the home office may play a substantial role in the manufacture or procurement of merchandise from outside sources or in the generation of sales. Evaluation of the performance of the branch relative to the home office may therefore be clouded—some of the ultimate gross profit attributed to the branch may legitimately be attributable to operation of the home office.

Merchandise transferred from the home office and billed to the branch at cost is recorded by the branch in the same way as inventory purchased from external parties, except the credit is to the Home Office account. The transfer of inventory is treated by both the home office and the branch in the same way as the transfer of any other asset, assuming a perpetual inventory system is used. To see this, assume that Jensen's home office transfers inventory with a cost of Br.8,000 to its Desse branch. The transfer is recorded on the home office books with the following entry:

Investment in Desse Branch...	8,000
Inventories.....	8,000

The branch records the merchandise as an asset in the same inventory account used to record purchases from external parties and also recognizes the home office's increased equity in its net assets with the following entry:

Inventories.....	8,000
Home Office.....	8,000

No profit is recognized by the home office on the transfer. The full amount of the profit is recognized by the branch when it sells the inventory to external parties.

Whereas, when the home office and branch use periodic inventory accounting, shipments are recorded in two additional offsetting reciprocal accounts called Shipments to Branch and Shipments from Home Office instead of debiting and crediting directly to inventory accounts as in the case of perpetual inventory system, as follows:

Home Office Books		Branch Books	
Investment in Desse Branch...	8,000	Shipments from Home Office...	8,000
Shipments to Branch.....	8,000	Home Office.....	8,000

Freight Charges on Merchandise Shipments: Freight costs on merchandise purchases or shipments from the home office attach to the merchandise and are inventoriable costs. When the branch pays the freight cost no entry is made by the home office. In contrast, payment of the freight by the home office requires additional entries to assign the freight cost to the branch. For example, assume that Jensen Corporation's home office pays Br.100 to transport Br.8,000 of merchandise to the Desse branch. The transfer is recorded by the home office with the following entry:

Perpetual Inventory System			
Home Office Books		Branch Books	
Investment in Desse Branch...	8,100	Inventories.....	8,100
Inventories.....	8,000	Home Office.....	8,100
Cash.....	100		
Periodic Inventory System			
Home Office Books		Branch Books	
Investment in Desse Branch...	8,100	Shipments from Home Office...	8,000
Shipments to Branch.....	8,000	Freight in.....	100
Cash.....	100	Home Office.....	8,100

When recording the ending inventory, the accountant includes either the actual freight costs on those goods or a pro rata share of total freight-in. For example, if freight of Br.50 is incurred on a merchandise shipment costing Br.2,000, the goods are inventoried at Br.2,050. Alternatively, suppose total freight-in for the year is Br.20,000 on merchandise purchases of Br.600,000. If 10 percent of these goods remains in ending inventory, it is priced at Br.62,000 [= .1(Br.600,000 + Br.20,000)]. Discussions in this unit assume that the cost of merchandise to the home office includes the appropriate freight unless stated otherwise.

The cost of transporting merchandise to its final sale location can be an important element of the cost of merchandise inventoried and sold. Accordingly, freight costs on merchandise shipped between home office and branch locations should be included in branch inventory and cost of

goods sold measurements. However, merchandise cost should not include excessive freight charges from the transfer of merchandise between a home office and its branches or between branch locations.

Assume that merchandise is shipped from a home office to its branch at 125% of the Br. 10,000 home office cost and that the home office pays Br. 500 freight costs. If half the merchandise remains unsold at year-end, cost of branch sales is reported at Br. 6,500, and the branch inventory is priced at its Br. 6,250 home office cost, plus Br. 250 freight-in. Branch inventory and cost of goods sold are reported in the same amount if the branch pays the transportation costs, but the freight transaction is not recorded on the home office books. If the branch returns half the merchandise received from the home office because it is defective, or because of a shortage of inventory at the home office location, the home office cost of the merchandise should not include the freight charges to or from the branch. Assuming that the branch pays Br.250 to return half the merchandise to the home office, the branch and home office entries are:

➤ **Journal Entries on Books of Home Office**

	Shipments to Branch	5000	
	Allowance for Overvaluation of Inventories: Branch	1250	
➤	Loss on excessive freight charges	500	
Entries of	Investment in Branch		6750
	Home Office	6750	
	Shipments from Home Office		6250
	Freight-in on Home Office Shipments		250
	Cash		250

Journal on Books Branch

Note that, the total freight charges on the merchandise are charged to a home office "loss on excessive freight charges" account because the freight charges represent management mistakes or inefficiencies. Therefore, they are not considered normal operating or freight expenses.

Merchandise Shipments Billed Above Cost: Companies sometimes transfer inventory from the home office to a branch and bill the branch for an amount greater than the home office's cost. This may occur, for example, when the home office and each branch are treated as profit centers for internal reporting and evaluation purposes.

When the home office incurs costs and provides a service, such as by acquiring inventory at lower prices through volume purchases or by manufacturing the inventory, the company may choose to allocate the profit on the sale of the inventory between the home office and the selling branch. This can be done by billing the branch for inventory transfers at an amount greater than the home office's cost. The home office is credited with profit equal to the difference between its cost and the transfer price to the branch; this difference is referred to as the intracompany profit. The branch's profit is the difference between the transfer price (the branch's cost) and the selling price to external parties.

While companies may employ various types of internal-responsibility accounting systems, external accounting reports must reflect inventory at its original cost to the company (unless market value is lower) and may not include profits until the inventory is sold to external parties. Unrealized profits must be eliminated in the preparation of financial statements for external use. Usually the home office records its profit on inventory shipments to its branches in a separate

account, allowing it to defer recognition of profits on intracompany sales until the inventory is sold to external parties by the branches. Each branch normally records inventory acquired from the home office in an account separate from inventory purchased from external parties so that the intracompany profit can be more easily identified.

Billing shipments at an amount above cost is often appropriate for performance evaluation and optimal decision making within the firm. It has the effect of attributing some, or all, of the gross profit on sales to the home office. The practice is also sometimes motivated by the desire to conceal the true profitability of the branch operation from the branch manager. An added advantage arises when shipments are billed at retail prices. Even if a periodic inventory system is used, billing at retail has the effect of creating a perpetual system at the branch. When shipments are billed at retail, the branch inventory account reflects retail prices. Sales made by the branch are, of course, made at retail. Therefore, the amount of branch inventory, at retail value, that should be on hand equals the amount of shipments to the branch recorded by the home office minus the sales reported by the branch. Periodic physical inventory counts by home office personnel reveal any shortages in the branch inventory with a high degree of accuracy. In this way, a system of billing shipments to the branch at retail prices enhances internal control over branch inventories.

These internal control benefits associated with billing intrafirm shipments at retail must be weighed against the possible distortion of branch operating results. When shipments are billed at retail, branch sales revenue approximates the branch's cost of goods sold. Consequently, the branch will consistently report an operating loss equal to its operating expenses. This is not an accurate picture of branch operations. It might impede proper managerial analysis of the branch and have a demoralizing effect on branch personnel.

Once a firm begins pricing merchandise shipments to branches at amounts in excess of cost, a new accounting problem arises. When the home office computes its own cost of goods sold for a reporting period, it reduces its own merchandise purchases from outside sources by the amount of the shipments to the branch. Similarly, if the home office manufactures the goods itself, the shipments to the branch go to reduce cost of goods manufactured. For financial reporting purposes, the home office carries its inventory accounts at cost or lower of cost or market. This cost basis will be disturbed if merchandise purchases are reduced by branch shipments measured at more than cost. To avoid this problem, the home office uses an account entitled Allowance for Overvaluation of Branch Inventory, sometimes called Unrealized Profit in Branch Inventory, to record the markup on intrafirm shipments.

The markup on each shipment to the branch is entered and accumulated in this account, which becomes another reciprocal account under the periodic inventory system. Such that, the Shipments to Branch balance at cost plus the Overvaluation account balance on the home office books equals the Shipments from Home Office balance at billed prices on the branch books. These accounts are used to record intra firm (or interoffice) merchandise shipments under the periodic inventory system.

To examine the treatment of intra company profit included in shipments to a branch, assume that ABC's home office acquires merchandise for Br.12,000 and ships it to the Desse branch, billing the branch for Br.15,000. The home office records the shipment with the following entry:

Investment in Desse Branch.....	15,000
Shipments to Branch (Inventory)	12,000
Allowance for Overvaluation of Inventories: Branch	3,000

The Br.3,000 intracompany profit is unrealized because the inventory has not been sold to an external party. Recognition of the profit is deferred until the branch sells the merchandise externally. The branch records receipt of the shipment with the following entry:

Shipments from Home Office (Inventory).....	15,000
Home Office.....	15,000

This entry records the inventory at the cost to the branch without separately recognizing the intracompany profit included in the transfer price. A separate inventory account is established in this case to facilitate eliminating the unrealized intracompany profit when external accounting reports are prepared for the company as a whole. When such reports are prepared while the inventory is still on hand, workpaper entries are needed to eliminate the Unrealized Intracompany Profit balance against the Inventory-From Home Office account. Thus, the Br.3,000 unrealized intracompany profit is eliminated, and the inventory is reported at its Br.12,000 original cost to the company.

Although this overvaluation account relates to the *branch* inventory, the account cannot be viewed as deferred profit (as in installment sales) because no external sale occurred. Rather, it reflects the fact that an internal transfer price in excess of cost is used to record the movement of goods from the home office to the branch. When combined statements are prepared, the overvaluation account is eliminated as discussed later in the unit.

The home office continues to account for the markup in the overvaluation account in order to avoid disturbing the cost basis of its inventory. Over the course of the year, the overvaluation account grows. At year-end it includes the intrafirm markup reflected in (1) current year shipments and (2) the beginning inventory of the branch. Observe that the branch's inventory is carried on the branch books at prices billed by the home office, not at home office cost.

When the branch sells the inventory acquired from the home office, it recognizes a profit for the difference between the external selling price and the transfer price from the home office. Once the inventory has been sold externally, the home office recognizes the intracompany profit that it previously had deferred. For example, if the Desse branch sold 80 percent of the inventory transferred from the home office, the intracompany profit would be recognized by the home office with the following entry:

Allowance for Overvaluation of Inventories: Branch	2,400
Realized Profit on Branch Shipments: Desse (3,000x0.80).....	2,400



Activity 2

Explain the use of and journal entries for a home office's Allowance for Overvaluation of Inventories: Branch ledger account.

A. Allocation of Expenses incurred by Home Office to Branches

Dear learner, can you give the reason when and why certain expenses are charged by home office to branch? Give your answer in the space given below.

Did you try? Very good! You can check your response with the discussions presented hereunder. Since the branch is not autonomous, the home office incurs various expenses on its behalf. This situation occurs for two major reasons:

1. Certain accounting records, such as those for plant assets and payroll, may be retained in the home office. As a result, depreciation expense, salaries and wages, and payroll taxes pertaining to the branch are initially recorded by the home office.
2. Various general and administrative overhead expenses and certain marketing expenses, such as advertising, are normally incurred at the home office. Such expenses are generally not separable, although some portion obviously relates to the branch operations.

In some cases, these costs might be apportioned against branch income and recorded only on the books of the home office. Often, however, the branch to which the costs are apportioned is notified of the apportioned amounts and records the expenses on its own books. In this way, the income computed by the branch on its books includes all expenses deemed related to the branch.

Example:

As an illustration of the treatment of apportioned home office costs, assume that ABC's home office incurs utilities expenses of Br.14,000 related to its Desse branch. ABC's home office already has recorded these expenses in the normal manner, as if they related to the home office. The home office records the following entry upon notifying the Desse branch of the Br.14,000 of apportioned expenses:

Investment in Desse Branch	14,000	
Utilities Expense		14,000

Upon notification of the expenses by the home office, the branch records the expenses as follows:

Utilities Expense	14,000	
Home Office		14,000

Without these entries, the home office income would be understated and the branch income overstated. While omission of these entries has no effect on the income of the company as a whole, the separate income amounts of the home office and branch may be important for internal reporting purposes.

B. Accounting for Branch Fixed Assets

Dear learner, can you explain the reason why branch fixed assets may be carried at home office books? Provide your response in the following space.

Did you try? Excellent! Let's discuss it together.

Normal procedures are followed in accounting for branch fixed assets recorded on the books of the branch. No special procedures are required in accounting for the purchase of fixed assets by the branch or the subsequent depreciation of those assets. On the other hand, if the fixed assets

are purchased by the home office for the branch and the branch records the fixed assets on its books, an entry is required on the books of both the home office and the branch.

Example:

As an illustration of this, assume that ABC's home office purchases Br.30,000 of store equipment for the Desse branch. The home office records the purchase with the following entry:

Investment in Desse Branch	30,000
Cash	30,000

The purchase is recorded by the branch with the following entry:

Store Equipment	30,000
Home Office	30,000

Some companies account for branch fixed assets on the books of the home office rather than on the books of the branch. This may provide the home office with better control over branch fixed assets and may facilitate the computation of depreciation for the company as a whole.

For example, a company might establish depreciation policies to be applied to all fixed assets within the company. Some companies use group or composite depreciation methods, which may be applied most easily on a company wide basis.

When branch fixed assets are recorded only on the home office books, no entry is needed on the books of the branch if the home office makes the purchase.

For example, if ABC's home office purchases Br.30,000 of store equipment for the Desse branch, and the equipment is recorded on the books of the home office rather than the branch, the home office records the purchase as follows:

Store Equipment—Desse Branch	30,000
Cash	30,000

No entry is recorded on the books of the branch.

If the branch purchases fixed assets that are recorded on the books of the home office, entries are needed by both the home office and the branch.

As an example, assume that ABC's Desse branch purchases Br.30,000 of store equipment to be used by the branch but carried on the home office books. The branch records the purchase with the following entry:

Home Office	30,000
Cash	30,000

The purchase is recorded by the home office as follows:

Store Equipment—Desse Branch	30,000
Investment in Desse Branch	30,000

Because the branch purchases an asset that is carried on the home office books, the balances of both the Home Office account and the Investment in Desse Branch account are reduced. The transaction is treated as if the branch had purchased equipment for the home office.



Activity 3

The accounting policies of Addis Company provide that equipment used by its branches is to be carried in the accounting records of the home office. Acquisitions of new equipment may be made either by the home office or by the branches with the approval of the home office. Adwa Branch, with the approval of the home office, acquired equipment at a cost of Br17,000. Describe the journal entries for the Adwa Branch and the home office to record the acquisition of the equipment.

1.7 Combined Financial Statements for Home Office and Branch

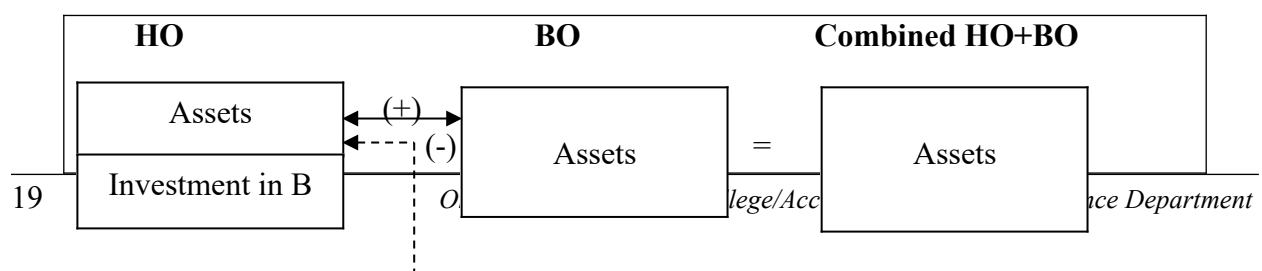
③ Dear learner, what are combined financial statements? Give your answer in the space given below.

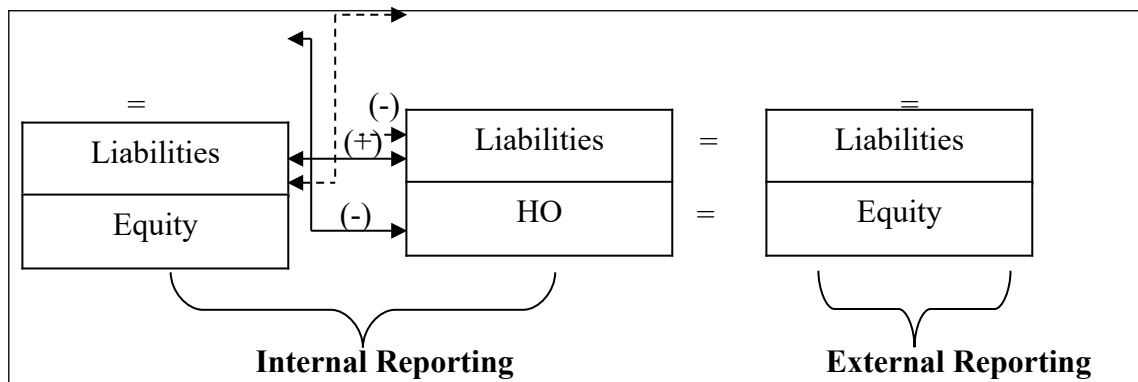
At the end of an accounting period, three types of end-of-period procedures are required in home office/branch accounting. First, the accountant must determine that the offsetting balances in the reciprocal accounts are equal, as intended. If discrepancies exist, the reciprocal accounts are reconciled and their balances adjusted accordingly. Second, to account for the operations of the period, conventional closing entries are made on the home office and branch books. *Third*, the accountant prepares combined financial statements for the home office, often using a working paper to facilitate their preparation.

While a home office and its branches may maintain separate books for internal recordkeeping and evaluation purposes, the external accounting reports represent the home office and its branches as a single entity; the reporting entity is the company as a whole. Therefore, in the preparation of the company's financial statements, the accounts of the home office and its branches are combined. Intracompany or reciprocal account balances must be eliminated because they relate to activities within the company rather than activities between the company and external parties.

In the preparation of financial statements for the company as a whole, a workpaper normally is used to facilitate combining the accounts of the home office and its branches and eliminating the intracompany accounts. All eliminations are made in the workpaper and not on the separate books of the units being combined. A working paper for combined financial statements has three purposes: (1) to combine ledger account balances for like revenues, expenses, assets, and liabilities, (2) to eliminate any intracompany profits or losses, and (3) to eliminate the reciprocal accounts.

The following is a chart that will help you observe the consolidation of internal operations of a branch with the home office.





Example:

As an illustration of the basic workpaper entries needed to prepare external financial statements for a company with branch operations, assume that on January 1, 2009 Anchor Company establishes a new branch in Metu and bills merchandise to the branch at home office cost. The branch maintains complete accounting records except that fixed assets are recorded by the home office and prepares its own financial statements. Both the home office and the branch use the perpetual inventory system. The following transactions took place with respect to Metu Branch's first year of operations for the fiscal year ending on December 31, 2009 (start-up costs are disregarded):

- Home office sent a check to Metu Branch for Br.1,000.
- Merchandise with a home office cost of Br.60,000 was sent to the Metu Branch.
- Equipment was purchased by Metu Branch to be carried at home office for Br.500
- Branch sales on credit amounted to Br.80,000; the branch's cost of the merchandise sold was Br.45,000.
- Branch collections on account from customers amounted to Br.62,000.
- Payments for operating expenses by Metu Branch totaled Br.20,000.
- Cash of Br.37,500 was remitted by Metu Branch to the home office.
- The home office allocated operating expenses of Br.3,000 to Metu Branch.

Shipments to Branch Billed at Cost: The journal entries to record these transactions and the working paper for preparation of combined financial statements for Anchor Company and its Metu Branch are shown below.

Home Office Books	Branch Books
A Investment in Metu Branch...1,000	Cash.....1,000
Cash.....1,000	Home Office.....1,000
B Investment in Metu Branch...60,000	Inventories.....60,000
Inventories.....60,000	Home Office.....60,000
C Equipment-Metu Branch.....500	Home Office.....500
Investment in Metu Branch.....500	Cash.....500
D None	Accounts Receivable....80,000
	Cost of Goods Sold.....45,000
	Sales.....80,000
	Inventories.....45,000
E None	Cash.....62,000
	Accounts Receivable.....62,000
F None	Operating Expense.....20,000
	Cash.....20,000

G	Cash.....	37,500	Home Office.....	37,500
	Investment in Metu Branch.....	37,500	Cash.....	37,500
H	Investment in Metu Branch...	3,000	Operating Expenses.....	3,000
	Operating Expenses.....	3,000	Home Office.....	3,000

If the branch obtains merchandise from outsiders as well as from home office, the merchandise acquired from the home office may be recorded in a separate Inventories from Home Office account. Before the accounting records are closed, the Investment in Metu Branch account has a debit balance of Br.26,000 in the home office accounting records, as shown below:

Investment in Metu Branch			
Explanation	Debit	Credit	Balance
Cash sent to Branch	1,000		1,000
Merchandise billed to branch at home office cost	60,000		61,000
Equipment acquired by Branch		500	60,500
Cash received from branch		37,500	23,000
Operating expenses billed to branch	3,000		26,000

In the accounting records of Metu Branch, the Home Office account has a balance of Br.26,000, as shown below:

Home Office			
Explanation	Debit	Credit	Balance
Cash received from home office		1,000	1,000
Merchandise received from home office		60,000	61,000
Equipment acquired	500		60,500
Cash sent to home office	37,500		23,000
Operating expenses billed by home office		3,000	26,000

At the end of the year the branch prepares financial statements as shown below:

Metu Branch	
Income Statement	
For the year ended Dec. 31, 2009	
Sales	Br.80,000
Cost of goods sold	<u>45,000</u>
Gross profit	35,000
Operating expenses	<u>23,000</u>
Net income	<u>Br.12,000</u>

Metu Branch
Balance Sheet
Dec. 31, 2009

Cash	Br.5,000	Liabilities:	Br.0
Accounts receivable	18,000		
Inventories	<u>15,000</u>	Home office	<u>38,000</u>
Total Assets	<u>Br.38,000</u>	Total Liabilities & Equity	<u>Br.38,000</u>

The home office prepares its own financial statements to show home office operations. The accountants prepare combined financial statements to show overall performance (home office and branches). The following working paper provides the information for the combined financial statements of Anchor Company. Assume that the perpetual inventories of Br.15,000 at the end of 2009 for Metu Branch had been verified by a physical count. The working paper for Anchor Company is based on the previous transactions and events for Metu Branch and additional assumed data for the home office trial balance. All the routine year-end adjusting entries (except the home office entries for branch operating results) are assumed to have been made, and the working paper began with the adjusted trial balances of the home office and Metu Branch. Income Taxes are disregarded in this illustration.

Note that the Br.26,000 debit balance of the Investment in Metu Branch ledger account and the Br.26,000 credit balance of the Home Office account are the balances before the respective accounting records are closed, that is, before the Br.12,000 net income of Metu Branch is entered in these two reciprocal accounts. In the eliminations column, elimination (a) offsets the balance of the Investment in Metu Branch account against the balance of the Home Office account. This elimination appears in the working paper only; it is not entered in the accounting records of either the home office or Metu Branch because its only purpose is to facilitate the preparation of combined financial statements. A convenient starting point in the preparation of a combined balance sheet consists of the adjusted trial balances of the home office and of the branch.

Anchor Company
Working Paper for Combined Financial Statements of Home Office & Metu Branch
For Year Ended December 31, 2009
(Perpetual Inventory System: Billings @ Cost)

a)To eliminate reciprocal ledger account balances.

The working paper for combined financial statements of Home Office & Metu Branch would be the basis for preparing the financial statements of the firm as a single reporting entity. The

	Trial Balances		Eliminations		Combined
	Home Office	Metu Branch	Dr.	Cr.	
Income Statement					
Sales	400,000	80,000			480,000
Cost of Goods Sold	(235,000)	(45,000)			(280,000)
Operating Expenses	(90,000)	(23,000)			(113,000)
Net Income, carry forward	75,000	12,000			87,000
Statement of Retained Earnings					
1/1 Retained earnings	(70,000)				70,000
Net Income- from above	(75,000)	12,000			87,000
Dividends Declared	40,000				(40,000)
31/12 Retained earnings, carry forward	105,000	12,000			117,000
Balance Sheet					
Cash	25,000	5,000		a)26,000	30,000
Accounts Receivable	39,000	18,000			57,000
Inventories	45,000	15,000			60,000
Investment in Branch	26,000				0
Equipment	150,000				150,000
Accumulated Depreciation-Equipment	(10,000)				(10,000)
Totals	275,000	38,000	a)26,000		287,000
Accounts payable	20,000				20,000
Home office		26,000			0
Common Stock, Br. 10par	150,000				150,000
Retained Earnings, Dec. 31,from above	105,000	12,000			117,000
Totals	275,000	38,000			26,000

combined financial statements for the home office and branch are shown below.

Anchor Company
Income Statement
For Year Ended December 31, 2009

Sales	Br. 480,000
Cost of Goods Sold	<u>280,000</u>
Gross Margin on Sales	200,000
Operating Expenses	<u>113,000</u>
Net Income	<u><u>Br. 87,000</u></u>

Anchor Company
Statement of Retained Earnings
For Year Ended December 31, 2009

Retained Earnings, Beginning of Year	Br. 70,000
Add: Net Income	<u>87,000</u>
Subtotal	157,000
Less: Dividends	<u>40,000</u>
Retained Earnings, End of Year	<u><u>Br. 117,000</u></u>

Anchor Company
Balance Sheet
December 31, 2009
Assets

Cash		Br. 30,000
Trade Accounts Receivable (net)		57,000
Inventories		60,000
Equipment	Br. 150,000	
Less: Accumulated Depreciation	<u>10,000</u>	<u>140,000</u>
Total Assets		<u>Br. 287,000</u>

Liabilities & Stockholders' Equity

Liabilities:		
Trade accounts Payable		Br. 20,000
Stockholders' Equity:		
Common Stock, Br. 10 Par	Br. 150,000	
Retained Earnings	<u>117,000</u>	<u>267,000</u>
Total Liabilities & Stockholders' Equity		<u>Br. 287,000</u>

The home office's equity-method adjusting and closing entries for branch operating results and the branch's closing entries on December 31, 2009, are shown below:

Home Office Accounting Records Adjusting and Closing Entries	Metu Branch Accounting Records Closing Entries
None	Sales.....80,000
	Cost of Goods Sold.....45,000
	Operating expenses.....23,000
	Income Summary.....12,000
Investment in Metu Branch...12,000	Income Summary.....12,000
Income-Metu Branch.....12,000	Home Office.....12,000
Income-Metu Branch.....12,000	
Income Summary.....12,000	

Shipments to Branch Billed in Excess of Cost: the home office of some business enterprises bill merchandise shipped to branches at home office cost plus a markup percentage (or alternatively at branch retail selling prices). Because both these methods involve similar modifications of accounting procedures, a single example illustrates the key points involved, using the same data as in the previous illustration for Anchor Company and its Metu Branch except that the merchandise shipped to the branch is billed at a markup of 50% above home office cost, or 331/2% of billed price. Under this assumption, the journal entries for the first year's transactions by the home office and Metu Branch are the same as those presented except for the journal entries for shipments of merchandise from the home office to Metu Branch. These shipments (Br.60,000 +50% markup on cost=Br.90,000) are recorded under the perpetual inventory system as follows:

	Home Office Accounting Records Journal Entries	Metu Branch Accounting Records Journal Entries
b.	Investment in Metu Branch...90,000	Inventories.....90,000
	Inventories.....60,000	Home Office.....90,000
	Allowance for Overvaluation of	
	Inventories-Metu Branch.....30,000	

In the accounting records of the home office, the Investment in Metu Branch account below now has a debit balance of Br.56,000 before closing the accounting records as shown below:

Investment in Metu Branch

Explanation	Debit	Credit	Balance
Cash sent to Branch	1,000		1,000
Merchandise billed to branch at home office cost	90,000		91,000
Equipment acquired by Branch		500	90,500
Cash received from branch		37,500	53,000
Operating expenses billed to branch	3,000		56,000

The balance of the Investment in Metu Branch account is Br.30,000 larger than the Br.26,000 balance in the prior illustration. The increase represents the 50% markup over cost (Br.60,000) of the merchandise shipped to Metu Branch.

In the accounting records of Metu Branch, the Home Office account now has a credit balance of Br.56,000, before closing the accounting records as shown below:

Home Office

Explanation	Debit	Credit	Balance
Cash received from home office		1,000	1,000
Merchandise received from home office		90,000	91,000
Equipment acquired	500		90,500
Cash sent to home office	37,500		53,000
Operating expenses billed by home office		3,000	56,000

Metu Branch recorded the merchandise received from the home office at billed prices of Br.90,000; the home office recorded the shipment by credits of Br.60,000 to Inventories and Br.30,000 to Allowance for Overvaluation of Inventories-Metu Branch. Use of the allowance account enables the home office to maintain a record of the cost of merchandise shipped to Metu Branch as well as the amount of the unrealized gross profit on the shipments.

At the end of the accounting period, Metu Branch reports its inventories (at billed prices) at Br.22,500. The cost of these inventories is Br.15,000 ($\text{Br.22,500} \div 1.50 = \text{Br.15,000}$). In the home office accounting records, the required balance of the Allowance for Overvaluation of Inventories-Metu Branch account is Br.7,500 ($\text{Br.22,500} - \text{Br.15,000} = \text{Br.7,500}$); thus, this account balance must be reduced from its present amount of Br.30,000 to Br.7,500. The reason for this reduction is that the 50% markup of billed prices over cost has become realized gross profit to the home office with respect to the merchandise sold by the branch. Consequently, at the end of the year the home office reduces its allowance for overvaluation of the branch inventories to the Br.7,500 excess valuation contained in the ending inventories. The debit adjustment of Br.22,500 in the allowance account is offset by a credit to the Realized Gross Profit-Metu Branch Sales account, because it represents additional gross profit of the home office resulting from sales by the branch. These matters are reflected in the home office end-of-period adjusting and closing entries.

When a home office bills merchandise shipments to branches at prices above home office cost, preparation of the working paper for combined financial statements is facilitated by an analysis of the flow of merchandise to a branch, such as the following for Metu Branch of Anchor Company:

Anchor Company
Flow of Merchandise for Metu Branch
During 2009

	<u>Billed Price</u>	Home Office <u>Cost</u>	Markup (50% of cost; <u>33 1/3% of billed price</u>)
Beginning inventories	Br.0	Br.0	Br.0
Add: Shipments from home office	<u>90,000</u>	<u>60,000</u>	<u>30,000</u>
Goods available for sale	90,000	60,000	30,000
Less: Ending inventories	<u>22,500</u>	<u>15,000</u>	<u>7,500</u>
Cost of goods sold	<u>Br.67,500</u>	<u>Br.45,000</u>	
Realized Markup			<u>Br.22,500</u>

At the end of the year the branch prepares financial statements as shown below:

Metu Branch
Income Statement
For the year ended Dec. 31, 2009

Sales	Br.80,000
Cost of goods sold	<u>67,500</u>
Gross profit	12,500
Operating expenses	<u>23,000</u>
Net loss	<u>Br.10,500</u>

Metu Branch
Balance Sheet
Dec. 31, 2009

Cash	Br.5,000	Liabilities:	Br.0
Accounts receivable	18,000		
Inventories	<u>22,500</u>	Home office	<u>45,500</u>
Total assets	<u>Br.45,500</u>	Total liabilities and equity	<u>Br.45,500</u>

The home office prepares its own financial statements to show home office operations. The accountants prepare combined financial statements to show overall performance (home office and branches). The following working paper provides the information for the combined financial statements of Anchor Company.

Anchor Company
Working Paper for Combined Financial Statements of HO & Branch
For Year Ended December 31, 2009
(Perpetual Inventory System: Billings above Cost)

The home office's equity-method adjusting and closing entries for branch operating results and the branch's closing entries on December 31, 2009, would be as follows:

Home Office Accounting Records		Metu Branch Accounting Records		Combined
Adjusting and Closing Entries	Trial Balances	Closing Entries	Eliminations	
	HO	Branch	Dr.	Cr.
Income-Metu Branch.....	10,500	Sales.....		80,000
Income Statement				
Investment in Metu Branch.....	10,500	Income Summary.....		10,500
Sales.....	400,000	Cost of Goods Sold.....	(b) 22,500	(480,000)
Cost of Goods Sold.....	235,000	Operating expenses.....		23,000
Operating Expenses.....	22,500	Income Summary.....		10,500
Realized Gross Profit.....	75,000	Home Office.....		10,500
Statement of Retained Earnings				
1/1 Retained Earnings.....	70,000			70,000
Net Income-Brought Forward.....	22,500			87,000
Dividends-Metu Branch.....	(40,000)			(40,000)
31/12 Retained Earnings C/F.....	105,000			117,000
Balance sheet				
Cash.....	25,000			30,000
Accounts Receivable.....	39,000			57,000
Inventories.....	45,000		(b) 7,500	60,000
Investment in Branch.....	56,000		(a) 56,000	0
Allowance for Overvaluation of Inventory: Branch.....	(30,000)		(b) 30,000	
Equipment.....	150,000			150,000
Acc. Depreciation-Equipment.....	(10,000)			(10,000)
Totals.....	275,000	45,500	30,000	63,500
Accounts payable.....	20,000			20,000
Home office.....		56,000	(a) 56,000	0
Common Stock, Br. 10par.....	150,000			150,000
Retained Earnings, Dec. 31-B/F.....	105,000	(10,500)		22,500
Totals.....	275,000	45,500	56,000	22,500

After the foregoing journal entries have been posted, the ledger accounts in the home office general ledger used to record branch operations are as follows:

Investment in Metu Branch

Explanation	Debit	Credit	Balance
Cash sent to Branch	1,000		1,000
Merchandise billed to branch at home office cost	90,000		91,000
Equipment acquired by Branch		500	90,500
Cash received from branch		37,500	53,000
Operating expenses billed to branch	3,000		56,000
Net loss for 2009 reported by branch		10,500	45,500

Allowance for Overvaluation of Inventories-Metu Branch

Explanation	Debit	Credit	Balance
Markup on merchandise shipped to branch during 2009 at 50% of cost		30,000	30,000
Realization of 50% markup on merchandise sold by branch during 2009	22,500		7,500

In the separate balance sheet for the home office, the Br.7,500 credit balance of the Allowance for Overvaluation of Inventories- Metu Branch account is deducted from the Br.45,500 debit balance of the Investment in Metu Branch account, thus reducing the carrying amount of the investment account to a cost basis with respect to shipments of merchandise to the branch. In the separate income statement for the home office, the Br.22,500 realized gross profit on Metu Branch sales may be displayed following gross margin on sales.

After the closing entries for the branch are posted, the following Home Office account in the accounting records of Metu branch has a credit balance of Br.45,000, the same as the debit balance of the Investment in Metu Branch account in the accounting records of the home office:

Home Office

Explanation	Debit	Credit	Balance
Cash received from home office		1,000	1,000
Merchandise received from home office		90,000	91,000
Equipment acquired	500		90,500
Cash sent to home office	37,500		53,000
Operating expenses billed by home office		3,000	56,000
Net loss for 2009	10,500		45,500

Treatment of beginning inventories priced above cost: The previous working paper shows how the ending inventories and the related allowance for overvaluation of inventories were handled. However, because 2009 was the first year of operations for Metu Branch, no beginning inventories were involved. Under the perpetual inventory system, no special problem arises when the beginning inventories of the branch include an element of unrealized gross profit. The working paper eliminations would be similar to those illustrated before.

Now we continue the illustration for Anchor Company for a second year of operations (2010) to demonstrate the handling of beginning inventories carried by Metu Branch at an amount above home office cost assuming that both the home office and Metu Branch adopted the periodic inventory system in 2010. When the periodic inventory system is used, the home office credits Shipments to Branch (an offset account to Purchases) for the home office cost of merchandise shipped and Allowance for Overvaluation of Inventories for the markup over home office cost. The branch debits shipments from Home Office (analogous to a Purchases account) for the billed price of merchandise received.

The beginning inventories for 2010 were carried by Metu Branch at Br.22,500, or 150% of the cost of Br.15,000 ($\text{Br.15,000} \times 1.50 = \text{Br.22,500}$). Assume that during 2010 the home office shipped merchandise to Metu Branch that cost Br.80,000 and was billed at Br.120,000, and that Metu Branch sold for Br.150,000 merchandise that was billed at Br.112,500. The journal entries to record the shipments and sales under the periodic inventory system would be as follows:

Home Office Accounting Records	Metu Branch Accounting Records
Investment in Metu Branch...120,000	Shipments from Home Office..120,000
Shipments to Metu Branch.....80,000	Home Office.....120,000
Allowance for Overvaluation of Inventories-Metu Branch.....40,000	
	Cash (or Accounts Receivable).150,000

None	Sales.....150,000
------	-------------------

The branch inventories at the end of 2010 amounted to Br.30,000 at billed prices, representing cost of Br.20,000 plus a 50% markup on cost (Br.20,000 X 1.50 = Br.30,000). The flow of merchandise for Metu Branch during 2010 is summarized below:

Anchor Company
Flow of Merchandise for Metu Branch
During 2010

	<u>Billed Price</u>	<u>Home Office Cost</u>	<u>Markup (50% of cost; 33 1/3% of billed price)</u>
Beginning inventories	Br. 22,500	Br.15,000	Br.7,500
Add: Shipments from home office	<u>120,000</u>	<u>80,000</u>	<u>40,000</u>
Goods available for sale	142,500	95,000	47,500
Less: Ending inventories	<u>(30,000)</u>	<u>(20,000)</u>	<u>(10,000)</u>
Cost of goods sold	<u>112,500</u>	<u>75,000</u>	
Realized Markup			<u>37,500</u>

The activities of the branch for 2010 and end-of-period adjusting and closing entries are reflected in the four home office ledger accounts below:

Investment in Metu Branch

Date	Explanation	Debit	Credit	Balance
2010	Balance, Dec. 31, 2009			45,500
	Merchandise billed to branch at markup of 50% above office cost, or 33 1/3% of billed price	120,000		165,500
	Cash received from branch		113,000	52,500
	Operating expenses billed to branch	4,500		57,000
	Net income for 2010 reported by branch	10,000		67,000

Allowance for Overvaluation of Inventories-Metu Branch

Date	Explanation	Debit	Credit	Balance
2010	Balance, Dec. 31, 2009			7,500
	Markup on merchandise shipped to branch during 2010 (50% of cost)		40,000	47,500
	Realization of 50% markup on merchandise sold by branch during 2010	37,500		10,000

Realized Goss Profit-Metu Branch Sales

Date	Explanation	Debit	Credit	Balance
2010	Realization of 50% markup on merchandise sold by branch during 2010		37,500	37,500
	Closing entry	37,500		-0-

Income-Metu Branch

Date	Explanation	Debit	Credit	Balance
2010	Net income for 2010 reported by branch		10,000	10,000
	Closing entry	10,000		-0-

In the accounting records of the home office at the end of 2010, the balance required in the Allowance for Overvaluation of Inventories-Metu Branch account is Br.10,000, that is, the billed price of Br.30,000 less cost of Br.20,000 for merchandise in the branch's ending inventories. Therefore, the allowance account balance is reduced from Br.47,500 to Br.10,000. This reduction of Br.37,500 represents the 50% markup on merchandise above cost that was realized by Metu Branch during 2010 and is credited to the Realized Gross Profit-Metu Branch Sales account. The Home Office account in the branch general ledger shows the following activity and closing entry for 2010:

Home Office

Date	Explanation	Debit	Credit	Balance
	Balance, Dec. 31, 2009			45,500
2010	Merchandise received from home office		120,000	165,500
	Cash sent to home office	113,000		52,500
	Operating expenses billed by home office		4,500	57,000
	Net income for 2010		10,000	67,000

The working paper for combined financial statements under the periodic inventory system, which reflects pre-adjusting and pre-closing balances for the reciprocal ledger accounts and the Allowance for Overvaluation of Inventories-Metu Branch account, is presented below:

Anchor Company
Working Paper for Combined Financial Statements of HO and Branch
For Year Ended December 31, 2010
(Periodic Inventory System: Billings above Cost)

	Trial Balances		Eliminations		Combined Statement
	HO	Branch	Dr.	Cr.	
Income Statement					
Sales	500,000	150,000			650,000
Inventories, Jan. 1,	45,000	22,500		(b) 7,500	60,000
Purchases	400,000				400,000
Shipments to Branch	80,000		(a) 80,000		
Shipments from HO		120,000		(a) 120,000	
Inventories, Dec. 31	70,000	30,000	(c) 10,000		90,000
Operating Expenses	120,000	27,500			147,500
Net Income- Carried Forward	85,000	10,000	90,000	127,500	132,500
Statement of Retained Earnings					
Retained Earnings , Jan. 1	117,000				117,000
Net Income- Brought Forward	85,000	10,000	90,000	127,500	132,500
Dividends	(60,000)				60,000
Retained Earnings , Dec. 31- C/F	142,000	10,000	90,000	127,500	189,500
Balance sheet					
Cash	30,000	9,000			39,000
Accounts Receivable	64,000	28,000			92,000
Inventories, Dec. 31, 2010	70,000	30,000		(c) 10,000	90,000
Allowance for Overvaluation of Inventory: Branch	(47,500)		(a) 40,000 (b) 7,500		
Investment in Branch	57,000			(d) 57,000	0
Equipment	158,000				158,000
Accumulated Depreciation- Equipment	(15,000)				(15,000)
Totals	316,500	67,000	47,500	67,000	364,000
Accounts payable	24,500				24,500
Home office		57,000	(d) 57,000		0
Common Stock, Br. 10par	150,000				150,000
Retained Earnings , Dec. 31- B/F	142,000	10,000	90,000	127,500	189,500
Totals	316,500	67,000	147,000	127,500	364,000

a) Is to eliminate reciprocal ledger accounts for merchandise shipments.

b) To reduce beginning inventories of branch to cost.

c) To reduce ending inventories of branch to cost.

d) Is to eliminate reciprocal ledger account balances.

The financial statements are shown below:

Anchor Company
Income Statement (Periodic Inventory System)
For Year Ended December 31, 2010

Sales

Br. 650,000

Cost of Goods Sold:	
Inventory, January 1, 2009	Br. 60,000
Purchases	<u>400,000</u>
Cost of Goods Available for sale	460,000
Less: Inventory, December 31, 2010	<u>90,000</u>
Cost of Goods Sold	<u>370,000</u>
Gross Margin on Sales	280,000
Operating Expenses	<u>147,500</u>
Net Income	<u>Br. 132,500</u>

Anchor Company
Statement of Retained Earnings
For Year Ended December 31, 2010

Retained Earnings, Beginning of Year	Br. 117,000
Add: Net Income	132,500
Subtotal	249,500
Less: Dividends	<u>60,000</u>
Retained Earnings, End of Year	<u>Br. 189,500</u>

Anchor Company
Balance Sheet
December 31, 2010

Assets	
Cash	Br. 39,000
Trade Accounts Receivable (net)	92,000
Inventories	90,000
Equipment	Br. 158,000
Less: Accumulated Depreciation	<u>15,000</u>
Total Assets	<u>Br. 364,000</u>
Liabilities and Stockholders' Equity	
Liabilities:	
Trade Accounts Payable	Br. 24,500
Stockholders' Equity:	
Common Stock, Br. 10 Par	150,000
Retained Earnings	<u>189,500</u>
Total Liabilities and Stockholders' Equity	<u>Br. 364,000</u>



Activity 4

Abyssinia Company operates 10 branches in addition to its home office and bills merchandise shipped by the home office to the branches at 10% above home office cost. All plants are carried

in the home office accounting records. The home office also conducts an advertising program that benefits all branches. Each branch maintains its own accounting records and prepares separate financial statements. In the home office, the accounting department prepares financial statements for the home office and combined financial statements for the enterprise as a whole. Explain the purpose of the financial statements prepared by the branches, the home office financial statements, and the combined financial statements.

1.8 1.7 Reconciliation of Home Office and Branch Accounts

- ⑦ Dear learner, can you give the reasons that create discrepancies in the balances between the home office and branch reciprocal accounts? Give your response in the space provided below.
-
-

Did you try? Fine! Look at the following explanations.

Reconciliation of reciprocal accounts-Reciprocal accounts must be reconciled, and any necessary adjustments made to bring these accounts into balance, before end-of-period procedures can be continued. Differences in reciprocal account balances can result from errors but usually arise when intrafirm transactions occur near the end of an accounting period. Such transactions are normally recorded by *either* the home office *or* the branch, but not by both. Delays in shipping or in processing information can mean the second half of the transaction goes unrecorded until the next accounting period. Following are some common examples of these transactions:

- Shipments in transit at the end of a period, recorded by the home office but not by the branch.
- Remittances from the branch mailed on the last day of an accounting period and therefore not yet received and recorded by the home office.
- Collections of home office receivables by the branch close to the end of a period, not recorded in the home office records.
- If all fixed asset records are maintained at the home office, a last-minute fixed asset purchase by the branch does not appear on the home office books at the end of the period.

All such transactions are recorded in only one reciprocal account by the end of the period. A reconciliation of reciprocal accounts and appropriate adjusting entries to record the other half of these transactions are needed so that the offsetting account balances are brought into agreement. Reciprocity between home office and branch accounts will not exist at year-end if errors have been made in recording reciprocal transactions either on the home office or the branch books, or if transactions have been recorded on one set of books but not on the other. The approach for reconciling home office and branch accounts at year-end is similar to the approach used for bank reconciliations.

Example:

The following information is available for Empire Corporation's home office and its Dire branch at December 2008:

1. Balances on December 31, 2008: Home Office account (branch books), Br.452,300; Investment in Branch: Dire account (home office books), Br.492,000.
2. The Dire branch sent a check for Br.12,000 cash to the home office on December 31, 2008. The home office did not receive the check until January 4, 2009.
3. The home office shipped merchandise costing Br.20,000 to its Dire branch on December 28, 2008 at a transfer price of Br.25,000. The merchandise was not received by the Dire branch until January 8, 2009.
4. Advertising expenses of Br.8,500 were allocated by the home office to the Dire branch. The expenses were recorded at Br.5,800 by the branch.

The schedule for Reconciliation of Home Office and Branch Accounts:

**Empire Corporation-Ho & Dire Branch
Reconciliation of Reciprocal Ledger Accounts
December 31, 2008**

	Home Office A/c (Branch Books)	Investment in Branch A/c (Home Office Books)
Balances Before Adjustments	Br.452,300	Br.492,000
Add: (3) Shipments in Transit to Dire Branch	25,000	
(4) Error in Recording Advertising Expenses	2,700	
Less: (2) Cash in Transit-Dire branch to HO	-	(12,000)
Adjusted Balances	<u>Br.480,000</u>	<u>Br.480,000</u>

The adjusting and correcting entries on December 31, 2008:

- Books of Home office: Cash in transit from branch to home office

Cash in transit	12,000
Investment in Branch: Dire	12,000
- Books of Branch: Merchandise in transit from the home office to branch

Shipments from HO-in transit	25,000
Home Office	25,000
- Books of Branch: Correct an error in recording an advertising expense allocation from home office as Br.5,800 rather than Br.8,500.

Advertising expense	2,700
Home Office	2,700

Although it is convenient to use the title "cash in transit" to ensure proper recording of the actual cash receipt, the cash is not in transit from the viewpoint of the combined entity, and it must be reported as cash and not cash in transit in the combined financial statements of the enterprise. When the accounts are updated to reflect these correcting entries, the home office and branch accounts have reciprocal balances.

1.9 Transactions among Branches

- ❓ Dear learner, can you state how transactions among branches are recorded? Give your response in the space provided below.

Did you try? Well done!

Although it is possible for a branch to have reciprocal accounts with other branches, there is little need to do so. As part of its control system, the home office coordinates and controls any transactions between branches through its investment in branch accounts. Branch offices record any transactions with other branches in their respective home office accounts.

Branches sometimes transfer assets or services from one to another. While there are several ways of accounting for such transfers, a commonly used approach is to treat the transfers as if they went through the home office. The branches involved in an interbranch transfer generally account for the transfer as if they are dealing with the home office rather than with another branch.

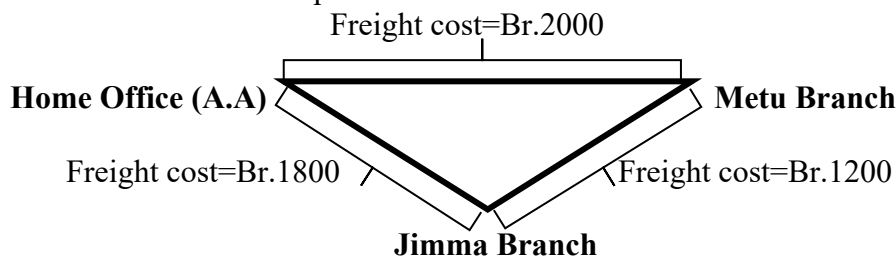
Merchandise shipments between branches are probably the most common type of interbranch transaction. Excess inventory at one branch location is frequently moved to cover a shortage at another location. In considering such interbranch transactions, one must also address the treatment of freight costs. The freight cost associated with direct shipment of the merchandise from the home office to the branch where it is sold is properly inventoriable. Shipments between branches, however, may cause the total freight cost incurred in getting the merchandise to its ultimate destination to exceed the cost of direct shipment from the home office. This excess is not inventoriable and is an expense of the current period generally attributable to the home office, which usually makes decisions on shipments.

Example:

To illustrate, suppose that the Metu branch received Br.10,000 of merchandise at cost from its home office in Addis; the home office paid the freight of Br.2,000. Subsequently, Metu is instructed to ship these items to the Jimma branch at an additional shipping cost of Br.1,200, also paid by the home office. *Had the items been shipped direct to Jimma from the home office, the freight cost would have been Br.1,800 and the following entries made:*

Home Office Books		Jimma Branch Books	
Investment in Jimma...	11,800	Shipments from Home Office...	10,000
Shipments to Jimma.....	10,000	Freight-In.....	1,800
Cash.....	1,800	Home Office.....	11,800

To achieve this result, we now prepare journal entries recording the original shipment to Metu and the interbranch shipment from Metu to Jimma:



The journal entries for the original shipment to Metu are as follows:

Home Office Books		Metu Branch Books	
Investment in Metu	12,000	Shipments from Home Office	10,000

Shipments to Metu	10,000	Freight-In	2,000
Cash	2,000	Home Office	12,000
		Jimma Branch Books	
		No entry	

The journal entries for the interbranch shipment from Metu Branch to Jimma Branch would be as follows:

Home Office Books		Metu Branch Books	
Investment in Jimma	11,800	Home Office	12,000
Shipments to Metu	10,000	Shipments from Home Office	10,000
Excess Freight Expense	1,400	Freight-In	2,000
Investment in Metu	12,000	Jimma Branch Books	
Shipments to Jimma	10,000	Shipments from Home Office	10,000
Cash	1,200	Freight-In	1,800
		Home Office	11,800

In addition to adjusting shipment accounts and home office and branch accounts, the freight accounts must be adjusted. Total freight charges incurred were Br.3200 (Br. 2000+ 1200), but the cost of shipping merchandise from the home office directly to the Jimma branch would have been Br. 1800. Only Br. 1800 is recorded as an inventoriable cost on the books of the Jimma branch. The duplicate shipments are assumed to have resulted from home office management errors, so the Br.1400 excessive freight is recorded as a home office loss. This accounting treatment is consistent with the accounting principle that inventory costs include only those costs necessary to get merchandise ready for final sale to customers.

▪ Disposal of Branch

If a branch qualifies as a segment then the treatment of a disposal of a branch as discontinued operations would be appropriate under APB Opinion No. 30, "Discontinued Operations...". As an example, suppose management of Amalgam Company decides to dispose of an unprofitable manufacturing operation, the Toy Branch. The branch is shut down shortly after the decision is made. It had incurred pretax losses of Br.300,000 in the current year and is sold at a pretax losses of Br.800,000. toy's property and liability accounts are maintained at the branch and after closing the books immediately prior to disposal, the Home office account has a credit balance of Br.1,500,000, reflecting various branch assets of Br.3,000,000, accumulated depreciation of Br.1,000,000, and liabilities of Br.500,000. The entries that would be made by the branch and home office to record the disposal are as follows:

Home Office Books

Cash	700,000
Loss on Disposal of Branch	800,000
Investment in Branch	1,500,000

Toy Branch Books

Accumulated Depreciation: Plant assets	1,000,000
Liabilities	500,000
Home Office	1,500,000

Assets 3,000,000

Assuming Amalgam's marginal income tax rate is 40 percent, Amalgam would disclose the following information in its income statement for the period in which the disposal occurred:

<u>Income Statement (partial)</u>		
Income from Continuing Operations		Br.XXX
Discontinued Operations:		
Operating Loss (Net of Income Tax Credit of Br.120,000)	(Br.180,000)	
Loss on Disposal (Net of Income Tax Credit of Br.320,000)	<u>(480,000)</u>	<u>660,000</u>
Net Income (Loss)		<u>Br.XXX</u>



Activity 5

Great Company operates a number of branches but centralizes its accounting records in the home office and maintains control of branch operations. The home office found that Mega Branch had an ample supply of a certain item of merchandise but that Alpha Branch was almost out of the item. Therefore, the home office instructed Mega Branch to ship merchandise with a cost of Br. 5000 to Alpha Branch. What journal entry should Mega Branch make, and what principle should guide the treatment of freight costs? (Assume that Mega Branch uses the perpetual inventory system.)

1.10 Accounting for Foreign Branches and Foreign Currency Transactions

1.1.1 Nature of Foreign Currency Transactions

- ③ Dear learner, what is a foreign currency transaction? Provide your response by citing examples in the space provided.

A transaction that is denominated requires settlement in a foreign currency is called a foreign currency transaction. These transactions include import and export dealings with foreign suppliers and customers, *borrowing* and *lending* in foreign currencies, and various hedging (risk-neutralizing) transactions.

Measured Versus Denominated

Transactions are normally measured and recorded in terms of the currency in which the reporting entity prepares its financial statements. This currency is usually the domestic currency of the country in which the company is domiciled and is called the reporting currency.

Assets and liabilities are denominated in a currency if their amounts are fixed in terms of that currency. Thus, a transaction between two Ethiopian companies requiring payment of a fixed number of birr is both measured and denominated in dollars. In a transaction between an Ethiopian firm and a foreign company, the two parties usually negotiate whether the settlement is

to be made in birr or in the domestic currency of the foreign company. If the transaction is to be settled by the payment of a fixed amount of foreign currency, the Ethiopian firm measures the receivable or payable in birr, but the transaction is denominated in the specified foreign currency. To the foreign company, the transaction is both measured and denominated in its domestic currency.

1.1.2 Accounting for Foreign Currency Transactions

- ⑨ Dear learner, do you know the way how foreign currency transactions are translated and accounted for? Give your answer in the space provided.
-
-

Did you try? Ok!

Businesses are usually involved in purchase, sales, and/or loan transactions with foreign companies. These results in transactions being denominated (expressed) in another currency than the reporting currency of the business. Transactions are translated into the reporting currency on the date of the transaction. On date of payment or collection related to the transaction or on the balance sheet date, the exchange rates could differ from those on the date of recording the original transaction - implying the need to recognize foreign exchange gains or losses.

Exchange Rates - Means of Translation

Translation is the process of expressing monetary amounts that are stated in terms of a foreign currency in the currency of the reporting entity by using an appropriate exchange rate. An *exchange rate* “is the ratio between a unit of one currency and the amount of another currency for which that unit can be exchanged at a particular time.”

A *direct exchange quotation* (for an Ethiopian company) is one in which the exchange rate is quoted in terms of how many Ethiopian birr can be converted into *one unit of foreign currency*.

Example: 1USD = ETB 8.532 means it takes ETB 8.532 to purchase 1 USD.

If the direct exchange rate *increases*, the foreign currency is strengthening relative to the dollar because more dollars are needed to purchase the equivalent amount of foreign currency. Similarly if the direct exchange rate decreases, the dollar is strengthening relative to the foreign currency.

Exchange rates are also stated in terms of converting *one unit of the domestic currency* into units of a foreign currency, which is called an *indirect quotation*. Example: Br. 0.1172 USD = ETB1. The indirect rate is the reciprocal of the direct rate, i.e. divide the direct rate into 1 ($1/8.532 = 0.1172$).

Foreign currencies are traded on both spot markets and forward (or future) markets. Exchange rates may be quoted for the immediate delivery of currencies exchanged (*spot rate*), or for future delivery (*forward* or *future rate*) of currencies exchanged. The forward rate is an exchange rate established at the time a forward exchange contract is negotiated. The bank's *buying spot rate* for the currency typically is less than the selling spot rate; the *agio* (or *spread*) between the selling and buying spot rates represents gross profit to a trader in foreign currency. A *forward exchange contract* is a contract to exchange at a specified rate (the *forward rate*) currencies of different countries on a stipulated future date.

In both the spot and forward markets, a foreign exchange trader provides a quotation for buying (the *bid rate*) and a quotation for selling (the *offer rate*) foreign currency. The trader's buying rate will be lower than the quoted selling rate, and the spread between the two rates is profit for the trader

In each unsettled foreign currency transaction, there are three stages of concern to the accountant.

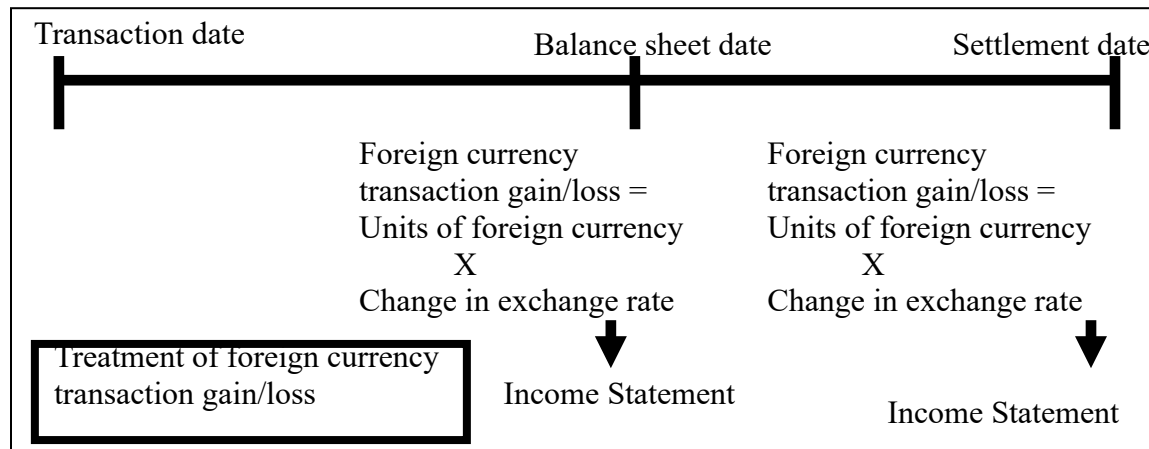
- a. ***At the date the transaction is first recognized in conformity with Generally Accepted Accounting Principles.*** Each asset, liability, revenue, expense, gain, or loss arising from the transaction is measured and recorded in ETB by multiplying the units of foreign currency by the current exchange rate.
- b. ***At each balance sheet date that occurs between the transaction date and the settlement date.*** Recorded balances that are denominated in a foreign currency are adjusted to reflect the current exchange rate in effect at the balance sheet date.
- c. ***At the settlement date.*** In the case of a foreign currency payable, an Ethiopian firm must convert ETB into foreign currency units to settle the account, whereas foreign currency units received to settle a foreign currency receivable will be converted into ETB.

The increase or decrease in the expected cash flow is generally reported as a foreign currency ***transaction gain or loss***, sometimes referred to as an ***exchange gain or loss***, in determining net income for the current period. Exceptions to this treatment of transaction gains and losses are Intercompany transactions that are of a long-term financing or capital nature between an investor and an investee that is consolidated, combined, or accounted for by the equity method.

Dear Student! The accounting treatment of the foreign currency transactions can be summarized and shown as follows:

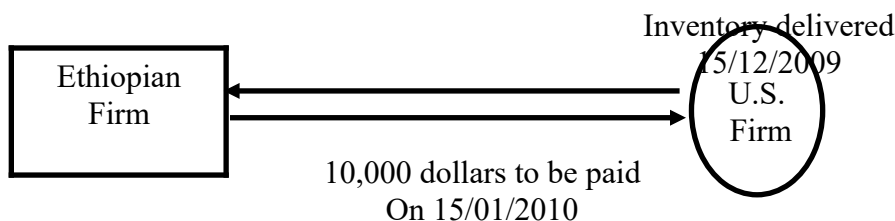
Table 1: Accounting for foreign currency transactions

Transaction date	Balance sheet date	Settlement date
Record transaction as: Units of foreign currency X Current exchange rate	Record accounts denominated in foreign currency as: Units of foreign currency X Current exchange rate	Settle accounts denominated in foreign currency as: Units of foreign currency X Current exchange rate



A. Foreign Currency-Denominated Purchase (Import) Transaction

To illustrate a purchase of merchandise from a foreign supplier, assume that on December 15, 2009, Worldwide Corporation purchased merchandise from a U.S. supplier at a cost of 10,000 dollars. The U.S. supplier made the sale on 30-day open account.



Spot rates (selling):

Transaction date:	ETB 12.50
Balance sheet date:	ETB 12.40
Settlement date:	ETB 12.20

- Conceptually, the firm has essentially three alternatives at year end:
 - Ignore the fluctuation. Ignoring the loss is potentially dangerous.
 - Adjust the amount of the purchase (called the one transaction approach). Adjustment of the price of the purchase transaction does not reflect the economic reality that the purchase occurred on Dec. 15 when the rate was ETB12.50.
 - Recognize the change in currency value as an exchange loss (the two transaction approach). The two transaction approach is the preferred (and generally accepted) alternative. The recognition of the exchange rate fluctuation as a separate economic event is consistent with the view that the purchase is entirely separate from any arrangement which may have been made for payment.
- The journal entry on the transaction date for Worldwide to record the purchase on 30-days open account from US supplier for Br.10,000, translated at selling spot rate of US1=ETB 12.50 (Br.10, 000* ETB12.50=ETB125,000) is as follows:

Inventories.....	125,000
Accounts Payable (10,000 dollars x ETB 12.50/USD).....	125,000

The *selling* spot was used in the journal entry, because it was the rate at which the liability to the US supplier could have been settled on January 15, 2010.

Foreign Currency Transaction Gains and Losses-During the period that the trade account payable to the US supplier remains unpaid, the *selling* spot rate for the dollar may change. If the selling spot rate *decreases* (the dollar *weakens* against the birr.) Worldwide will realize a *foreign currency transaction gain*; if the selling spot rate *increases* (the dollar *strengthens* against the birr); Worldwide will incur a *foreign currency transaction loss*. Foreign currency transaction gains and losses are included in the measurement of net income for the accounting period in which the spot rate changes.

To illustrate, assume that on December 31, 2009, the selling spot rate for the US was Br.1 = ETB 12.40 and Worldwide prepares financial statements monthly. The accountant for worldwide records the following journal entries with respect to the trade account payable to the US supplier:

Accounts Payable	1,000
Foreign Currency Gains [10,000 USD x ETB(12.50-12.40)/USD]	1,000
To recognize foreign currency transaction gain applicable to December 31, 2009, Purchase from US supplier, as follows:	
Liability recorded on Dec. 15	ETB 125,000
Less: Liability translated at Dec.31, 2009, selling spot rate:	
Br.1=ETB12.40 (Br.10,000 * ETB12.40=Br.124,000)	<u>124,000</u>
Foreign currency transaction gains	ETB <u>1,000</u>

Assume further that the selling spot rate on January 15, 2010, was Br.1=ETB12.20. The January 15, 2010, journal entry for Worldwide's payment of the liability to the US supplier is shown below:

Trade Accounts Payable (ETB125,000-ETB 1,000)	124,000
Foreign Currency Gains [10,000 Dollars x ETB (12.40-12.20)/USD]	2,000
Cash (10,000 dollars*ETB 12.20/USD)	122,000
To record payment for Br.10,000 draft to settle liability to US Supplier, and recognition of transaction gain (Br.10,000 * ETB12.2=Br.122,000).	

Two-Transaction Perspective and One-Transaction Perspective: The above journal entries reflect the *two-transaction perspective* for interpreting a foreign trade transaction. Under this concept, this was sanctioned by the FASB in FASB Statement No. 52, Worldwide's dealings with the US supplier essentially were *two separate transactions*. One transaction was the purchase of the merchandise; the second transaction was the acquisition of the foreign currency required to pay the liability for the merchandise purchased. Supporters of the two-transaction perspective argue that an importer's or exporters assumption of a risk of fluctuations in the exchange rate for a foreign currency is a *financing* decision, not a *merchandising* decision.

Advocates of an opposing viewpoint, the *one-transaction perspective*, maintain that Worldwide's total foreign currency transaction gain of ETB3,000 (ETB1,000 + ETB2,000 = ETB3,000) on its purchase from the US supplier should be applied to reduce the cost of the merchandise purchased. Under this approach, Worldwide would not prepare a journal entry on December 31, 2009, but would prepare the following journal entry on January 15, 2010 (assuming that all the merchandise purchased on December 15 had been sold by January 15):

Trade Accounts Payable	125,000
Cost of Goods Sold	3,000
Cash	122,000

To record payment for Br.10,000 *ETB12.20= ETB122,000 to settle liability to US supplier and offset of resultant transaction gain against cost of goods sold.

In effect, supporters of the one-transaction perspective for foreign trade activities consider the original amount recorded for a foreign merchandise purchase as an *estimate*, subject to adjustment when the exact cash outlay required for the purchase is known. Thus, the one-transaction proponents emphasize the *cash-payment* aspect, rather than the *bargained-price* aspect, of the transaction.



Activity 6

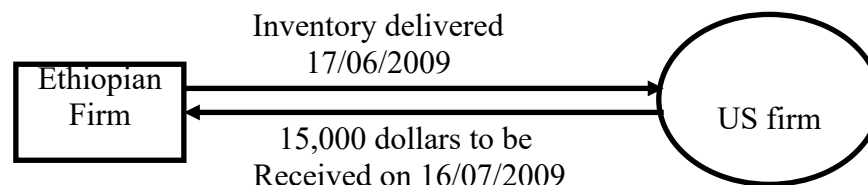
A newspaper listed spot exchange rates for the USD (Br.) as follows:

Buying rate: Br.1 = ETB12.50 & Selling rate: Br.1 = ETB12.54

How many ETB does a Ethiopian enterprise have to exchange for Br.50,000 at the above rates to settle a trade account payable denominated in that amount to a US supplier? Explain.

B. Sale of Merchandise to a Foreign Customer

Assume that on June 17, 2009, worldwide Corporation, which uses the perpetual inventory system, sold merchandise with cost of ETB 122,000 to a US customer for USD15, 000, with payment due July 16, 2009. On June 17, 2009, the buying spot rate for the USD was Br.1=ETB12.10.



Spot rates (buying):

Transaction date : ETB12.10

Balance sheet date: ETB12.07

Settlement date : ETB12.075

To record sale on 30-days open account to US customer for Br.15,000, translated at buying spot rate of ETB12.10 (Br.15, 000 * ETB12.10=ETB181,500) Worldwide prepares the following journal entries on June 17, 2009 (transaction date).

Accounts Receivable (15,000 dollars x ETB12.10/USD)	181,500
Cost of Goods Sold	122,000
Sales	181,500
Inventories	122,000

Assuming that the buying spot rate for the USD was Br.1 = ETB12.07 (the USD weakened against the ETB) on June 31, 2009 (balance sheet date), when Worldwide prepared its customary monthly financial statements, the following journal entry is appropriate:

Foreign Currency Losses [15,000 Dollars ETB (12.10-12.07)/USD]	450
Accounts Receivable	450

To recognize transaction loss applicable to June 17, 2009, sale to US customer as follows:

Asset recorded on June 17, 2009	ETB 181,500
Less: Asset translated at June 30, 2009, @ buying spot rate=15,000 dollars X ETB 12.07/USD	<u>181,050</u>
Foreign currency transaction loss	<u>ETB 450</u>

If on July 16, 2009 (settlement date), the date when Worldwide received a draft for Br.15, 000 from the US customer, the USD had strengthened against the ETB to a buying spot rate of Br.1 = ETB12.075, Worldwide's journal entry would be as follows:

Cash (15,000dollars*ETB12.075/USD)	181,125	
Accounts Receivable (181,500-450)		181,050
Foreign Currency Gains[15,000 dollars x ETB(12.075-12..07)/USD]		75

To record receipt and conversion to ETB of Br.15, 000 draft in payment of Receivable from US customer, and recognition of foreign currency transaction Gain (Br.15,000 * ETB12.075=ETB 181,125).

C. Loan Payable Denominated in a Foreign Currency

If a multinational enterprise elects to borrow a foreign currency to pay for merchandise acquired from a foreign supplier, the following journal entries would be illustrative:

2009	Inventories	125,000	
Apr. 30	Trade Accounts Payable		125,000

To record purchase from US supplier for Br.10,000 Translated at selling spot rate of USD1 = ETB12.50 (USD10, 000 * ETB12.50 = ETB125, 000).

2009	Trade Accounts Payable	125,000	
Apr. 30	Notes Payable		125,000

To record borrowing of USD 10,000 from bank on 30-days, 6% Loan to be repaid in dollars, and payment of liability to US supplier.

2009	Notes Payable	125,000	
May 30	Interest Expense (Br.10,000 * 0.06 * 30/360*ETB12.60)		630
	Foreign Currency Transaction Losses		1000
	Cash		126,630

To record Payment for Br.10,050 draft to settle Br.10, 000,30-days, 6% note, together with Br.50 interest, at selling spot rate of USD1 = ETB12.60 (Br.10, 050 * 12.60 = ETB 126630), and recognition of foreign currency transaction loss.

D. Loan Receivable Denominated in a Foreign Currency

A multinational enterprise's receipt of a promissory note denominated in a foreign currency might be illustrated by the following journal entries.

2009	Notes Receivable	126,000	
May 30	Cost of Goods Sold		100,000
	Sales/Cash		126,000
	Inventories		100,000

To record sale to US customer for 60-day, 9% promissory note for Br.10, 000 * ETB 12.60= ETB 126, 000).

2009	Notes Receivable	1,000
June 30	Interest Receivable(Br.10,000 * 0.09 * 30/360*ETB12.70)	952.5
	Interest Revenue	952.5
	Foreign Currency Transaction Gains	1,000

To recognize foreign currency transaction gain applicable to May 31, 2009, sale to US customer and to accrue interest on note receivable from the customer, valued at the buying spot rate of USD1= ETB12.70.

Note: Computation of transaction gain	
Receivable translated at June 30, buying spot Rate (Br.10,000 *ETB12.70)	ETB127,000
Receivable recorded on May 31, 2009	<u>126,000</u>
Transaction gain	<u>ETB1,000</u>

The transaction gain is computed as follows:

2009	Cash (Br.10,150 *ETB 12.65)	128397.5
June 30	Foreign Currency Losses	503.75
	[(Br.10,000 + Br.75)*(ETB12.70-ETB12.65) =]	
	Notes Receivable (ETB127,000-ETB1,000)	127,000
	Interest Receivable	952.5
	Interest	948.75
	Revenue[Br.10,000*12.65*.09*30/360]	

To record receipt and conversion to ETB of Br.10,150 draft to settle 60-days, 9% notes, and recognition of foreign currency transaction loss of ETB503.75 [(Br.10,000 + Br.75)*(ETB12.70-ETB12.65) =ETB503.75].



Activity 7

Are foreign currency transaction gains or losses entered in the accounting records prior to collection of a trade account receivable or payment of a trade account payable denominated in a foreign currency? Explain.

1.1.3 Translation of Branch Foreign Currency Financial Statements

Dear learner, participation of Ethiopian Companies in the globalized marketplace encompasses more than establishing business operations abroad. The volume of foreign trade and the well-known “trade deficit” frequently reported in the news indicate the vast number of business transactions involving Ethiopian companies, foreign customers and suppliers, and foreign currencies. When transactions such as these must be settled in foreign currencies rather than birr, the cash flows of domestic companies are exposed to the risks of adverse movements in foreign exchange rates. Thus, the first part of this unit covers the accounting for foreign currency transactions. This study of accounting for foreign currency transactions will round out your background in accounting for international operations.

The magnitude of multinational investment has increased significantly in response to a more global economy, a reduction in trade barriers, and the growth of international capital markets. These same factors have encouraged an increase in foreign investments in Ethiopia. Problems of foreign exchange accounting are encountered when a business engages in operations outside the territorial limits of its country. The accounting treatment of domestic and foreign entity relationships that involve some degree of control are summarized as follows:

Domestic entity	Foreign entity	Accounting treatment
Home office	Branch	Branch accounting
Parent	Subsidiary	Consolidated financial statements or separate financial statements
Investor	Investee	Investment in foreign entity at market or equity

The above relationships suggest the need to combine or consolidate the foreign entity financial statements with those of the domestic entity. The financial statements of a foreign entity typically are measured in the currency of that foreign country. This currency usually is different from the reporting currency of the domestic entity. Therefore, a methodology must be developed to express the foreign entity's financial statements in the reporting currency of the domestic entity. The process of expressing amounts denominated or measured in foreign currencies into amounts measured in the reporting currency of the domestic entity is referred to as foreign currency translation.

- ❓ Dear learner, what is the meaning of translation? What is the objective of translation? What are the methods of translating foreign currency financial statements? Give your response in the space provided.

Have you attempted? Good! Please carefully examine the following sections.

• Meaning of Translation

A firm may maintain branch offices or hold equity interests in companies that are domiciled in foreign countries. As a general rule, a foreign subsidiary is consolidated if the parent company owns, directly or indirectly, a controlling interest in the voting stock of the subsidiary. The exceptions to the general rule are: (1) The intent to control is likely to be temporary and (2) Control does not actually rest with the parent company.

A company maintaining a branch office in a foreign country or holding an equity interest in a foreign company must convert the accounting data expressed in a foreign currency into the reporting currency before the financial statements can be combined or consolidated. In the process of translation, all accounts of the foreign entity stated in units of foreign currency are converted into the reporting currency by multiplying the foreign currency amounts by an exchange rate. Such that,

- Accounts measured in Foreign Currency Units * Appropriate Exchange Rate = Accounts measured in Reporting Currency Equivalent Value

Objectives of Translation of Foreign Currency Financial Statements

Translation of foreign currency financial statements has twofold objectives. These are:

- To provide information that is generally compatible with the exposed economic effects of an exchange rate change on an enterprise's cash flows and equity.

- To reflect, in consolidated statements, the financial results and relationships of the individual consolidated entities as measured in their functional currencies in conformity with generally accepted accounting principles.

• **Translation Methods & Criteria for Applications**

The translation method used should reflect the parent's exposure to foreign exchange rate (currency) changes or the functional currency of the foreign affiliate. Functional Currency of the subsidiary determines which translation method is to be used. Foreign currency exposure is the risk that a loss (or gain) could occur as a result of changes in foreign exchange rates. It has three components:

- a. **Translation exposure (accounting exposure)**– this exposure reflects the risk that the translation of foreign currency denominated financial statements into reporting currency will result in losses or gains for accounting purposes. Only those financial statement items translated at the current rate create an accounting exposure since the reporting currency value of those items changes every time the exchange rate changes. The value of items translated using the historical rate is fixed and does not fluctuate with rate changes.
- b. **Transaction exposure**– this exposure represents the potential foreign exchange loss or gain that can occur between the time of entering a transaction (e.g. sale or purchase) involving a foreign currency-denominated receivable or payable, and the time of settling it in cash with the customer or vendor. The resulting cash gains and losses are realized and affect the enterprise's cash flows, working capital, and earnings.
- c. **Economic exposure**– Represents a longer-term risk to the parent that the value of its investment in a foreign subsidiary will change (decrease or increase) as a result of exchange rate fluctuations. Economic exposure varies depending on how closely linked the activities of the parent are to the subsidiary.

An entity's functional currency is the currency of the primary economic environment in which the entity operates; normally, that is the currency of the environment in which an entity primarily generates and expends cash (i.e. it can be the local currency of the affiliate, the currency of the reporting enterprise, or a third currency). Economic factors which influence determination of the functional currency or used to evaluating foreign operation are presented here below.

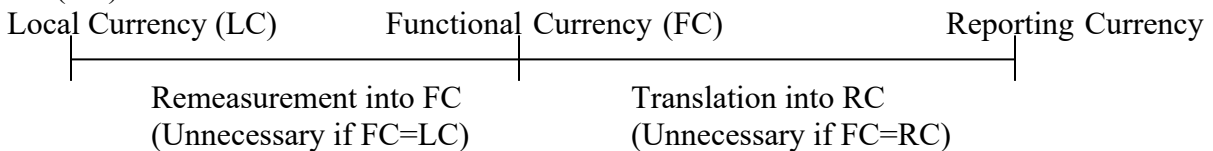
Often, the functional currency is the local currency of the country in which the entity is located and in which the accounting records are maintained. The ETB may be identified as the functional currency when a foreign branch or subsidiary is a direct extension or an integral component of the reporting Ethiopian parent company. The functional currency could be a currency other than the ETB, such as the local currency of the foreign entity.

Economic Indicators	Integrated Subsidiary	Self-Sustaining Subsidiary
	Functional currency probably is:	

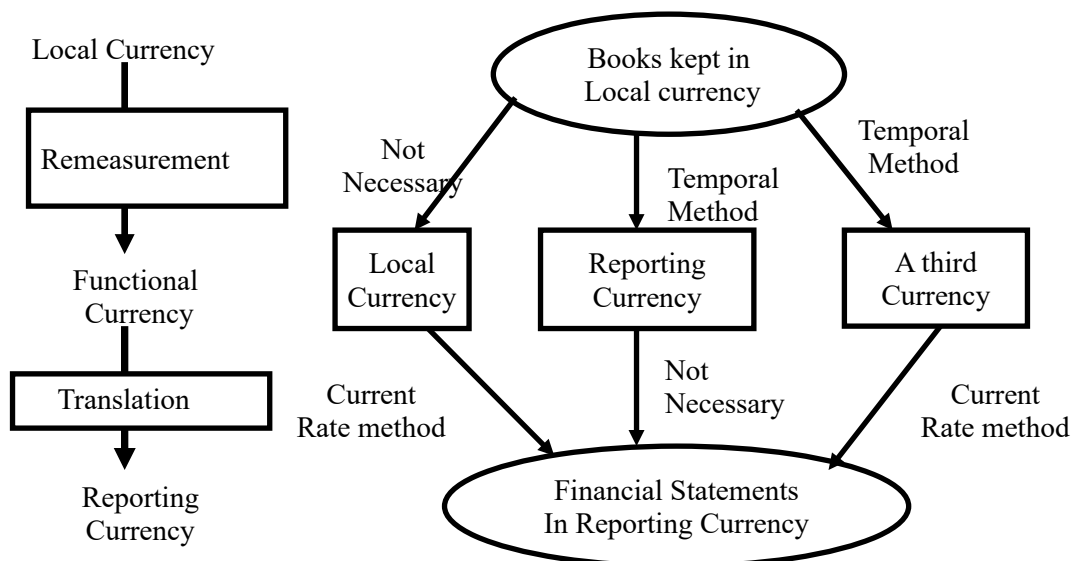
	Parent's Currency	Local or Other Foreign Currency
Cash flows of the reporting enterprise	Directly affected by day-to-day activities of the foreign operation	Insulated from day-to-day activities of the foreign operation
Sales prices of the foreign operation	Determined more by world-wide competition and international prices Responsive on a short-term basis to changes in exchange rates	Determined more by local competition and local government regulation Immune on a short-term basis to changes in exchange rates
Sales market of the foreign operation	Primarily within the country of the reporting enterprise	Primarily outside the country of the reporting enterprise
Products and service costs of the foreign operation (Expenses)	Obtained primarily from the country of reporting enterprise	Obtained primarily from the foreign country
Financing of day-to-day activities of the foreign operation	Primarily from the reporting enterprise or borrowing from the country of the reporting company	Primarily from its own operations and local borrowings
Day-to-day activities between the foreign operation and the reporting enterprise	Strong interrelationship because of a high volume of intercompany transactions	Weak interrelationship because of a low volume of intercompany transactions

After the foreign entity's Functional Currency is determined, translation under SFAS 52 is conceptually the two-step process appearing below:

1. (FC). Remeasure the entity's local currency (LC) statements into its functional currency
2. (RC). Translate the functional currency (FC) statements into the reporting currency



Alternatively, the process can also be described as follows.



Note, however, that one of these two steps is already complete if the entity's functional currency is either its local currency (LC) or the reporting currency (RC). Only when the entity's functional currency is neither its local currency nor the reporting currency are two separate numerical calculations required.

Statement of Financial Accounting Standard No. 52 adopted the current rate method for translating the foreign entity's financial statements from the entity's functional currency to the reporting currency of the parent company. If the foreign entity's accounting records are maintained in a currency other than its functional currency, account balances must be re-measured to the functional currency before the foreign entity's financial statements may be translated. Re-measurement essentially is accomplished by the monetary/non-monetary method. If a foreign entity's functional currency is the reporting currency of the parent company, re-measurement eliminates the need for translation of the entity's financial statements.

Current rate method: When using the current rate method, all assets and liabilities are translated using the current exchange rate. Revenue and expense transactions are translated at the exchange rate prevailing on the date each underlying transaction occurred (historical rate), if practical. Otherwise, average exchange rates are used. Owners' equity amounts are translated using historical rate.

Temporal (Monetary/non-monetary) method: Under this method, monetary assets and liabilities such as cash, receivables, and payables are translated at the current exchange rate. Other assets and liabilities, and owners' equity amounts are translated at historical exchange rates.

Translation & Remeasurement methods under SFAS No. 52 are summarized and shown in the following table.

Item	Translation/Remeasurement Process	
Balance sheet accounts:	Current Rate Method	Temporal Method
Monetary accounts	Current rate (C)	Current rate (C)
Nonmonetary accounts	Current rate (C)	Historical rate (H)
Owners' equity accounts	Historical rate (H)	Historical rate (H)
Retained earnings	Prior period's balance plus income less dividends	Prior period's balance plus income less dividends
Income statement accounts:		
Revenues	Average rate (A)	Average rate (A)
Variable expenses	Average rate (A)	Average rate (A)
Fixed expenses	Average rate (A)	A/H for costs related to Nonmonetary items
Exchange rate adjustments arising in process	Translation adjustment accumulated directly into a separate component of stockholders' equity (comprehensive income)	Remeasurement gain or loss included in period's income statement

Exchange Rates

The translation of financial statements in terms of domestic currency calls for the use of rates of exchange that express the value relationships between a foreign country's basic monetary unit and the domestic unit.

2. The **current exchange rate (C)** is the spot rate in effect at the end of the accounting period (i.e., the balance sheet date).

3. The **historical exchange rate (H)** is the spot rate in effect on the date a transaction takes place.
4. The **average exchange rate (A)** is the weighted average exchange rate during a particular accounting period.

Example on Remeasurement of Foreign Branch Accounts Balances

To illustrate the remeasurement of a foreign entity's account balances to the entity's reporting currency from another currency, assume Genale Company has a branch in India. Assume also that merchandise shipments by the home office are billed to the branch in excess of home office cost, and that both the home office and the branch use the perpetual inventory system. The branch is located in India, and the branch maintains its accounting records in the Indian Rupees (Rs), the local currency.

Year 2012 transactions and events of Genale Company's home office and its branch in Indian are indicated below. Following each transaction is the exchange rate for the Indian Rupees on the date of the transaction or event.

Transactions or Events for Year 2012:

1. Cash of Br.1,000 was sent by the home office to the Indian branch (1Rs=Br0.20).
2. Merchandise with a cost of Br60,000 was shipped by the home office to the Indian branch at a billed price of Br90,000 (1Rs=Br0.20).
3. Equipment was acquired by the Indian branch for Rs2,500, to be carried in the home office accounting records (1Rs=Br0.20).
4. Sales by the Indian branch on credit amounted to Rs500,000 (1Rs=Br0.16). cost of goods sold was Rs337,500.
5. Collections of trade accounts receivable by the Indian branch amounted to Rs248,000 (1Rs=Br0.25).
6. Payments for operating expenses by the Indian branch totaled Rs80,000 (1rs=Br0.25).
7. Cash of Rs156,250 was remitted by the Indian branch to home office (1Rs=Br0.24).
8. Operating expenses incurred by the home office charged to the Indian branch totaled Br3,000 (1Rs=Br0.24).

The exchange rate on December 31, 2012, was 1Rs=Br0.23. the foregoing transactions or events are recorded by the home office and by the Indian branch with the following journal entries:

Genale Company Home Office and Branch Journal Entries For year 2012			
Home office Books (in ETB)		Indian Branch Books (Indian Rupees)	
1)Investment in Indian Branch	1,000	Cash	1,000
Cash	1,000	Home Office	1,000
2)Investment in Indian Branch	90,000	Inventories	450,000
Inventories	60,000	Home Office	450,000
Allowance for Overvaluation of Inventories	30,000		
3)Equipment: Indian Branch	500	Home Office	2,500
Investment in Indian Branch	500	Cash	2,500

4) None		Accounts Receivable	500,000	
		Cost of Goods Sold	337,500	
		Sales		500,000
		Inventories		337,500
5) None		Cash.....	248,000	
		Accounts Receivable.....	248,000	
6) None		Operating expenses	80,000	
		Cash		80,000
7) Cash	37,500	Home office	156,250	
Investment in Indian Branch.....	37,500	Cash		156,250
8) Investment in Indian Branch.....	3,000	Operating expenses	12,500	
Operating expenses	3,000	Home office		12,500

In the home office accounting records, the Investment in Indian Branch ledger account in Birr (home office reciprocal ledger account with branch) before the accounts are closed would be as follows:

Investment in Indian Branch				
Date	Explanation	Debit	Credit	Balance
	Cash sent to branch	Br1,000		Br1,000 dr
	Shipment of merchandise to branch	90,000		91,000 dr
	Acquisition of equipment by branch		Br500	90,500 dr
	Cash received from branch		37,500	53,000 dr
	Allocation of operating expenses to branch	3,000		56,000 dr

In the branch accounting records, the Home Office ledger account in Rupees (branch reciprocal ledger account with home office) before the accounts are closed is shown below:

Home Office				
Date	Explanation	Debit	Credit	Balance
	Cash received from home office		Rs5,000	Rs5,000 cr
	Merchandise received from home office		450,000	455,000 cr
	Acquisition of equipment by branch	Rs2,500		452,500 cr
	Cash sent to home office	156,250		296,250 cr
	Allocation of operating expenses from home office	3,000		56,000 cr
			12,500	308,750 cr

The Indian Branch trial balance and financial statements in Rupees for the Year 2012 are shown below:

Genale Company- Indian Branch
Trial Balance
December 31, 2012

	<u>Debit</u>	<u>Credit</u>
Cash	Rs14,250	
Accounts Receivable	252,000	
Inventories	112,500	
Home office		Rs308,750
Sales		500,000
Cost of Goods Sold	337,500	
Operating Expenses	<u>92,500</u>	
Totals	<u>Rs808,750</u>	<u>Rs808,750</u>

Genale Company
Income Statement-Indian Branch
For the year ended Dec. 31, 2012

Sales	Rs500,000
Cost of Goods Sold	337,500
Gross Profit	162,500
Operating Expenses	<u>92,500</u>
Net Income	<u><u>Rs70,000</u></u>

Genale Company
Balance Sheet-Indian Branch
December 31, 2012

Cash	Rs14,250	Liabilities	-0-
Accounts receivable	252,000		
Inventories	<u>112,500</u>	Home office	<u>Rs378,750</u>
Total assets	<u><u>Rs378,750</u></u>	Total Liabilities and Equity	<u><u>Rs378,750</u></u>

The Indian Branch trial balance on December 31, 2012 is remeasured as follows:

Genale Company- Indian Branch
Trial Balance Remeasured into Birr
December 31, 2012

	<u>Balance</u> <u>Dr (Cr)</u>	<u>Exchange</u> <u>Rate</u>	<u>Balance</u> <u>Dr (Cr)</u>
Cash	Rs14,250	Br0.23(1)	Br3,278
Accounts Receivable	252,000	0.23(1)	57,960
Inventories	112,500	0.20(2)	22,500
Home office	(308,750)	------(3)	(56,000)
Sales	(500,000)	0.215(4)	(107,500)
Cost of Goods Sold	337,500	0.20(2)	67,500
Operating Expenses	<u>92,500</u>	<u>0.215(4)</u>	<u>19,887</u>
Subtotals	<u><u>Rs-0-</u></u>		Br7,625
Remeasurement Gain			<u>(7,625)</u>
Totals			<u><u>-0-</u></u>

Note:

- 1) Current rate on December 31, Year 2012.
 - 2) Historical rate (when goods were shipped to branch by home office or the rate on date of acquisition of goods from home office).
 - 3) Balance of Investment in Indian Branch ledger account in home office accounting records or reciprocal amount, i.e. monetary value on home office books for corresponding transaction.
 - 4) Average of beginning (1Rs = Br0.20) and ending (1Rs = Br0.23) exchange rates for Year 1.
- In a review of the remeasurement of the Indian Branch trial balance, the following four features should be noted.
- i. Monetary assets are remeasured at the current rate; the single nonmonetary asset – inventories- is remeasured at the appropriate historical rate.

- ii. To achieve the same result as remeasurement of the Home Office ledger account transactions at appropriate historical rates, the balance of the home office's Investment in Indian Branch account (in Birr) is substituted for the branch's Home Office account (in Rupees). All equity ledger accounts regardless of legal form of the investee are translated at historical rates.
- iii. A simple average of beginning-of-year and end-of-year exchange rates is used to remeasure revenue and expense accounts other than cost of goods sold, which is remeasured at the appropriate historical rates. In practice, a quarterly, monthly, or even daily weighted average might be computed.
- iv. A balancing amount labeled remeasurement gain, which is not a ledger account, is used to reconcile the total debits and total credits of the branch's remeasured trial balance. This remeasurement gain is included in the measurement of the branch's net income for year 2012, because it results from the branch's transactions having been recorded in Indian Rupees, the branch's local currency.

After the trial balance of the Indian branch has been remeasured from Indian Rupees to Birr, combined financial statements for home office and branch may be prepared.

The Exchange Adjustment

If all of the accounts of the branch were restated at a single exchange rate, accounts after translation into birr would be in balance; however, restatement of items at different rates leaves the accounts out of balance. When rates of exchange have fluctuated narrowly during the period, the difference between debits and credits will be small; when rates have fluctuated widely, the difference may be large. In either case, the accounts are brought into balance by recognizing a debit or a credit to an exchange adjustment balance. A required debit to the exchange adjustment balance may be viewed as an expense item, and a credit to this balance may be viewed as a revenue item. Under this procedure, asset and liability balances as translated are accepted as complete and accurate; any trial balance difference calls for adjustment in the nominal account section. The gain or the loss is reported on the income statement as other revenue or other expense.

☑ Check List

Dear learner, check your mastery level concerning knowledge and skill you got about sales agencies and branches by marking a "✓" if you know it well or "X" if you do not in the box against each question.

1. Can you state the characteristics of agency-principal and home-office branch relationships? ☐
2. Can you describe the two basic accounting systems in home office-branch accounting? ☐
3. Can you explain the advantages and disadvantages of each of the three ways of merchandise billing procedures? ☐
4. Can you describe the procedures for preparing combined financial statements for home office-branch? ☐
5. Can you state the accounting treatment for freight costs on merchandise Shipments to branches? ☐
6. Can you explain the method of recording interbranch transactions? ☐
7. Can you explain how foreign currency transaction gain or loss is measured and reported? ☐
8. Can you identify the three types of foreign currency exposures? ☐
9. Can you describe the methods used for translation of foreign currency financial statements? ☐

Summary

In their quest for higher profit, business enterprises continuously engage themselves in activities that boost up sales and thereby profit. One way of doing so is by establishing sales agency in different locations. The sales agency then assumes the responsibility of keeping goods shipped from the head office and selling it to customers. It acts almost as a sales outlet for a company. A sales agency has little decision making power in matters related with selling price and incurrence of various operating costs.

Alternatively, enterprises may at times establish branches in different locations. A branch has much more discretionary power than a sales agency. A branch manager can acquire merchandise from outsiders, incur operating costs, etc. as discussed in the unit the accounting treatment for sales agencies and branches is quite different because of their characteristics. A sales agency keeps no record. All accounting records are maintained by the head office showing financial activities of a sales agency.

For branches two alternative accounting systems may be followed. The head office may keep records about operations of its branches. Under such circumstances, branches maintain no separate records. They simply forward invoices, receipts and vouchers to the head office where it is recorded. Such system is referred to as a centralized branch accounting system. A decentralized branch accounting system may be followed where the branch has a full-fledged accounting system. At the end of an accounting period, the balance of the Investment in Branch ledger account may not agree with the balance of the Home Office ledger account. Consequently, these reciprocal accounts must be reconciled and adjusted before combined financial statements are prepared.

Interbranch transactions usually are cleared through the branches' Home Office ledger accounts. Freight costs incurred when merchandise is transferred from one branch to another do not increase the carrying amount of inventories. Excess freight costs incurred as a result of such transfers are recognized as operating expenses of the home office, because the home office makes the decisions to transfer the merchandise.

A multinational (transnational) enterprise carries on operations in more than one nation. If a multinational enterprise engages in purchases, sales, or loans denominated in a foreign currency, the foreign currency transactions are measured and recorded in reporting currency at the spot rate in effect at the transaction date. A change in the exchange rate between the date of the transaction and the settlement date results in exchange gain or loss that is reflected in income for the period. At the balance sheet date, any remaining balances that are denominated in a currency other than the functional currency are adjusted to reflect the current exchange rate, and the gain or loss is charged to income.

Before the results of foreign operations can be included in the financial statements of home country companies, they have to be converted into reporting currency. If the reporting currency is determined to be the functional currency, the foreign entity's financial statements are remeasured into reporting currency financial statements using the temporal method, and the resulting exchange gain or loss is included in consolidated net income for the period. If the functional currency is determined to be the local currency of the foreign entity, the financial statements of the entity must be translated into the reporting currency using the current rate method. The effects of the exchange rate changes from translation are accumulated in an equity adjustment from translation account and are reported in other comprehensive income.

Self-Assessment Questions (SAQs) No. 1

Part I: True/False

Instruction: Indicate whether each of the statements below is true or false.

- ☐ 1. The Investment in Branch account on the books of the home office represents the dollar amount of the branch's debt owing to the home office.
- ☐ 2. The Home Office account on the books of the branch may be interpreted as an owners' equity account, where the home office is the owner.
- ☐ 3. The transfer of assets from the home office to the branch does not change the company's total assets.
- ☐ 4. Transfers of merchandise from the home office to the branch are typically charged to the branch at the cost of the merchandise to the home office.
- ☐ 5. If transfers of merchandise are charged to the branch at cost to the home office, this has the effect of attributing the entire gross profit on merchandise sales to the home office.
- ☐ 6. If the home office pays the freight associated with an inventory transfer to the branch, no entry on the branch books is required.
- ☐ 7. Periodic inventory accounting requires the use of offsetting reciprocal accounts to record shipments to the branch and shipments from the home office.
- ☐ 8. Even though the branch uses periodic inventory accounting, if shipments from the home office are billed at retail prices, this has the effect of creating a perpetual inventory system at the branch.
- ☐ 9. If shipments from the home office are billed at retail prices, the amount of branch inventory that should be on hand equals the amount of shipments to the branch reported by the home office plus the sales reported by the branch.
- ☐ 10. When both the home office and branch employ perpetual inventory systems, the Shipments to Branch and Shipments from Home Office accounts are unnecessary.

Part II: Multiple Choice Items

Instruction: Instruction: Choose the correct answer from the alternatives given and write the letter of the correct answer in the space provided.

- ☐ 1. Inventory is typically transferred to the branch at all of the following transfer prices except:
 A. Cost to the home office. C. Cost less an internal markup percentage.
 B. Cost plus an internal markup percentage. D. Retail or market value.

Use the following information for questions 2 and 3:

The home office bills merchandise shipped to the branch at 25 percent over home office cost. Suppose the branch's beginning inventory, shipments from home, and ending inventory are Br.50,000, Br.200,000, and Br.80,000 respectively, at billed prices.

- ☐ 2. Branch cost of goods sold on the branch's books and in the combined statements is:
 A. Branch: Br.170,000; Combined: Br.136,000 C. Branch: Br.230,000; Combined: Br.184,000
 B. Branch: Br.170,000; Combined: Br.127,500 D. Branch: Br.230,000; Combined: Br.172,500
- ☐ 3. Now, assume that freight costs incurred by the branch (not included in the inventory balances presented above) amount to 2 percent of billed prices. Branch cost of goods sold on the branch's books and in the combined statements is:
 A. Branch: Br.170,000; Combined: Br.170,000

- B. Branch: Br.173,400; Combined: Br.170,000
 - C. Branch: Br.173,400; Combined: Br.136,000
 - D. Branch: Br.173,400; Combined: Br.139,400
- ___ 4. Carmen Corp. establishes a branch in a nearby town. Transfers to the branch include cash Br.65,000, Office supplies Br.2,000, and Furniture Br.23,000. The entry to record this transfer on the books of the branch would include:
- A. A debit of Br.90,000 to the Home Office account.
 - B. A credit of Br.90,000 to the Investment in Branch account.
 - C. A credit of Br.90,000 to the Home Office account.
 - D. A debit of Br.90,000 to the Investment in Branch account.
- ___ 5. The home office marks up merchandise shipped to the branch at 25 percent of billed price. If merchandise costing Br.30,000 is shipped to the branch, which of the following set of account balances will result?
- A. Shipments from Home: Br.37,500; Shipments to Branch: Br.30,000; Overvaluation of Branch Inventory: Br.7,500
 - B. Shipments from Home: Br.40,000; Shipments to Branch: Br.30,000; Overvaluation of Branch Inventory: Br.10,000
 - C. Shipments from Home: Br.30,000; Shipments to Branch: Br.22,500; Overvaluation of Branch Inventory: Br.7,500
 - D. Shipments from Home: Br.40,000; Shipments to Branch: Br.32,500; Overvaluation of Branch Inventory: Br.7,500
- ___ 6. The home office marks up merchandise shipped to the branch by 40 percent of billed prices. Assume the overvaluation account on the home office books had beginning and ending balances of Br.4,400 and Br.6,000, respectively. If the branch was billed Br.180,000 for merchandise shipped from home during the year, the branch books will show cost of goods sold of:
- A. Br.178,400 B. **Br.176,000** C. Br.174,000 D. Br.181,600
- ___ 7. The home office accounts for shipments of merchandise to the branch as sales. The billed price reflects a markup equal to 40 percent of billed price. The branch reported beginning and ending inventories at billed prices of Br.80,000 and Br.60,000, respectively. Which of the following statements is false?
- A. Home office beginning retained earnings is overstated by Br.32,000.
 - B. Unrealized intrafirm profit at the end of the year is Br.24,000.
 - C. The Overvaluation of Branch Inventory account balance at year-end is Br.8,000.
 - D. Working paper elimination entries will reduce combined cost of goods sold by Br.8,000.
- ___ 8. At the end of the year, after adjusting and closing entries, the Overvaluation of Branch Inventory account on the home office books will contain:
- A. The markup on the branch's ending inventory.
 - B. The unrealized profit on branch sales for the year.
 - C. The markup on the branch's ending inventory less the markup on the branch's beginning inventory.
 - D. The markup on the branch's beginning inventory plus the markup on this year's shipments to the branch.
- ___ 9. If the branch pays the freight cost on merchandise shipments from the home office,
- A. The home office will increase its Investment in Branch account.
 - B. The branch will decrease its Home Office account.
 - C. The home office will decrease its Investment in Branch account.
 - D. There is no effect on either the Investment in Branch or Home Office accounts.

- ___ 10. In reconciling the reciprocal accounts between a home office and a branch, adjustments must be made to bring these accounts into balance before eliminations can be made. Differences in these balances can be due to all of the following except:
- A. Shipments in transit at the end of the period which are recorded by the home office but not by the branch.
 - B. Sales to customers by the home office at the end of the accounting period which were not recorded by the branch.
 - C. Remittances from the branch mailed on the last day of an accounting period which are not recorded by the home office.
 - D. Collections of home office receivables by the branch close to the end of a period which is not recorded by the home office.

Use the following information to answer questions 11 - 13 below:

The home office ships merchandise to the branch at a markup of 20 percent above cost. At the end of the year, preclosing account balances related to merchandise (periodic inventory) are as follows:

<u>Home Office books</u>	
Shipments to branch	Br400,000
Overvaluation of branch inventory	86,000
<u>Branch books</u>	
Beginning inventory	Br 36,000
Shipments from home office	480,000
Ending inventory	48,000

- ___ 11. The elimination entries made at the end of the year will have the effect of reducing cost of goods sold as reported by the branch to the correct amount of combined cost of goods sold. The difference between branch cost of goods sold and combined cost of goods sold is:
- A. br 2,000 B. br80,000 C. br 82,000 D. br 78,000
- ___ 12. The elimination entries made at the end of the year to combine the home office and branch accounts will include:
- A. a debit to shipments from home office of br480,000.
 - B. a debit to overvaluation of branch inventory of br86,000.
 - C. a credit to shipments to branch of br400,000.
 - D. a credit to ending inventory of br48,000.
- ___ 13. Now assume the home office accounts for shipments to the branch as **sales** rather than using the shipments account. How will the elimination entry to remove unrealized intrafirm profit from the branch's beginning inventory differ?
- A. The debit is to cost of goods sold rather than to the overvaluation of branch inventory account.
 - B. The credit is to beginning inventory rather than to the overvaluation of branch inventory account.
 - C. The debit is to cost of goods sold rather than to the shipments to branch account.
 - D. The debit is to beginning retained earnings rather than to the overvaluation of branch inventory account.
- ___ 14. In accounting for branch transactions, it is improper for the home office to:
- A. Credit cash received from a branch to the Investment in Branch ledger account.
 - B. Maintain Common Stock and Retained Earnings ledger accounts for only the home office.

- C. Debit shipments of merchandise to the branch from the home office to the Investment in Branch ledger account.
 - D. Credit shipments of merchandise to the branch to the Sales ledger account.
- ___ 15. Neither the Palmer Branch nor the home office of Rupert Company had completed any intracompany transactions during the last half of May, yet the credit balance of the branch's Home Office ledger account on May 31 was larger than the debit balance of the home office's Investment in Palmer Branch account. The most likely reason for this discrepancy is:
- A. The home office reported a net loss for the month of May.
 - B. The branch reported a net loss for the month of May.
 - C. The branch returned merchandise to the home office.
 - D. The branch reported a net income for the month of May.
- ___ 16. Which of the following ledger accounts is displayed in the combined financial statements for a home office and branch?
- A. Shipments to Branch
 - B. Home Office
 - C. Dividends Declared
 - D. Allowance for Overvaluation of Inventories: Branch

Part III. Workout Items**Exercise 1**

During the past year, the following transactions took place between the home office and branch of the Klein Company:

1. Cash of Br.25,000 was transferred to the branch.
2. Merchandise costing Br.60,000 was shipped to the branch at a billed price of Br.86,000. The branch paid the freight-in of Br.1,500.
3. Home office expenses charged to the branch: depreciation, Br.4,000; amortization of prepaid expenses, Br.800.
4. Cash of Br.60,000 was remitted to the home office.

Instruction

Prepare journal entries to record the following transactions in the books of both the home office and the branch.

Exercise 2

Millennium Company's home office bills shipments of merchandise to its Meskel Branch at 140% of home office cost. During the first year after the branch was opened, the following were among the transactions and events completed:

1. The home office shipped merchandise with a home office cost of Br110,000 to Meskel Branch.
2. Meskel Branch sold for Br80,000 cash merchandise that was billed by the home office at Br70,000, and incurred operating expenses of Br16,500 (all paid in cash).
3. The physical inventories taken by Meskel Branch at the end of the first year were Br 82,460 as billed prices from the home office.

Instructions:

- A. Assuming that the perpetual inventory system is used both by the home office and by Meskel Branch, prepare for the fiscal year:
 1. All journal entries, including closing entries, in the accounting records of Meskel Branch of Millennium Company.

2. All journal entries, including the adjustments of the Inventories Overvaluation account, in the accounting records of the home office of Millennium Company.
- B. Assuming that the periodic inventory system is used both by the home office and by Meskel Branch, prepare for the fiscal year:
1. All journal entries, including closing entries, in the accounting records of Meskel Branch of Millennium Company.
 2. All journal entries, including the adjustment of the Inventories Overvaluation account, in the accounting records of the home office of Millennium Company.

Exercise 3

Following is the euro-denominated trial balance of the French Branch of USA Company on June 30, 2012, the end of the first month of the branch's operations.

USA Company French Branch Trial Balance June 30, 2012		
Cash	15,000	
Trade accounts receivable	250,000	
Inventories	115,000	
Home office		360,000
Sales		450,000
Cost of goods sold	340,000	
Operating expenses	90,000	
Totals	810,000	810,000

Additional information

1. All the merchandise in the branch's inventories on June 30, 2012, had been shipped by the home office on June 1, 1999, when the exchange rate was 1=€1.05
2. The balance of the home office's Investment in French Branch ledger account on June 30, 2012, was €365,000.
3. The exchange rate on June 30, 1999, was 1=€1.04.

Instruction: Prepare a working paper to measure the June 30, 1999 trail balance of French Branch of USA Company to U.S. dollars, the branch's functional currency. Round all remeasured amounts to the nearest dollar.

CHAPTER TWO**JOINT VENTURE AND PUBLIC ENTERPRISES****Introduction**

Dear learner, the purpose of this chapter is to discuss the concepts of joint ventures and public enterprises. A joint venture is a form of partnership that originated with the maritime trading expeditions of the Greeks and Romans. The objective was to combine management participants and capital contributors in undertakings limited to the completion of specific trading projects. Nowadays, the joint venture takes many different forms, such as partnership and corporate, domestic and foreign, and temporary as well as relatively permanent. In other words, a joint venture is an arrangement entered into by two or more parties to accomplish a single or limited purpose for the mutual benefit of the members of the group, often to earn a profit. For example, a firm in one country may enter into an agreement with the firm of another country to pool their resources to construct an automobile manufacturing plant, or two or more firms may enter into an arrangement to develop a new product that requires complementary technological knowledge. The life of the joint venture is limited to that of the undertaking, which may be of short or long-term duration. Thus, the first part of this chapter covers the nature and accounting for joint venture.

Public enterprises (PE) are those organizations established by the government with the intent that the cost of producing goods and services to the public be financed or recovered primarily through user charges. Establishment of public enterprises in most countries of the world dates back as early as post-world war period. With the challenging objectives of fostering infant industries, promoting indigenization, creating employment and controlling strategic resources, many developing country governments responded by accelerating the role of the state. For instance, it is estimated that between 1967 and 1980, governments seeking a variety of these often conflicting economic and political objectives established more than half of Africa's extensive PE sector. During the same period, the number of PEs continued to grow rapidly in most other parts of the world. The most recent systematic estimate of public ownership in the 1980s indicates that, on a worldwide basis PEs account for an average of 10 percent of GDP while their average share of gross capital formation was much higher at 35%. In these circumstances, it is clear that PEs have achieved such a degree of visibility in the economic landscape that their collective financial performance has had a decisive impact on the overall economic welfare of their respective economies. Thus, the second part of this chapter presents the nature and accounting for public enterprises particularly in reference to proclamation no 25/1992.

The chapter involves in-text questions, activities, and self-assessment questions. You are, therefore, required to deal with these varied exercises in order to get adequate knowledge and skills in the chapter.

Course Objective

After studying this chapter, you should be able to:

- Discuss the nature of joint venture
- Describe the alternative forms of joint venture organizations
- Identify the alternatives for recording an investment in a joint venture
- Properly account for transactions of a joint venture

- Describe the benefits of public enterprises.
- Explain the characteristics of public enterprises.
- Describe the accounting for public enterprises.

2.1 Nature of Joint Ventures

- ⑨ Dear learner, can you state the nature of joint venture? Give your response in the space provided.
-
-

A joint venture is a contractual arrangement whereby two or more parties called venturers undertake an economic activity that is subject to joint control. The life of the joint venture is limited to that of the undertaking, which may be of short- or long-term duration. The effect of a contractual arrangement is to establish joint control over the joint venture, ensuring that no single venturer is in a position to control the activity unilaterally. In other words, it is common for each venturer to be active in the management of the venture and to participate in important decisions that typically require the consent of each venture irrespective of ownership interest. Ownership percentages vary widely, and unequal ownership interests in a specific venture is common place.

Historically, a joint venture is a form of partnership that originated with the maritime trading expeditions of the Greeks and Romans. The objective was to combine management participants and capital contributions in undertakings limited to the completion of specific trading projects. In its traditional form, the accounting for a joint venture did not follow the accrual basis of accounting. The assumption of continuity was not appropriate; instead of the determination of net income at regular intervals, the measurement and reporting of net income or loss awaited the completion of the venture.

Nowadays, the joint venture takes many different forms, such as partnership and corporate, domestic and foreign, and temporary as well as relatively permanent. According to International Accounting Standards (IAS), a joint venture may be organized as a corporation, partnership, or undivided interest. These forms are defined/described as follows:

- ***Jointly Controlled Operations***-is one which involves the use of assets and other resources of the venturers, rather than the establishment of a corporation, partnership or other entity, or a financial structure, separate from the venturers themselves.
- ***Jointly Controlled Assets***-an ownership arrangement in which two or more parties jointly own property, and title is held individually to the extent of each party's interest. Such ventures do not involve the establishment of an entity or financial structure separate from the venturers themselves, so that each venturer has control over its share of future economic benefits through its share in the jointly controlled assets.
- ***Jointly Controlled Entities***-is a joint venture that involves the establishment of a corporation, partnership or other entity in which each venturer has an interest. The entity operates in the same way as any other entity, except that a contractual arrangement between the venturers establishes joint control over the economic activity of the entity.

**Activity 8**

Explain how a joint venture differs from a partnership?

2.2 Accounting for Joint Ventures

No separate accounts of the joint venture operations or assets are prepared; therefore, the question of accounting by joint ventures does not arise. Each venturer maintains accounting records for its part of a joint venture operation or assets. In respect of its interest in jointly controlled operations, a venturer should recognize, in its separate financial statements and consequently in its consolidated financial statements the assets that it controls and the liabilities that it incurs, and the expenses that it incurs and its share of the income that it earns from the joint venture.

Separate accounting records may not be required, nor financial statements prepared, for the joint venture itself, although the venturers may prepare management accounts so that they may assess the performance of the joint venture. No adjustments or other consolidation procedures are required when the venturer presents consolidated financial statements, because the relevant assets, liabilities, income, and expenses are already recognized in the financial statements of the venturer.

In contrast, a jointly controlled entity maintains its own accounting records, prepares and presents its own financial statements in the same way as other entities in conformity with GAAP. Such that, no special accounting issue arises and a partnership joint venture is accounted for as any other partnership and a corporate joint venture usually follows the method of accounting used by any other corporation. In general, normal partnership and corporate accounting apply for a partnership joint venture and corporate joint venture respectively.

2.3 Accounting for Investments in Joint Ventures

At present, International Accounting Standards permit the use of two alternative accounting methods- the proportionate consolidation method or the equity method – for a venturer's investment in a jointly controlled entity, which might be a corporation or a partnership. Under the equity method, the venturers maintain an investment account on their books for their share of the venture capital. The investment in the joint venture account is debited for the initial investment and for the investor's share of subsequent profits. Withdrawals and shares of losses are credited to the investment account. The balance in the investment account should correspond to the balance in the venturer's capital account shown on the joint venture statements.

Example: The two methods may be illustrated by assuming that A Company and B Company each invested Br. 320,000 for a 50% interest in AB joint venture on January 1, 2002. The condensed financial statements for the joint venture, AB Company, for 2002 were as follows:

AB Company (a joint venture)
Income Statement
For the Year Ended December 31, 2002

Revenue		Br. 1,600,000
Less: Costs and expenses		<u>1,200,000</u>
Net income		<u>Br. 400,000</u>
Division of net income:		
Company A	Br. 200,000	
Company B	<u>200,000</u>	
Total	<u>Br. 400,000</u>	

AB Company (a joint venture)
Statement of Venturers' Capital
For the Year Ended December 31, 2002

	<u>A Company</u>	<u>B Company</u>	<u>Combined</u>
Investments, January 1, 2002	Br. 320,000	Br. 320,000	Br. 640,000
Add: Net Income	<u>200,000</u>	<u>200,000</u>	<u>400,000</u>
Venturers' capital, Dec. 31, 2002	<u>Br. 520,000</u>	<u>Br. 520,000</u>	<u>Br. 1,040,000</u>

AB Company (a joint venture)
Balance Sheet
December 31, 2002

Assets		
Current assets		Br. 1,280,000
Other assets		<u>1,920,000</u>
Total assets		Br. <u>3,200,000</u>
Liabilities and Venturers' Capital		
Current Liabilities		Br. 640,000
Long-term Liabilities		<u>1,520,000</u>
Venturers' capital:		
A Company	Br. 520,000	
B Company	<u>520,000</u>	<u>1,040,000</u>
Total Liabilities and Venturers' Capital		Br. <u>3,200,000</u>

Thus, based on the foregoing information the necessary accounting entries using the two alternative methods would be as follows:

a. Each venturer's journal entries under the equity method of accounting

i. Recognition of investments in a joint venture
2002

Jan. 1 Investment in AB Company	320,000	
Cash		320,000

ii. Recognition of proportionate share in earnings of a joint venture
2002

Dec. 31 Investment in AB Company	200,000	
Investment Income		200,000

b. In addition to the entries under the equity method, the following consolidation entry is required for each venturer in case of the proportionate consolidation method.

2002

Dec. 31	Current assets (1,280,000 X 0.5)	640,000	
	Other assets (1,920,000 X 0.5)	960,000	
	Costs and expenses (1,200,000 X 0.5)	600,000	
	Investment income (400,000 X 0.5)	200,000	
	Current liabilities (640,000 X 0.5)		320,000
	Long-term liabilities (1,520,000 X 0.5)		760,000
	Revenue (1,600,000 X 0.5)		800,000
	Investment in AB Company		520,000



Activity 9

Compare the equity method of accounting with the proportionate share method of accounting for an investment in unincorporated joint venture.

2.4 Nature of Public Enterprises

Dear learner, can you briefly describe the nature of public enterprises? Give your response in the space provided.

Establishment of public enterprises in most countries of the world dates back as early as post-World War period. It was only in some countries such as the UK that the nationalization process began shortly after World War I when the state intervened in commercial activities to take over mines and railways in situations where the existing private owners were facing financial difficulty.

Even though the objectives of establishing public enterprises differ from country to country, there are common factors that necessitated their coming into existence. In some countries, governments would hold a belief that the scale and range of investment required for sustainable economic development was beyond the reach of pure market forces. Hence, activities supposed to have a significant contribution in building the economy of a country but not undertaken by the private sector due to involvement of greater risk had to be undertaken by the government. The other motive was governments' political commitment to multiple non-commercial objectives for enterprises such as employment generation, income distribution and economic welfare that can be provided by the state only. In still some other countries, ruling parties had a belief that their continued stay in power and subsequent electoral success depended on socialist principles emphasizing the state's control of the "commanding heights" of the economy. In addition, the reluctance or inability of the equally devastated business communities to commit resources to capital-intensive sectors with long payback periods in the years immediately following World War II compelled governments to takeover some commercial activities.

Nevertheless, the later proliferation of public enterprises, especially in developing nations, was induced by the requirement of developed nations to do the same in order to attain level of economic development appropriate to warrant self-sufficiency in certain areas of products. With the challenging objectives of fostering infant industries, promoting indigenization, creating

employment and controlling strategic resources, many developing country governments responded by accelerating the role of the state.

Statutory companies (also known as "public enterprises" or "State owned enterprises, SOEs") are companies that are established by law, as opposed to registered companies which are established by a memorandum of association. Public enterprises are defined as wholly State owned enterprises established to carry on for gain manufacturing, distribution, service rendering or other economic and related activities. These are companies that are "formed to carry out some special public undertakings, for example, railways, waterworks, gas, electricity generation, etc. There are several reasons for their establishment that include (a) national security for areas such as defence industries and public transport; (b) revenue raising in particular in events such as where tax collection is difficult or impossible; (c) economic control and self-reliance; (d) lack of private investment in undertakings where large-scale investment is required; (e) equity considerations when private companies fail to function profitably; and (f) the fear of private monopoly situations.

The major characteristics of such public enterprises include public ownership, public control and establishment by a separate law, having distinct legal personality, limited degree of autonomy and public finance.

Public enterprises acquire legal personality upon establishment by Council of Ministers Regulations to be issued pursuant to Article 6 of Proclamation No.25/1992. These establishment Regulations have to contain, inter alia, the name and purpose of the enterprise, the authorized and paid up capital, extent of liability and supervising authority. As companies established by Regulations, any change or amendment of the Regulations establishing such statutory companies has to go through the formal procedure of amendment of Regulations by the Council of Ministers.

It can be observed from review of the various Regulations establishing various types of public enterprises in various sectors that statutory companies operate in Ethiopia under three distinct names, i.e., corporations, enterprises and share companies. Prominent examples of corporations include the Ethiopian Telecommunication Corporation, and the Ethiopian Electric Power Corporation; examples of companies established as enterprises include the Ethiopian Airlines Enterprise, Water Works Design and Supervision Enterprise, Ethiopian Seed Enterprise and agricultural development enterprises such as Bale Agricultural Development Enterprise, Arsi Agricultural Development Enterprise, and Awassa Agricultural Development Enterprise. As regards State owned share companies, these are forms of share companies that are 'transitory' in nature as they are in the process of transformation and are waiting for sale to the private sector. It must be underscored that the power to convert a public enterprise into a share company type of business organization resides in the Council of Ministers by virtue of Article 47(2) (a) of Proclamation No. 25/1992. The capitals of these share companies are divided into shares and totally held as government shares.

Turning to a short historical synopsis of public enterprises in Ethiopia, the institutional framework under which economic enterprises operated prior to 1974 was a free enterprise system with an open policy in the sense that no minimum requirement was imposed on the establishment and operation of enterprises. With the taking of power by the Dergue in 1974 and owing to the Marxist-Leninist political ideology that influenced policies and laws, many privately owned companies were nationalised and became public enterprises through a series of laws. Since the middle of the seventies, public enterprises became one of the significant facets of

the Ethiopian economy. Pursuing its economic and political policy of centralism, the Dergue regime expropriated private owners and nationalized large and medium scale enterprises in the productive, service and financial sectors... At the end of the seventies, the economy to a large extent was under the dominance of the socialist state and over 200 large public enterprises were operational. These enterprises accounted for over 20 per cent of Ethiopia's GDP. In some sectors, like manufacturing, mining, power and transport, the share of public enterprises added up to over 50 per cent of the total production.

In Ethiopia pursuant to Proc. No. 25/1992 a Public Enterprise is defined as a wholly state owned public enterprise established to carry on for gain manufacturing, distribution, service rendering or other economic and related activities. Some examples of public enterprises in Ethiopia include the Natural Gum Production & Marketing Enterprise, Ethiopian Fruit & Vegetable Marketing Sh. Co, Bole Printing Enterprise, Ambo Mineral Water Factory, National Alcohol & Liquor Factory, Faffa Foods Sh. Co, Berhanena Selam Printing Enterprise, Fish Production & Marketing Enterprise, Maritime & Transit Service Enterprise, Mughar Cement Factory, and Educational Materials Production & Distribution Enterprise.

2.5 Benefits of Public Enterprises

The operation of public enterprises in an economy is highly beneficial to the economy. The contribution of public enterprises can be viewed from two perspectives: economic benefit and social benefit.

A. Economic Benefits

From economic point of view, public enterprises produce important impacts that strengthen the economy by providing the following economic benefits. They generate revenue for the government through various means. Dividend, interest on loans, excise duty, sales taxes, corporate taxes etc are paid to the government by public enterprises.

- Public enterprises also exploit the natural and technological resources of the state. This maximizes the social welfare and developmental opportunities in the economy.
- Public enterprises save scarce foreign exchange either by exporting the foreign currency generating goods and services of the country by substituting imported products.
- Public enterprises help in reducing regional disparities through fair dispersal of industries. Accordingly, the government will consider backward areas of the country in proper perspective.
- Public enterprises provide infrastructural facilities for the development of the economy and the private sector. Public enterprises provide infrastructural facilities to foster private sector and accelerate the pace of national economic development.

B. Social Benefits

On the social area, public enterprises are considered as a welfare promoting organizations. The social benefits of public enterprises can be summarized as follows. Public enterprises provide job opportunity, serve as model for employers by providing various welfare benefits like housing, medical, transport, staff centers and other social services, safeguard the interest of the consumers by offering subsidized goods at fairly low price, they insure provision of goods and services to low income groups at cheaper prices. Public enterprises also produce residual surplus, which may be used for public welfare, which will maximize the social satisfaction of the public and

public enterprises possess an attribute similar with business firms as they engage themselves in profit oriented business activities.

The growth of the public sector especially in developing countries has given rise to increasing awareness of the role and importance of the public enterprises in the economy. Public enterprises are now significant instruments of macro-economic policy in many countries following different economic system. As a result, there is a growing concern to understand their operations, assess their performance and provide adequate mechanism for their management and accountability.

Traditionally public enterprises referred to as government owned and government-controlled enterprises operating in spheres of inelasticity of demand, and or natural monopoly condition, while recent phenomena show enterprises operating in non-traditional commercial and industrial activities with government ownership or in partnership with foreign investors. The forms and names of public enterprises are many. For example, public corporations, state enterprise, state corporation, chartered bodies, parastatals, state development agencies, state marketing boards are among the many types and forms of public enterprises.

In Ethiopia, in general, it was the state corporations that had the legal personality and not the enterprise during the early period of the nationalization process but more recently the enterprises have been made to be the legal and operating tax-paying units.

2.6 Characteristics of Public Enterprise

Attempts to identify and articulate essential characteristics of public enterprises in comparison with private enterprises have not been easy. The efforts at time have been confusing and hard to discern that one is almost tempted to say that “private enterprise like the leopard cannot change its spots, but that public enterprise, like the chameleon, can adopt appropriate colour to the appropriate occasion.” Early literature discusses the following dichotomous features of public enterprises.

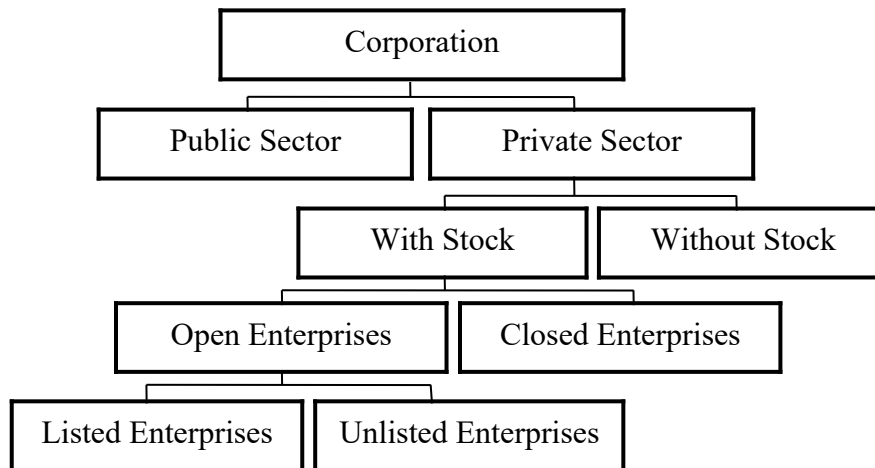
- **Statutory body:** A public enterprise is an expression of the wish of the state to create a new separate agency with specific objective.
- **Insulated personality:** For the reason that it possesses legal personality, a public enterprise not only is separate from persons who conduct its affairs but also from the state. Nevertheless, this independence of legal personality is not always lasting in application nor is that concisely demarcated. For public enterprise, being part of the state can also be regarded and treated as part of the same state. The degree of insulation, therefore, may not be that definite.
- **Independent governing body:** Usually an independent board administers the affairs of public enterprises. But there has been a division of opinion as to what should be the composition of the members of this board; whether they should be specialists or representatives of any section, class or group interest. In the twenties, there was a tendency for the board membership to be composed of all interest groups. Labor movements gave rise to “workers control board” which in 1944 came to be replaced by an efficiency board of persons solely chosen on their ability and expertise.
- **Respectful relationship with minister:** A public enterprise is answerable to the government that establishes it through the appropriate minister. The power given to ministries may vary according to the acts, but the power the minister exercises has important implication on the enterprise’s operations, and the level and extent of these controls is not easily determinable.

- **Autonomous working conditions:** As far as the public enterprise is a “child of the state”, it is subject to supervision and control. However, over centralization is the characteristic of public undertaking that can cause managerial inefficiency in the enterprises. Thus, it is reasonable to say that public enterprises must ensure their autonomy of normal (day to day) operations—affording freedom from government red tape, treasury control, and political dictation.
- **Self-contained finance:** This is a consequence of the above point, as the autonomy concept will remain not real unless accompanied by financial independence. To realize the expected outcome, the public enterprises must rely on assured economic resources they can command at once rather than on the annual “generosity of the legislature”. Its resources must be free from lapse system that may encourage imprudent spending at the close of the financial period. If the public corporation is to adhere to “proper business principles” of operation, it will have to operate on accrual basis accounting and not on cash basis that is the accepted financial procedure of government department and ministries.
- **Purposes other than profit:** The public enterprise has a public purpose and other objectives than profit only. It is, as a result, not interested in maximizing profits, but should run efficiently and in the process make profits or surpluses that are essential especially for the growth of the economy.
- **No share and shareholders:** The public enterprise has no share or shareholders and the “profit motive” is to be replaced by “public service motive”, but in financial terms the nation or the state owns the equity of the public enterprise. The nation is, therefore, the entrepreneur in the final analysis, and it stands in gain or loss from the operation of publicly owned enterprises. It must be noted that the gain or loss may be in various forms, i.e. lower prices, reduced level of taxation brought about by efficiency, or higher prices and increased level of taxation caused by inefficiency.
- **Public monopoly:** It is customary for the state to declare monopolistic rights for itself in any particular area of business activity. Public enterprise may then have monopolistic rights in that particular line of business activity, as it would be uneconomical and wasteful to permit competing units in parallel lines of public undertakings. There is thus a strong case for combination and amalgamation of similar activities and enforcing a monopolistic operation by public enterprises. However, to guard against the ill effects of public monopoly, some kind of control is necessary to provide assurance of adequacy of operation, frequency and efficiency of service, control of prices to be charged, judicious hiring practices, fixing of compensation schemes, prevention of corrupt and discriminatory practices, and protecting customer rights.
- **Commercial audit:** The public enterprise is formed in order to operate free from constraints of tedious rules and procedures applicable to government departments and ministries. It must prepare its accounts according to well-settled commercial principles, including payment of interest on capital outlays, taxes on profit, and adequate rate of return on investment. Consequently, financial performance must be subject to commercial audit, instead of the usual government comptroller or government audit rule of compliance. Public enterprise audit will need more understanding of broader questions of business efficiency, accounting principles, and prudent management.

Recently six essential elements characterizing the public dimension and enterprise dimension of the public enterprise have been identified. The public dimension includes public purpose, public ownership, and public control. The enterprise dimension recognizes a field of activity of business character, investment and return, and marketing of output in the public enterprise.

- **Public purpose**—a public enterprise is created for attaining broad socioeconomic development objectives and thus has a public purpose.
- **Public ownership**—ownership of the enterprise by the controlling government, state, or public

authority could be quantitatively marked by 51% more ownership position. The following diagram shows the classification of corporate firms on the basis of ownership.



- **Public control**-as the state or the public authority owns the public enterprise, it is subject to public control. This control over the operations and activity of the enterprise is not just to be done through the classical parliamentary control procedures, but through new appropriate management and accountability concepts. This involves a very complex affair of performance evaluation of multi-dimensional set of objectives, and reporting accountability to a variety of authorities. The problem of providing proper management and accounting system is of a paramount importance in this matter.
- **Field of activity or business character**-the public enterprise operates in a sphere of activity that has “business character”. If so, in line with business principles, it would be involved in marketing its output and seeking reasonable return on its investment.
- **Marketing of outputs**-pursuant to its business character, a public enterprise will have to market or sell its output free. It is assumed the enterprise will have to market its output.
- **Investment and return**-an enterprise in business makes use of a capital investment and expected return to the investor. Accordingly, a public enterprise operation to be in business would have to include a concept of profitability or surplus.

2.7 Accounting for Public Enterprises

Providing adequate accounting system for the public enterprise, first and foremost, depends on the relationship and organization structure of the State Corporation, state enterprise, and supervising authority, that is, whether accounting is centralized at the corporation or at the enterprise level paralleling the extent of centralization or decentralization of authority and responsibility of the organs related to it.

The problem of the relationship of the state corporation to the enterprise centers around the accounting issue of whether the corporate entity constitutes one entity or embodies more than one entity, whether, the legal entity is the enterprise or the corporation, and whether the accounting entity, legal entity, and economic entity coincide. This accounting dilemma is conceptualized in the framework of (a) Head office and Branch, (b) Principal and Agent, (c) Parent and Subsidiary, (d) Holding company views. Accounting for the public enterprises must be based on clear understanding of the underlying assumptions to be made on the character of the public enterprise, and the type or structural relationship established. The workable assumptions in this case are:

- The public enterprise is involved in profit.
- The economic performance of the public enterprise is measured by its financial profitability. Financial profitability is determined by net income or surplus. Financial profitability must be distinguished from social profitability that should be measured also additionally where possible.
- The public enterprise is self-costing and perhaps price setter. From the above assumptions, entity accounting or enterprise accounting would seem to be most suitable accounting concept for adaption to public enterprise accounting except in the capital of proprietorship section and accumulation and distribution of earnings. Entity accounting is accounting for a separate organization that has legal personality of its own separate from its owners. This is the foundation for the corporate accounting.

The accounting equation: Assets equal liabilities plus capital could be applicable in its entirety to the public enterprise. The double entry system of accounting together with the accrual basis of accounting are essential for more adequate follow-up of the enterprise business transaction in view of earlier rationale (characteristics). Most of asset accounting is the same as in private corporate entity accounting except for variations in classification and valuation procedures. Liabilities, which represent accruals to and claims of outsiders, will also be accounted for in similar manner as in private corporate accounting entity except for classification. The procedures for income measurement and recognition involving accounting for revenue and expense transactions including gains and losses are similar to those accounting procedures for private corporate entities.

Distinctive Features of Ownership Equity Section of Public Enterprises

Capital in the private corporate accounting entity stands for the owner's equity or owner's claim on assets. This is represented by capital stock account indicating the stockholders' equity. Legal right usually classifies the right hand side of the balance sheet, i.e., it is the legal right of the owners (owner's equities) and that of the creditors (creditors' equities) that make a classification in the right hand side of the balance sheet of business enterprises. The public enterprise capital, on the other hand, has no share or shareholders and the capital representing government equity (as owner and investor) is identified by an overall capital account, and the right hand side of the balance sheet is best classified by the objectives they are designated for. Of course, when there are liabilities, these also are disclosed separately by the amount they claim out of total assets. In corporate entity of market economy the proprietorship/ownership equity section is composed of the following items:

- Capital stock: represents capital paid up initially, and or subsequently increased or decreased as changed by additional investment, transfers from earnings and paid-in capital (surpluses) or appraisal surplus. Initial investment could be in money (cash) or other assets (in kind). It is the legal paid-up invested capital representing owner's equity or assets less liabilities.
- Additional paid-in capital or paid-in surplus is surplus or excess obtained from capital transactions above specified initial value of stated capital. It is a result of capital transactions.
- Retained earnings are the sum of accumulated past net incomes from operations plus other additions or subtractions perhaps arising from corrections of prior years or extraordinary losses and gains or non-operating gains and losses.
- Appropriations are earmarked earnings be it from retained earnings or paid-in-capital, which may or may not be followed by segregation of real assets.

- Dividends are distribution of incomes (earnings) and or surplus to shareholders in return for their investment.
- Appraisal surplus is excess obtained from appraisals of assets, which represents unrealized gains.

In Ethiopia according to Proclamation No. 25/1992 that governs the establishment, operation, and dissolution of public enterprises contains the following important accounting related provisions and definition of terms:

- **Enterprise**-a wholly state owned public enterprise established pursuant to this Proclamation to carry on for gain manufacturing, distribution, service rendering or other economic and related activities;
- **Total Assets:** all immovable and movable property, receivables, cash and bank balances of the enterprise including intangible assets, deferred charges and other debit balances.
- **Net Total assets:** total assets less current liabilities, long-term debts, deferred income and other liabilities.
- **Capital:** the original value of the net total assets assigned to the enterprise by the state at the time of its establishment or any time thereafter.
- **Paid-up Capital:** The paid up capital shall not be less than 25 % of the authorized capital at the time of establishment.
- **Authorized Capital:** The authorized capital of the enterprise shall be fully paid up within 5 years from the date of its establishment. Where the authorized capital is not fully paid up as provided under sub-article 2 of this Article, the supervising authority shall, without prejudice to the rights of third parties, adjust the capital to the level of the paid up capital.
- **Increase of Authorized Capital:** The supervising authority may cause the funds needed to increase the capital of an enterprise to be allocated by the Government or to be paid out of the net profits of the enterprise.
- **Decrease of Capital:** The capital of an enterprise may without prejudice to the rights of third parties, be decreased where 1) the auditors have proposed that the capital should be decreased; 2) it was decided to decrease the capital following a proposal by the board to this effect; and 3) the authorized capital of the enterprise has not been fully paid.
- **Net Profit:** any excess of all revenue and other receipts over costs and operating expenses properly attributable to the operations of the financial year including depreciation, interest and taxes.

Pertaining to the legal personality and liability the proclamation states that an enterprise shall have legal personality and as such it shall have rights and duties and an enterprise may not be held liable beyond its total assets.

According to Proclamation No. 25/1992, the proprietorship section of the public enterprise is composed of the following parts:

- **Capital:** the original value of the net total assets assigned to the enterprise by the state at the time of its establishment or any time thereafter. The paid up capital shall not be less than 25 % of the authorized capital at the time of establishment. The authorized capital of the enterprise shall be fully paid up within 5 years from the date of its establishment.
- **Legal reserve:** any enterprise shall annually transfer 5% of its net profits to the legal reserve fund until such reserve fund equals 20% of the capital of the enterprise. The legal reserve is used to cover losses and unforeseeable expenses and liabilities.

- **Other reserve funds or retained earnings** (i.e. appropriations): The board of any enterprise may, with the approval of the supervising authority, cause other reserve funds to be established and determine their utilization.
- **State Dividend:** the remaining balance after deduction of the transfers to the legal reserve fund and other reserve fund from the net profits.
- **Appraisal surplus:** is excess obtained from appraisals of assets, which represents unrealized gains.

Other provisions relevant to the financial reporting practices of public enterprises are presented as follows:

- Each enterprise shall keep books of accounts following generally accepted accounting principles. The supervising authority may issue directives to this effect.
- The financial year of an enterprise shall be determined by the supervising authority.
- Any enterprise shall close its accounts at least once a year. The annual closing of accounts shall be completed within three months following the end of the financial year.
- The enterprise shall prepare a report on the state of its activities and affairs during the last financial year, including a statement of achievements and major plans and programmes to be implemented in the near future.
- Failure to close, in due time, the accounts of an enterprise may entail liability.
- The relevant laws concerning taxes and duties shall be applicable to enterprises.
- Nothing in this Proclamation shall affect the right of an enterprise to be exempt from taxes and duties and any other right under any other law.
- Any enterprise shall pay to the Government state dividend within seven months following the end of the financial year.
- Without prejudice to the powers and duties of the Auditor General under other laws, the accounts of each enterprise shall be audited by external auditors appointed by the supervising authority.
- The supervising authority shall ascertain that external auditors appointed by it satisfy the criteria set by the Auditor General and that they are free from being under any form of influence.
- The supervising authority shall determine the term of the external auditors.
- Any person who has received, paid or expended, or is in charge of the accounts of, the money or property of the enterprise being audited shall, when requested, have the obligation to produce to the auditors the accounts to be audited and to furnish the necessary information.

2.7.1 Formation of a Public Enterprise

Dear learner, the following example describes the accounting for the formation of a public enterprise.

Example: The government formed XYZ Enterprise with Authorized Capital of Br 50,000,000 in accordance with the requirements of Proc. No. 25/1992 with investment of the following assets:

Cash	Br 15,000,000
Equipment (fair value)	700,000

The journal entry for the formation of the XYZ Enterprise would be as follows:

Cash	15,000,000	
Equipment (fair value)	700,000	
State Capital		15,700,000

2.7.2 Operation of a Public Enterprise

Dear learner, in order to look at the accounting for the operation of a public enterprise assume the following information for XYZ Enterprise:

XYZ Enterprise Trial Balance Dec. 31, 2006 (Br '000)		
Cash	Br 10,050	
Accounts Receivable	2,600	
Property, Plant and Equipment	2,200	
Accumulated Depreciation		Br 50
Accounts Payable		150
Notes Payable		200
State Capital		15,700
Sales		5,000
Operating Expenses	2,950	
Purchases	3,300	
	<u>21,100</u>	<u>21,100</u>

In addition to the above trial balance assume that the ending inventory is Br 1,600,000; the board of directors decided to establish other reserves of Br 100,000 from the net income of the year and profit tax rate is 35%.

On the basis of the foregoing information we can prepare the income statement for XYZ enterprise for the year ended Dec. 31, 2006, the balance sheet on Dec. 31, 2006, and journal entries to close the income summary account as follows:

a. Income statement for the year ended Dec. 31, 2006

XYZ Enterprise Income Statement For the Year ended Dec. 31, 2006('000 birr)		
Sales		Br 5,000
Cost of Goods Sold		<u>1,700</u>
Gross profit		3,300
Operating Expenses		<u>2,950</u>
Income before tax		350
Income tax expense (35%)		<u>122.5</u>
Net Income		<u>227.5</u>

- b. The journal entries for transfer of net income to legal reserve and other reserves, and to recognize the state dividend payable would be as follows:

2006	Income summary	227,500	
Dec. 31	Legal Reserve (5% x 227,500)		11,375
	Retained Earnings		100,000
	State Dividend Payable		116,125
Dec. 31	Income tax expense	122,500	
	Income tax payable		122,500

- c. Balance sheet at Dec. 31, 2006.

XYZ Enterprise Balance Sheet Dec. 31, 2006('000 birr)			
Assets		Liabilities and Capital	
Cash	10,050	Accounts Payable	150
Accounts Receivable	2,600	Income tax payable	122.5
Inventory	1,600	Notes Payable	200
Property, Plant & Equipment	2,200	State Dividend Payable	116.1
Less: Acc. Depreciation	(50)	State Capital	15,700
	<u>2150</u>	Legal Reserve	11.4
		Other Reserves	<u>100</u>
Total assets	<u>16,400</u>	Total Liabilities and Capital	<u>16,400</u>

2.7.3 Privatization of Public Enterprises

With the demise of the Derg regime, the incumbent government adopted a market oriented economic policy that gives prevalence to the ownership of property by the private sector. This policy also opened the public enterprises that were in the hands of the government to private sector ownership. That is to say, the public enterprises are being privatized with a view to increasing private sector participation in the market and improving their performance.

In terms of modes of privatization, it should be noted that the types and processes of privatization could differ from one country to another. There are three types of privatization: political privatization, fiscal privatization and economic privatization. In political privatization, all the citizens are provided with share vouchers of state enterprises regardless of their economic viability, their capital stock and their management while in fiscal privatization, the enterprises are sold to the highest bidder that increases public revenue. On the other hand, in economic privatization, the government or one of its agencies would manage the restructuring of privatized enterprises and negotiates clauses on employment, social benefits, training and redundancies with other private entrepreneurs.

Just as the reasons for the creation of public enterprises are varied, the reasons for their privatization are also varied. In addition to the failure to meet the original objectives, diminishing profits to the State or continual increase of losses on the State, privatizations of public enterprises are also caused by other internal and external factors. These are (a) higher fiscal pressure on governments (high budgetary deficit, large domestic public debt, and large external debt), (b)

higher dependency on loans from international organizations (WB and IMF), (c) a large share of SOEs in total investment, (d) inferior and poor performance of SOEs in production and profitability, and (e) lower long term growth.

The process of preparing public enterprises for (private) market and competition takes different stages through what is known as commercialization and corporatization." The stage of *commercialization* refers to a process directed at establishing private sector management principles, values, practices and policies within public sector organization without involving the private sector at all. *Corporatization*, on the other hand, refers to the legal process of converting an entity into a company although initially the State is the sole 'shareholder'. Relating to this, Article 1(2) of the Privatization of Public Enterprises (Amendment) Proclamation No. 182/1999 provides that an enterprise converted into a share company shall cease to exist upon registration as share company and be replaced by the company.

It is plain to conclude from this that once a public enterprise is converted into a share company and is registered as such, the Commercial Code should normally apply to the company. This is affirmed by Article 5(4) (c) of Proclamation No. 146/1998 where it is stated that the Commercial Code is *mutatis mutandis* applicable. Such State owned share companies include the companies engaged in beverages industry (e.g. Awash Winery S.C and Bedele Brewery S.C), food industry (e.g. Faffa Food S.C and Kality Food S.C) and textiles such as Akaki Textiles S.C.

Dear learner, "Privatization" means the transfer, through sale, of an enterprise or its unit or asset or government share holdings in a share company to private ownership and includes:

- The making of an enterprise a government contribution to a share company to be formed with the participation of private investors; and
- The privatization of the management of an enterprise.

According to Proclamation No. 146/1998, the objectives of the Country's Privatization Programme are the following:

- To generate revenue required for financing development activities undertaken by the Government;
- To change the role and participation of the Government in the economy to enable it exert more effort on activities requiring its attention;
- To promote the Country's economic development through encouraging the expansion of the private sector.

Moreover article no. 6 of the Proclamation No. 146/1998 calls for valuation of the enterprise up on privatization and provides the following pertinent provisions:

- The Agency shall cause the valuation of an enterprise or a unit or assets of an enterprise or government shares prior to privatizing same.
- Valuation shall be done in accordance with guidelines issued by the Board.
- The floor or indicative price determined as the result of the valuation shall be subject to the approval of the Board.

Example:

In order to illustrate the accounting treatment for privatization of a public enterprise assume the following information that is obtained from the accounting records of XYZ Company, a public enterprise, which is privatized on Dec. 31, 2006.

XYZ Enterprise Balance Sheet Dec. 31, 2006 (Br '000)		
Assets	<u>Cost</u>	<u>Market value</u>
Cash	10,050	
Accounts Receivable	2,600	2000
Inventory	1,600	2000
Property, Plant and Equipment (net)	<u>2150</u>	<u>3000</u>
Total assets	<u>16,400</u>	
Liabilities and Capital		
Accounts Payable	150	
Income Tax Payable	122.5	
Notes Payable	200	
State Dividend Payable	116.1	
State Capital	15,700	
Legal Reserve	11.4	
Other Reserves	<u>100</u>	
Total Liabilities and Capital	<u>16400</u>	

If an individual investor has paid Br 20,000,000 to acquire the XYZ Company then the journal entries for privatization of the public enterprise under the following two alternative assumptions are shown below.

Assumption 1: Continuing with the XYZ Books

Inventory (2000-1,600)	400	
Property, Plant and equipment (3000-2150)	850	
Goodwill (note)	3538.6 [#]	
State Capital	15,700	
Legal Reserve	11.4	
Retained Earnings	100	
Accounts Receivable (2600-2000)		600
X, Capital		20,000

Note on computation of goodwill:

Cost	Br 20,000.00
Less: Market Value of Net Assets	<u>16461.40</u>
Goodwill	<u>3538.60</u>

Assumption 2: Establishing New Books

Cash	10,050
------	--------

Accounts Receivable	2000	
Inventory	2000	
Property, Plant and Equipment (net)	3000	
Goodwill	3538.6	
Accounts Payable		150
Income Tax Payable		122.5
Notes Payable		200
State Dividend Payable		116.1
X, Capital		20,000

2.7.4 Financial Statements of Public Enterprises in Ethiopia

The financial statements of public enterprises in Ethiopia contain the balance sheet, profit and loss statement, statement of cash flows, and Statement of Changes in Equity. Presented below are financial statements of sample Ethiopian public enterprise financial statements.

Sample Manufacturing Public Enterprise

Balance sheet

At 30 June 20X4

	<u>Notes</u>	<u>Birr</u>	<u>Birr</u>	<u>20X3</u> <u>Birr</u>
Assets Employed				
Property, Plant and Equipment			11,474,387	11,551,868
Current Assets				
Stock		20,262,003		14,343,894
Income Tax Recoverable		505,481		139,308
Debtors Net of Provisions		5,146,920		14,301,184
Cash and Bank Balances		815,826		135,257
		<u>26,730,230</u>		<u>28,919,643</u>
Current Liabilities				
Creditors		3,365,856		6,013,173
Bank Overdraft		2,729,657		2,836,318
Dividend Payable		2,776,579		-
		<u>8,872,092</u>		<u>8,849,491</u>
Net Current Assets			17,858,138	20,070,152
			<u>29,332,525</u>	<u>31,622,020</u>
Financed by:				
Share Capital				
Paid Up Capital			22,053,000	22,053,000
Capital Reserve			2,547,886	2,547,886
Legal Reserve			854,943	751,337
Accumulated Profit			1,866,887	3,223,483
			<u>27,322,716</u>	<u>28,575,706</u>
Proposed Dividends			1,968,519	2,999,138

Total Equity	29,291,235	31,574,844
Deferred Tax Liability	41,290	47,176
	<u>29,332,525</u>	<u>31,622,020</u>

Sample Manufacturing Public Enterprise
Profit and Loss Statement
For the year ended 30 June 20X4

	<u>Notes</u>	<u>Birr</u>	<u>Birr</u>	<u>20X3</u> <u>Birr</u>
Sales		32,560,715		34,925,765
Cost of Goods Sold		<u>27,692,055</u>		<u>28,309,718</u>
Gross Operating Profit		4,868,660		6,616,047
Other Income		<u>1,449,938</u>		<u>93,649</u>
		6,318,598		6,709,696
Expenses				
Administration	2,101,890			1,773,895
Selling and Distribution	1,149,400			991,563
Land and Building Taxes (1975-2003)	475,594			-
Financial Charges	113,136			53,013
Directors' Fees	27,800			8,045
Audit Fee	20,000			18,000
Contribution to Drought Relief	13,770			250,000
Provision for Stock Obsolescence	-			363
Provision for Doubtful Debts	<u>-</u>			<u>3,992</u>
		<u>3,901,590</u>		<u>3,098,871</u>
Net Profit Before Taxation		2,417,008		3,610,825
Tax Expense		<u>344,883</u>		<u>1,084,554</u>
Net Profit After Taxation		<u>2,072,125</u>		<u>2,526,271</u>
Transfer to Legal Reserve		<u>103,606</u>		
Proposed State Dividend		<u>1,968,519</u>		

Sample Manufacturing Public Enterprise
Statement of Changes in Equity
For the year ended 30 June 20X4

	<u>Share</u> <u>Capital</u> <u>Birr</u>	<u>Capital</u> <u>Reserve</u> <u>Birr</u>	<u>Legal</u> <u>Reserve</u> <u>Birr</u>	<u>Accumulated</u> <u>Profit</u> <u>Birr</u>	<u>Proposed</u> <u>Dividends</u> <u>Birr</u>	<u>Total</u> <u>Equity</u> <u>Birr</u>
Balance at 30 June 20X1	22,053,000	2,547,886	625,023	2,023,505	9,500,354	36,749,768
Net profit for the year				2,526,271		2,526,271
Transfer to legal reserve			126,314	(126,314)		
Dividend declared-20X1					(7,701,195)	(7,701,195)
Proposed dividend	_____	_____	_____	(1,199,979)	<u>1,199,979</u>	_____
Balance at 30 June 20X3	22,053,000	2,547,886	751,337	3,223,483	2,999,138	31,574,844
Net profit for the year				2,072,125		2,072,125
Dividend declared-20X2				(156,618)	(1,799,159)	(1,955,777)
20X3				(1,199,978)	(1,199,979)	(2,399,957)
Transfer to legal reserve			103,606	(103,606)		
Proposed dividend	_____	_____	_____	(1,968,519)	<u>1,968,519</u>	_____
Balance at 30 June 20X4	<u>22,053,000</u>	<u>2,547,886</u>	<u>854,943</u>	<u>1,866,887</u>	<u>1,968,519</u>	<u>29,291,235</u>

Sample Manufacturing Public Enterprise
Cash Flow Statement
For the year ended 30 June 20X4

	<u>Notes</u>	<u>Birr</u>	<u>Birr</u>	<u>20X3</u> <u>Birr</u>
Net Cash Inflow from Operations			5,203,643	1,354,091
Returns on Investment and Servicing of Finance				
Interest Paid		(110,151)		(31,635)
Dividend Paid		<u>(1,579,155)</u>		<u>(3,586,437)</u>
			(1,689,306)	(3,618,072)
Taxation				
Profit Tax Paid			(716,942)	(928,332)
Investing Activities				
Payments for Acquisition of Property, Plant and Equipment		(2,049,165)		(1,012,270)
Proceeds from the Disposal of Property, Plant and Equipment		<u>39,000</u>		<u>15,794</u>
			<u>(2,010,165)</u>	<u>(996,476)</u>
Increase (Decrease) in Cash and Cash Equivalents			<u>787,230</u>	<u>(4,188,789)</u>

☑ Checklist

Dear learner, check whether you have adequate knowledge or not with regard to contents presented in unit 2. Make use of a “✓” mark if you can answer the questions if not an “X” in the boxes against each question.

- Can you state the nature of joint venture? ☐
- Can you describe the two accounting methods for investments in joint venture? ☐
- Can you explain what a public enterprise is? ☐
- Can you indicate the basis of valuation of investments in the formation of a public enterprise? ☐
- Can you explain the meaning and accounting for privatization of a Public Enterprise? ☐

Summary

A joint venture is a contractual arrangement whereby two or more parties undertake an economic activity that is subject to joint control. Joint control is the contractually agreed sharing of control over an economic activity, and exists only when the strategic financial and operating decisions relating to the activity require the unanimous consent of the parties sharing the control (the venturers). The effect of a contractual arrangement is to establish joint control over the joint venture, ensuring that no single venturer is in a position to control the activity unilaterally. Joint ventures take many different forms and structures. Joint ventures may be organized as corporations, partnerships, or undivided interests. The International Accounting Standard (IAS) No. 31 identifies three broad types; namely jointly controlled operations, jointly controlled assets, and jointly controlled entities.

Jointly controlled assets and operations do not involve the establishment of an entity or financial structure separate from the venturers themselves; so that each venturer has control over its share of future economic benefits through its share in the jointly controlled assets or operations. In contrast to a jointly controlled operations or jointly controlled assets, a jointly controlled entity is a joint venture that involves the establishment of a corporation, partnership or other entity in which each venturer has an interest. The entity operates in the same way as any other entity, except the contractual arrangement between the venturers establishes joint control over the economic activity of the entity. A jointly controlled entity controls the assets of the joint venture, incurs liabilities and expenses and earns income. It may enter into contracts in its own name and raise finance for the purposes of the joint venture activity.

A jointly controlled entity is a business entity that is owned, operated, and jointly controlled by a small group of investors for their mutual benefit. The joint venture investors are usually active in the management of the venture, and each venturer usually has the ability to exercise significant influence over the joint venture investee. Investors account for their investments in corporate joint ventures as one-line consolidation under the equity method. Similarly, investors account for investments in unincorporated joint venture (partnerships and undivided interest) as one-line consolidation or proportionate consolidations, depending on the special accounting practices of the industries in which they operate.

Pursuant to proclamation no. 25/1992, a public enterprise is a wholly state owned public enterprise established to carry on for gain manufacturing, distribution, service rendering or other economic and related activities. An enterprise shall have legal personality and as such it shall have rights and duties. An enterprise may not be held liable beyond its total assets.

Each enterprise shall keep books of accounts following generally accepted accounting principles. Any enterprise shall establish and maintain a legal reserve fund by an annual transfer of 5% of its net profits until such reserve fund equals 20% of the capital of the enterprise in order to be utilized for covering losses and unforeseeable expenses and liabilities. The board of any enterprise may, with the approval of the supervising authority, cause other reserve funds to be established and determine their utilization. The accounting for public enterprises is generally based on the generally accepted accounting principles (GAAP).

According to the proclamation, two or more enterprises may be amalgamated either by the taking over of one enterprise by the other or by the formation of a new enterprise. Moreover, an enterprise may be divided to form two or more new enterprises.

Self Assessment Questions (SAQs) No. 2**Part I: Multiple Choice Items**

Instruction: Choose the correct answer from the alternatives given and write the letter of the correct answer in the space provided.

- ___ 1. A joint venture would not be organized as a(an):
- A. Corporation
 - B. Proprietorship
 - C. Partnership
 - D. Undivided interest
- ___ 2. Corporate joint ventures should be accounted for by the equity method, provided that the joint venturer:
- A. Cannot exercise significant influence over the joint venture.
 - B. Can participate in the overall management of the venture.
 - C. Owns more than 50% of the joint venture.
 - D. All of the above.
- ___ 3. An investor in a corporate joint venture would be least likely to:
- A. Be active in the management of the venture.
 - B. Have an ability to exercise significant influence.
 - C. Consent to each significant venture decision.
 - D. Hold title to a proportional share of joint venture assets.
- ___ 4. Abebe, Ayele, and Teddy corporations own 60%, 25%, and 15%, respectively, of the common stock of produce Corporation, a corporate joint venture that they organized for wholesaling fruits and vegetables. Which of the corporations should report their joint venture interests under the equity method?
- A. Abebe, Ayele, and Teddy
 - B. Abebe, and Ayele
 - C. Ayele, and Teddy
 - D. Abebe and Teddy
- ___ 5. Which of the following is a characteristic of a joint venture?
- A. The partners all jointly share in managing and controlling the venture.
 - B. The partners can be individuals, but cannot be businesses.
 - C. Debt incurred by the venture is reported on the owners' balance sheets.
 - D. The initial carrying value reported must equal the fair value of resources contributed.
- ___ 6. If a company invests in a joint venture, one accounting consequence to the company is:
- A. The investment is generally accounted for using the cost method.
 - B. The joint venture's assets and liabilities must be added in-to the company's assets and liabilities, in proportion to ownership.
 - C. Off-balance sheet financing can occur since debt incurred by the venture is not usually reported on the company's balance sheet.
 - D. The company's investment account must be carried at the fair value of assets transferred to the joint venture.
- ___ 7. Clark Corporation invested Br.100,000 in a real estate corporate joint venture on January 2, 2002. During 2002, Clark received Br.9,500 from the joint venture, and its share of joint venture net income (after depreciation) was Br.12,000. The depreciation expense applicable to Clark's share of net income was Br.4,000. Clark values its joint-venture investment in its December 31, 2002, balance sheet (under the equity method of accounting) at:
- A. Br.116,000 B. Br.112,000 C. Br.102,500 D. Br.100,000 E. None

- ___ 8. Sunrise Corporation is a public enterprise that started its operation on January 1, 2005. The initial capital was paid in cash, Br 7,500,000 on January 1. The enterprise incurred a net loss of Br 300,000. In the end-of-period journal entries, disregarding income taxes:
- Legal reserves is debited, Br 300,000
 - Other reserves is debited, Br 300,000
 - State dividend payable is credited 15,000
 - All of the above

Use the following information for questions 9 and 10:

X Company has a 50% ownership in XY joint venture. The beginning balance of the 'Investment in XY' account was a debit of Br 250,000. XY is unincorporated joint venture and it reported Revenues of Br 700,000 and expenses of Br 300,000. X Company has already recorded investment income of Br 200,000. At the end of the year, after closing entries, assets of XY Joint Venture total Br 1,000,000 and liabilities total Br 100,000. X uses the proportionate share method.

- ___ 9. The end-of-period journal entries required under the proportionate consolidation method do not include:
- A debit to assets, Br 500,000
 - A debit to expenses, Br 150,000
 - A credit to revenues, Br 350,000
 - All of the above
 - None of the above
- ___ 10. Under the equity method of accounting, the ending balance of the Investment in XY Joint Venture account would be:
- Br. 350,000
 - Br. 250,000
 - Br. 450,000
 - Br. 200,000
 - None
- ___ 11. Lunar Corporation is a public enterprise that started its operation on January 31, 2003. The enterprise earned net profit of Birr 300,000 and it has got authorization to retain Birr 100,000 from the profit of the year ending December 31, 2003. Which of the following end-of-period journal entries is appropriate?
- | | | | |
|----|-------------------------------|---------|---------|
| A. | Income summary | 300,000 | |
| | Legal Reserve | | 15,000 |
| | Unappropriated Other Reserves | | 100,000 |
| | State Dividend Payable | | 185,000 |
| B. | Income summary | 300,000 | |
| | Retained Earnings | | 115,000 |
| | State Dividend Payable | | 185,000 |
| C. | Income summary | 300,000 | |
| | Legal Reserve | 60,000 | |
| | Retained Earnings | | 100,000 |
| | State Dividend Payable | | 140,000 |
| D. | Income summary | 300,000 | |
| | Legal Reserve | 160,000 | |
| | State Dividend Payable | | 140,000 |

Part II. Workout Items

Instruction: For the following items, show the necessary steps neatly and briefly while carrying out the required tasks.

Exercise 1

Grand Co. invests Br.3,000,000 for a 30% interest in the Rock joint venture. The condensed balance sheets of Grand and Rock after the first year of the joint venture's operations appear below. Grand's investment in Rock has not been adjusted for the year.

	Grand	Rock
Current assets	Br. 22,000,000	Br. 6,000,000
Long term assets	75,000,000	40,000,000
Investment in ROC	3,000,000	
	Br.100,000,000	Br.46,000,000
Liabilities	Br. 10,000,000	Br.28,000,000
Contributed capital	50,000,000	10,000,000
Retained earnings	40,000,000	8,000,000
	Br.100,000,000	Br.46,000,000

Instructions

- A. Present the balance sheet of Grand as of the end of the first year of the joint venture's operations, assuming Grand uses the equity method to account for its investment in Rock.
- B. Present the balance sheet of Grand as of the end of the first year of the joint venture's operations, assuming Grand uses proportionate consolidation to account for its investment in Rock.

CHAPTER THREE

INSTALLMENT CONTRACT SALES

Introduction

Dear learner, this chapter focuses on explaining about the accounting treatment for installment sales. Real or personal property is often sold on contract under which a down payment is made and the remainder of the sales price is collected in a series of installment payments. Because payments may be deferred for an extended period, there may be uncertainty as to the collectability of the sales price. Uncertainty about collectability may justify departure from the accrual basis of accounting. Circumstances in which such a departure is considered appropriate are discussed in the first section of this unit, and alternative methods of reporting income are illustrated.

Business enterprises often try to attain their objectives of maximizing profit by expanding sales. Hence, instead of sticking to the cash sales they design various mechanisms that allow them to maximize profit. One among the methods is a credit sale where customers with insufficient amount of finance are given a chance to pay for goods later. Nevertheless, there are circumstances where customers face difficulty in settling their account even after sometime. This is the case particularly when the goods are of high price wherein customers cannot afford to pay the whole price of the item at a time. As a result, enterprises had to design a mechanism through which they can sell high priced items. This mechanism is called installment sales.

Although an installment sale permits boosting up sales by a significant amount, it has an inherent risk of default by customers. This is mainly due to the fact that customers are allowed extended period of time over which they have to settle their account. Accountants must therefore examine the issues that surround installment sales and develop the most effective techniques possible for measuring, controlling, and reporting it.

In this chapter you will learn about the nature and accounting treatment of installment sales.

The chapter includes in-text questions, activities, checklist, summary and self-assessment questions. You have to do the different exercises for achieving the learning objectives stated below.

Chapter Objective

Upon completion of this unit, you should be able to:

- Explain the characteristics of installment contract sales.
- State the accounting treatment for installment sales.
- Describe the accounting for defaults and reposessions on installment sales.

3.1 Characteristics of Installment Sales

- ❓ Dear learner, can you state the nature of installment sales? Give your response in the space provided.
-
-

Did you try? Good!

The installment sales contract is a special type of credit arrangement which provides for a schedule of predetermined, periodic collections from the sale of real estate, merchandise, or other personal property. In other words, installment sales are sales where payment is required in periodic installments over an extended period of time. In respect to the usual credit sale, the collection interval is comparatively short and title passes unconditionally to the buyer concurrent with the completion of the sale; however, installment sales contracts are more frequently characterized by (1) a cash down payment at the date of sale followed by periodic (frequently equal) payments over a relatively long period of time, (2) a transfer of title which remains conditional until the debt is fully discharged.

In view of the typically long collection period, and the concomitant increase in risk, a variety of contractual arrangements are used to provide some additional measure of protection to the seller. Most of these agreements involve some form of title retention by the seller; among these are the following:

1. Conditional sales contracts, whereby the seller retracts legal title of transferred property until the schedule of installment collections is completed.
2. Hire-purchase contracts, whereby the vendor, in effect, leases the property to the buyer until the final installment (rental) payment is made, at which time title is conveyed to the buyer for some nominal consideration.
3. Custodial arrangements, wherein legal title to property is vested in a third party (a trustee) until payment therefore is completed, at which time title transfers to the purchaser, this arrangement is primarily applicable to sales of real estate.

In other types of agreements, title passes to the purchaser under a mortgage or lien arrangement. Such contracts enable the vendor to reclaim possession of transferred property in those instances where the purchaser is in default.

Despite these safeguards, losses from installment sales tend to be significantly larger than those from short-term credit sales. This may be attributed, in part, to such unique variables as the extended collection period, the relatively small value of many items of repossessed merchandise (whether due to physical deterioration, obsolescence, or depreciation), increased collection expenses, and necessary costs of repossession.

Despite this disadvantage to the seller, the practice of selling on an installment basis continues to grow in significance. Although credit losses resulting from installment sales are often significant, and processing and collection costs are increased, the profitability of the firm may still be improved through an increase in installment sales volume.

Accordingly, the accountant must carefully appraise the measurement of net income where the amount of revenue from installment sales contracts is significant.

3.2 Methods of Recognition of Profit on Installment Sales

Three methods have evolved to account for and report the effects of installment sales of inventory on a firm's financial statements. One method, the point-of-sale, is consistent with the conventional income measurement method related to the accrual basis of accounting. The other two methods (cost recovery and installment) are used to account for installment sales when the collection of the

sales price is highly uncertain. In such cases, profit recognition is deferred and associated with the collection of cash.

Gross Profit Recognized at the Time of Sale (Accrual Method)

Revenue is generally recognized from the sale of a tangible asset at a specific point in the earnings process of a business, typically when “(1) the earnings process is complete or virtually complete, and (2) an exchange has taken place.” In the case of a cash sale or short-term credit sale, revenue is generally recognized when title to the goods transfers or, from a practical point of view, when the goods are shipped to the customer. Related expenses are matched against the reported revenue to determine profit. To provide a complete measure of profitability, it may be necessary to establish allowances and accrue expenses in the current period for expenses expected to be incurred in future periods (for example, warranty expenses) or to recognize losses from the failure to collect the full sales price.

Theoretically, accounting for installment sales should parallel the accounting procedures considered acceptable for accounting for short-term credit sales, even though title to the asset may not transfer until some point in the future. In other words, total revenue, current and future expenses related to the sale should be reported in the accounting period in which the goods are delivered by the seller to the buyer and a claim is established against the buyer. The passing of title is not considered relevant when determining the point at which profit should be recognized from the sale. Both parties to the transaction intend and expect to fulfill the terms of the agreement, and the transfer of title from the seller to the buyer is expected at some future date.

Gross Profit Recognized as Cash is Collected

In most circumstances, recognizing revenue and matching related expenses at the point of sale is considered the appropriate method of accounting for an installment sale. However, for some installment sales, bad debt losses on installment receivables may be significant and, more importantly from an income determination point of view, may be difficult to estimate because of the extended period of collection and lack of prior experience. Because of the uncertainty of these future losses and expenses and in recognition of the diverse condition under which installment sales are made, several alternatives to the point-of-sale method of recognizing revenue have evolved. These methods recognize profit in the period in which the sales price is collected, rather than in the period in which the sale is made.

3.3 Accounting for Installment Sales

The Installment Method: Under the installment method of accounting, each collection of the sales price is accounted for both as a partial recovery of cost and as a partial realization of the gross profit. The allocation of the cash payment is made using the same percentages in which these two elements were included in the original sales price. Thus, the gross profit on an installment sale is deferred and recognized in the periods in which cash is collected. The amount reported as profit in each period is dependent on the amount of cash collected in that period and the gross profit percentage applicable to the year of the original sale. Such that,

On the income statement

1. Realized Gross Profit--gross profit is recognized each period equal to the collections on the installment sale multiplied by the gross profit percentage on the installment sales
 - a. Gross Profit Percentage--the gross profit percentage is equal to the gross profit on the installment sale divided by the installment sale.
 - b. Interest--interest on installment payments should be accounted for separately from the gross profit realized on the collection of installment sale.
2. Repossession--gain or loss is recognized for the difference between the fair market value of the repossessed merchandise and the uncollected installment sale less the deferred gross profit on the installment sale.

On the Balance Sheet

1. Installment Receivable--receivables from installment sales contracts should be reported by year of collectability.
2. Deferred Gross Profit--deferred gross profit on installment sales should be reported as unearned revenue

The Cost Recovery Method: When the cost recovery method is used, collections of the sales price are accounted for first as a recovery of cost. No gross profit is recognized from the sale until the amounts collected equal the cost of the asset sold. Once the product cost is recovered, subsequent receipts are reported as profit. Many accountants consider this method too conservative for most firms engaging in installment sales on a regular basis. However, the method is used when there is a great deal of uncertainty as to the collectability of the receivable balance or the recovery of the receivable balance by repossessing the goods sold. Thus,

On the Income Statement:

1. Realized Gross Profit--gross profit is recognized each period to the extent of the collections of installment sales only after the cost of the installment sales are recovered.
2. Interest--interest on installment payments should be accounted for separately from the gross profit realized on the collection of installment sales.
3. Repossession--gain or loss is recognized for the difference between the fair market value of the repossessed merchandise and the uncollected installment sale less the deferred gross profit on the installment sale.

On the Balance Sheet

1. Installment Receivable--receivables from installment sales contracts should be reported by year of collectability.
2. Deferred Gross Profit--deferred gross profit on installment sales should be reported as unearned revenue.

Example

To illustrate the application of the Installment & Cost Recovery Methods assume that on June 1, 1997, Booker productions sell a large amount of merchandise to a retailer on installment basis. The buyer agrees to pay every year beginning 1997. The demand for the merchandise is unknown, the

retailer is of questionable financial strength, and thus it is highly uncertain as to whether Booker will ever be paid the full sales price. The facts regarding the transaction and subsequent events are:

Sales price for merchandise	Br.140,000	100%
Cost of merchandise sold	<u>84,000</u>	60%
Gross margin	<u>Br. 56,000</u>	
Cash collections in 1997	40,000	
Cash collections in 1998	55,000	
Cash collections in 1999	<u>15,000</u>	
Total cash collections	<u>Br.110,000</u>	

Based on the foregoing information the journal entries to record the installment sales transactions using the three alternative accounting methods are shown blow.

- Accrual Method**

Installment Accounts Receivable.....140,000
 Installment Sales.....140,000
 To record sales on installment basis.
 Cost of Installment Sales.....84,000
 Merchandise inventory.....84,000
 To record cost of merchandise sales.

- Installment Method**

For 1997:
 Installment Accounts Receivable.....140,000
 Installment Sales.....140,000
 To record sales on installment basis.
 Cost of Installment Sales.....84,000
 Merchandise inventory.....84,000
 To record cost of merchandise sales.
 Cash.....40,000
 Installment Accounts Receivable.....40,000
 To record cash collections during 1997
 Installment sales.....140,000
 Cost of installment sales.....84,000
 Deferred gross margin.....56,000
 To close installment sales and cost of installment sales accounts.
 Deferred gross margin (Br. 40,000 X 0.4).....16,000
 Realized gross margin.....16,000
 To record realized gross margin in 1997

For 1998:
 Cash.....55,000
 Installment Accounts Receivable.....55,000
 To record cash collections on installment sales of 1997.
 Deferred gross margin.....22,000
 Realized gross margin (55,000*.4).....22,000
 To record realized gross profit on installment sales of 1997.

For 1999:

Cash.....15,000
 Installment Accounts Receivable.....15,000
 To record cash collections on installment sales of 1997.
 Deferred gross margin.....6,000
 Realized gross margin (15000X0.4).....6,000
 To record realized gross profit on installment sales of 1997.

3. Cost Recovery Method

For 1997:

Installment Accounts Receivable.....140,000
 Sales.....140,000
 To record sales on installment basis.
 Cost of Installment Sales.....84,000
 Merchandise inventory.....84,000
 To record cost of merchandise sales.
 Cash.....40,000
 Installment Accounts Receivable.....40,000
 To record cash collections during 1997
 Installment sales.....140,000
 Cost of installment sales.....84,000
 Deferred gross margin.....56,000
 To close installment sales and cost of installment sales accounts.

No realized gross profit from installment sales. This is because the cash collected (Br 40,000) is less than the cost (Br 84,000).

For 1998:

Cash.....55,000
 Installment Accounts Receivable.....55,000
 To record cash collections on installment sales of 1997.
 Deferred gross margin11,000
 Realized gross margin(40,000+55,000-84,000).....11,000*
 To record realized gross profit on installment sales of 1997.

For 1999:

Cash.....15,000
 Installment Accounts Receivable.....15,000
 To record cash collections on installment sales of 1997.
 Deferred gross margin.....15,000
 Realized gross margin.....15,000*
 To record realized gross profit on installment sales of 1997.

*Schedule for the computation of realized gross profit under the cost recovery method:

Year	Cash Receivable	Recovery of Original Cost	Balance Unrecovered	Gross Profit
Beg.			Br 84,000	-
1997	40,000	40,000	44,000	0
1998	55,000	44,000	0	11,000
1999	15,000	0	0	15,000

Dear learner, note that as the cost is fully recovered in 1998 and 1999, realized gross margin of Br.11,000 and Br.15,000 is recognized respectively. The presentation of the installment sales and the realized gross profit on installment sales on the income statement under the two alternative methods is given below:

Booker Company
Income Statement
For Year Ended December 31, 1997 (Installment Method)

	Installment Sales	Regular Sales	Total
Sales	Br.140,000	Br.450,000	Br.590,000
Cost of sales	84,000	310,000	394,000
Gross profit	56,000	140,000	196,000
Less: Deferred gross profit on installment sales of 1997	40,000		40,000
Realized gross profit on current year's sales	Br 16,000	140,000	156,000
Add: Realized gross profit on prior years' installment sales			-0-
Total realized gross profit			156,000
Operating expenses			120,000
Income before income tax			36,000
Income tax (30%)			10,800
Net income			Br. 25,200

Booker Company
Income Statement
For Year Ended December 31, 1997 (Cost Recovery Method)

	Installment Sales	Regular sales	Total
Sales	Br.140,000	Br.450,000	Br.590,000
Cost of sales	84,000	310,000	394,000
Gross profit	56,000	140,000	196,000
Less: Deferred gross profit on installment sales of 1997	56,000		40,000
Realized gross profit on current year's sales	Br. 0	140,000	140,000
Add: Realized gross profit on prior years' installment sales			-0-
Total realized gross profit			140,000
Operating expenses			120,000
Income before income tax			20,000
Income tax (30%)			6,000
Net income			Br.14,000

The balance sheet of a business with installment sales will include the contracts receivable and the deferred gross profit balances related to sales on the installment plan. When current assets are viewed as including those resources reasonably expected to be realized in cash or sold or consumed during the normal operating cycle of the business, installment contracts receivable qualify for inclusion under the current heading regardless of the length of time required for their collection. In reporting installment contracts receivable under the current heading, disclosure of the maturity dates

of such contracts will provide readers of the balance sheet with a better appreciation of the company's financial position; accordingly, annual maturities of receivables should be indicated by parenthetical or footnote disclosure or by listing receivables according to their annual maturities.

Conflicting positions have been taken with respect to the appropriate classification on the balance sheet of the deferred gross profit balance. It has been suggested that this balance be reported as:

1. A liability item to be included under the deferred revenues heading,
2. An asset valuation account to be subtracted from installment contracts receivable,
3. A capital item to be included as a part of retained earnings.

Deferred gross profit on installment sales is generally reported in the liability section of the balance sheet as deferred revenue. Accountants following this practice take the position that the installment sale has actually increased the working capital position of the company but that the recognition of an increase in capital must await the conversion of the installment receivable into cash. The presentation of the installment accounts receivable and the deferred gross profit account on the balance sheet both under the installment and cost recovery methods is shown below:

Booker Company
Balance Sheet (partial)
December 31, 1997 (Installment Method)

Assets		Liabilities & Stockholders' Equity	
Current assets:		Current liabilities:	
Cash	xxx	Accounts payable	xxx
Accounts receivable (regular)	xxx	Income tax payable	xxx
Installment accounts receivable-1997	100,000	Deferred gross profit on installment sales-1997	40,000
Total current assets	xxx	Total current liabilities	xxx



Activity 10

Discuss the balance sheet classification of deferred gross profit on installment sales of merchandise.

3.4 Defaults and Repossessions, and Trade Ins

Default on an installment contract and repossession of the article sold calls for an entry on the books of the seller that reports the merchandise reacquired, cancels the installment receivable together with the related deferred gross profit balance, and records the gain or loss on the repossession. As in the case of goods acquired by trade-in, a repossessed article should be recorded at an amount that will permit a normal gross profit on its resale.

Example: To illustrate the procedure for defaults and repossessions, assume the following data:

Total installment sales in 2002.....Br.200,000

Gross profit rate on installment sales of 2002.....36%

In 2003 a customer defaults on a contract for Br.1,200 that had originated in 2002. A total of Br.500 had been collected on the contract in 2002 prior to the default. The article sold is repossessed; its value to the company is Br.360, allowing for reconditioning costs and a normal gross profit on resale. The entry to record the default and the repossessed merchandise follows:

$$\begin{aligned}
 &\text{Gain(loss) on repossession} \\
 &= \text{Market value of repossessed item} \\
 &- (\text{Installment receivable} - \text{Deferred gross profit})
 \end{aligned}$$

Merchandise-Repossessions.....	360
Deferred Gross Profit-2002.....	252
Loss on Repossessions.....	88
Installment Contracts Receivable-2002.....	700

Cancellation of the installment contracts receivable balance of Br.700 is accompanied by cancellation of deferred gross profit of Br.252 (36% of Br.700). The repossessed merchandise is reported at a value of Br.360. A loss of Br.88 is recognized on the repossession, representing the difference between the installment contract balances cancelled, Br.448 (Br.700-Br.252), and the value assigned to repossessed merchandise, Br.360.

When perpetual inventories system is maintained, repossessed goods are debited to the inventory balance; when periodic inventory system is used, repossessions are recorded in a separate nominal account and this balance is added to purchases in calculating cost of goods sold. When goods are repossessed in the year in which the sale is made and before the gross profit percentage has been calculated, it may be necessary to assume a gross profit percentage in recording the gain or loss from the repossession. A correcting entry is made at the end of the period when the actual gross profit percentage is known.

If the repossessed merchandise in the preceding example is recorded at a value in excess of Br.448, the difference between the balance in the installment contracts receivable account and the deferred gross profit account, a gain would have been reported on the repossession. Ordinarily, however, conservatism would suggest that no more than the unrecovered cost, the difference between the receivable balance and the deferred gross profit balance, be assigned to the repossessed goods. No gain, then, would be reported at the time of the repossession; recognition of any gain would await the sale of the repossessed goods.

Any gain or loss on defaults and repossessions is normally recognized on the income statement as an addition to or a subtraction from the realized gross profit on installment sales.

Trade-Ins

In certain sales on the installment plan, companies will accept a trade-in as part payment on a new contract. When the amount allowed on the goods traded in is a value that will permit the company to realize a normal gross profit on its resale, no special problem is involved. The trade-in is recorded at the value allowed, cash is debited for any payment accompanying the trade-in, installment contracts receivable is debited for the balance of the sales price, and installment sales is credited for the amount of the sale. Frequently, as a special sales inducement, an over allowance is given on the

trade-in. Such an over allowance is, in effect, a reduction in the sales price, and the accounts should properly report this fact. Under such circumstances, the trade-in should be recorded at no more than the company would pay on its purchase; the difference between the amount allowed and the value of the article to the company should be reported either as a charge to an over allowance account or as a reduction in installment sales. In either case, the gross profit on installment sales should be regarded as the difference between the cost of the goods sold and net sales-the total installment sales less any trade-in over allowance.

Example: To illustrate application of the foregoing, assume that a certain article that cost Br.675 is sold for Br.1,000. A used article is accepted as down payment, and Br.300 is allowed on the trade-in. The company estimates reconditioning costs of Br.20 on this article and a sales price of Br.275 after such reconditioning. The company normally expects a 20% gross profit on sales of used goods. The value of the trade-in and the amount of the over allowance are calculated as follows:

Amount allowed on trade-in.....	Br.300
Value of article traded in:	
Sales value of article.....	Br.275
Less: Reconditioning costs.....	Br.20
Gross profit to be realized on resale (20% of Br.275).....	<u>55</u> <u>75</u> <u>200</u>
Over allowance.....	<u>Br. 100</u>

The sale can now be recorded as follows:

Merchandise-Trade-ins.....	200
Over allowances on installment sales trade-ins.....	100
Installment contracts receivable-2002.....	700
Installment sales.....	1,000
Cost of installment sales.....	675
Merchandise-new.....	675

The cost percentage on the installment sale is calculated as follows: cost, Br.675; net sales, Br.1,000, less over allowance, Br.100, or Br.900; cost percentage, 675/900, or 75%. The gross profit on installment sales, then, is 25%, and 25% of Br.200, the down payment on the sale, may be considered realized to date. The article traded in is recorded at Br.200. This cost when increased by reconditioning costs measures the utility of the article to the business and permits a normal gross profit on its resale.

It was just assumed in the example just given above that the company employs a perpetual inventory system for merchandise. When a periodic inventory system is used, trade-ins are recorded in a separate nominal account and this balance is added to purchases in summarizing cost of goods sold at the end of the period.

3.5 Interest on Installment Contracts

Installment contracts frequently provide for a charge for interest on the balance due. The interest charge is ordinarily payable with the installment payment that reduces the principal. Although interest is included in the payment, use of the installment method requires that only that portion of a payment which reduces the principal balance of the installment contact receivable should be considered in computing the gross profit realized.

Example: To illustrate the accounting for installment sales that carry interest, assume that on January 1 of year 1 a corporation sold land costing Br. 120,000 for a Br. 50,000 down payment and a Br 150,000, 3-year, 8% note; the note was to be repaid in 3 annual installments of Br. 58,205 on

December 31 of year 1, year 2, and year 3 ($58,205 \times 2.57710 = 150,000$). Following is a schedule of the cash payment and interest income based on the information given:

Amortization Schedule:						
Beginning Balance		Interest Income		Cash Payment		Ending Balance
150,000	+	12,000	-	58,205	=	103,795
103,795	+	8,304	-	58,205	=	53,894
53,894	+	4,312	-	58,205	=	1

Based on the foregoing information the journal entries to record the sale of land on installment plan using the three alternative accounting methods are shown below.

1. Installment Method

For Year 1:

Cash.....50,000
 Notes Receivable.....150,000
 Land.....120,000
 Deferred Gross Profit.....80,000
 To record the installment sale of land.
 Deferred Gross Profit.....20,000
 Realized Gross Profit ($50000 \times 80000 / 200000$).....20000
 To record realized gross profit.
 Cash.....58,205
 Interest Income.....12,000
 Notes Receivable.....46,205
 To record cash collections in Year 1.
 Deferred Gross Profit.....18,482
 Realized Gross Profit ($40\% \times 46,205$).....18,482
 To record realized gross profit in year 1.

For Year 2:

Cash.....58,205
 Interest Income.....8,304
 Notes Receivable.....49,901
 Deferred Gross Profit.....19,960
 Realized Gross Profit ($40\% \times 49,901$).....19,960

For Year 3:

Cash.....58,205
 Interest Income.....4311
 Notes Receivable.....53894
 Deferred Gross Profit.....21558
 Realized Gross Profit ($40\% \times 53,894$).....21558

2. Cost Recovery Method

For year 1:

Cash.....50,000
 Notes Receivable.....150,000
 Land.....120,000
 Deferred Gross Profit.....80,000

To record the installment sale of land.

Cash.....58,205
 Interest Income.....12,000
 Notes Receivable.....46,205

Dear learner, note that there is no realized gross profit because the cash collections on principal amount of the sale (96,205) are less than the cost of the land that is sold (120,000).

For Year 2:

Cash.....58,205
 Interest Income.....8,304
 Notes Receivable.....49,901
 Deferred Gross Profit.....26,160
 Realized Gross Profit(50000+46205+ 49,901-120000).....26,160

For Year 3:

Cash.....58,205
 Interest Income.....4311
 Notes Receivable.....53894
 Deferred Gross Profit.....53894
 Realized Gross Profit53894



Activity 11

The following journal entry was in the accounting records of a land developer who used the installment method of accounting:

Inventories (repossessed land).....2,000
 Deferred gross profit on installment sales-year 10.....1,505
 Doubtful installment receivables expense.....795
 Installment receivables.....4,300

Compute the rate of gross profit on the original sale.

☑ Check List

Dear learner, please check your mastery level of concerning accounting for installment sales by marking a “✓” if you know it well or “X” if you do not know.

Can you:

- | | | |
|---|---|--------------------------|
| 1 | Explain the characteristics of installment contract sales | ☐ |
| 2 | Explain the alternative methods of recognizing revenue on installment sales? | ☐ |
| 3 | Describe the accounting treatment for interest on installment sales? | ☐ |
| 4 | State the classification of the deferred gross profit account on the balance sheet? | ☐ |
| 5 | Explain the alternative methods of recording consignment sales? | ☐ |

Summary

Attaining maximum sales by following a strict cash sales policy takes enterprises nowhere. As a means of achieving the objective of maximizing profit by selling more, firms adopt sales on account. However, the risk that comes along with credit sales, particularly when goods are of high value, is too much to bear. Hence, enterprises sell goods on an installment basis. When goods are sold on installment basis, enterprises collect cash in the form of down payment and agree to collect balance over a certain period.

Installment sales pose some difficult problems for accountants. The most basic of these problems is the matching of expenses and revenue. In consideration of the diverse business conditions under which installment sales are made, installment sales can be accounted for either by the point of sales (accrual basis of accounting) method or the installment and cost recovery methods. Under the point of sales method the entire gross profit on the installment sales is realized in the year in which the sale has been carried out. To recognize the entire gross profit as realized at the time of an installment sale is to say in effect that installment sales are similar to sales on credit. On the other hand, revenue recognition on the installment and cost recovery methods is based on a considerable extent on the timing of cash receipts.

The installment sales method recognizes gross profit in collection periods over the term of the contract by applying the gross profit percentage on the sale to the amount of cash actually received. Emphasis is shifted from the acquisition of installment receivables to the collection of the receivables as the basis for realization of gross profit; in other words, a modified cash basis of accounting is substituted for the accrual basis of accounting. The modified cash basis is known as the installment method of accounting. The cost recovery method defers all gross profit recognition until cash has been received equal to the cost of the item sold. All subsequent cash collections are profit. These methods of recognizing revenue should only be used in situations where there is an unusually high degree of uncertainty regarding the ultimate cash collection on an installment sale. Under the installment method of accounting if a customer defaults on an installment contract then the uncollectible installment receivable and the deferred gross profit relate to the receivable will be written off and the difference is recorded as doubtful installment receivables expense. In most cases a default by a customer leads to repossession of merchandise and the doubtful installment receivables expense is reduced by the net realizable value of the merchandise repossessed, and it is possible for the repossession to result in a gain.

Self-Assessment Questions (SAQs) No. 3**Part I: Multiple Choice Questions**

Instruction: Choose the correct answer for each of the following questions and write the letter of the correct choice on the space provided.

1. Dalol Company, which began operations on January 2, Year 4, appropriately uses the installment method of accounting. The following information is available for the year ended December 31, Year 4.

Gross profit on sales.....40%
Deferred gross profit, Dec. 31, Year 4.....Br. 240,000
Cash collected, including down payments.....450,000

What is the total amount of Dalol's installment sales for the year ended December 31, Year 4?

- A. Br. 600,000 C. Br. 850,000
B. Br. 690,000 D. Br. 1,050,000 E. Some other amount
2. For a retailing enterprise that appropriately uses the installment method of accounting for installment sales of merchandise, doubtful installment receivables expense is recognized when:
- A. A customer defaults on an installment contract.
B. An estimate of doubtful installment receivables is made at the end of an accounting period.
C. There are uncollected deferred gross profits and carrying charges on an installment receivable.
D. Reconditioning costs for repossessed merchandise are incurred.
3. An overallowance on a trade-in on an installment sale is debited to:
- A. Cost of installment sales.
B. Overallowances on trade-ins expense.
C. Inventories (trade-ins).
D. None of the foregoing ledger accounts.
4. Deferred gross profit on installment sales is generally treated as a(n)
- A. Deduction from installment accounts receivable.
B. Deduction from installment sales.
C. Unearned revenue and classified as a current liability.
D. Deduction from gross profit on sales.
5. The installment-sales method of recognizing profit for accounting purposes is acceptable if
- A. Collections in the year of sale do not exceed 30% of the total sales price.
B. An unrealized profit account is credited.
C. Collection of the sales price is not reasonably assured.
D. The method is consistently used for all sales of similar merchandise.
6. The method most commonly used to report defaults and repossessions is
- A. Provide no basis for the repossessed asset thereby recognizing a loss.
B. Record the repossessed merchandise at fair value, recording a gain or loss if appropriate.
C. Record the repossessed merchandise at book value, recording no gain or loss.
D. None of these.
7. Under the installment-sales method,
- A. Revenue, costs, and gross profit are recognized proportionate to the cash that is received from the sale of the product.
B. Gross profit is deferred proportionate to cash uncollected from sale of the product, but total revenues and costs are recognized at the point of sale.

- C. Gross profit is not recognized until the amount of cash received exceeds the cost of the item sold.
 - D. Revenues and costs are recognized proportionate to the cash received from the sale of the product, but gross profit is deferred until all cash is received.
- 8. The realization of income on installment sales transactions involves
 - A. Recognition of the difference between the cash collected on installment sales and the cash expenses incurred.
 - B. Deferring the net income related to installment sales and recognizing the income as cash is collected.
 - C. Deferring gross profit while recognizing operating or financial expenses in the period incurred.
 - D. Deferring gross profit and all additional expenses related to installment sales until cash is ultimately collected.
- 9. A manufacturer of large equipment sells on an installment basis to customers with questionable credit ratings. Which of the following methods of revenue recognition is *least* likely to overstate the amount of gross profit reported?
 - A. At the time of completion of the equipment (completion of production method)
 - B. At the date of delivery (sales method)
 - C. The installment-sales method
 - D. The cost-recovery method
- 10. Under the cost-recovery method of revenue recognition,
 - A. Income is recognized on a proportionate basis as the cash is received on the sale of the product.
 - B. Income is recognized when the cash received from the sale of the product is greater than the cost of the product.
 - C. Income is recognized immediately.
 - D. None of these.
- 11. Oliver Co. uses the installment-sales method. When an account had a balance of \$8,400, no further collections could be made and the dining room set was repossessed. At that time, it was estimated that the dining room set could be sold for Br2,400 as repossessed, or for Br3,000 if the company spent Br300 reconditioning it. The gross profit rate on this sale was 70%. The gain or loss on repossession was a:
 - A. Br5,880 loss.
 - B. Br6,000 loss.
 - C. Br600 gain.
 - D. Br180 gain.
- 12. Winsor, Inc. is engaged in extensive exploration for water in Utah. If, upon discovery of water, Winsor does not recognize any revenue from water sales until the sales exceed the costs of exploration, the basis of revenue recognition being employed is the
 - A. production basis.
 - B. sales (or accrual) basis.
 - C. cash (or collection) basis.
 - D. cost recovery basis.
- 13. Seeman Furniture uses the installment-sales method. No further collections could be made on an account with a balance of \$18,000. It was estimated that the repossessed furniture could be sold as is for \$5,400, or for \$6,300 if \$300 were spent reconditioning it. The gross profit rate on the original sale was 40%. The loss on repossession was
 - A. \$4,800.
 - B. \$4,500.
 - C. \$12,000.
 - D. \$12,600.
- 14. Wagner Company sold some machinery to Granger Company on January 1, 2007. The cash selling price would have been \$568,620. Granger entered into an installment sales contract which required annual payments of \$150,000, including interest at 10%, over five years. The

first payment was due on December 31, 2007. What amount of interest income should be included in Wagner's 2008 income statement (the second year of the contract)?

- A. \$15,000 B. \$47,548 C. \$30,000 D. \$41,862
15. Singer Company sells plasma-screen televisions on an installment basis and appropriately uses the installment-sales method of accounting. A customer with an account balance of \$5,600 refuses to make any more payments and the merchandise is repossessed. The gross profit rate on the original sale is 40%. Singer estimates that the television can be sold as is for \$1,750, or for \$2,100 if \$140 is spent to refurbish it. The loss on repossession is
- A. \$3,850. B. \$2,240. C. \$1,610. D. \$1,400.

Use the following information for questions 16-17.

During 2008, Steele Corporation sold merchandise costing \$1,500,000 on an installment basis for \$2,000,000. The cash receipts related to these sales were collected as follows: 2008, \$800,000; 2009, \$700,000; 2010, \$500,000.

16. What is the rate of gross profit on the installment sales made by Steele Corporation during 2008?
- A. 75% B. 60% C. 40% D. 25%
17. If expenses, other than the cost of the merchandise sold, related to the 2008 installment sales amounted to \$90,000, by what amount would Steele's net income for 2008 increase as a result of installment sales?
- A. \$110,000 B. \$177,500 C. \$200,000 D. \$710,000
18. On January 1, 2007, Dole Co. sold land that cost \$210,000 for \$280,000, receiving a note bearing interest at 10%. The note will be paid in three annual installments of \$112,595 starting on December 31, 2007. Because collection of the note is very uncertain, Dole will use the cost-recovery method. How much revenue from this sale should Dole recognize in 2007?
- A. \$0 B. \$21,000 C. \$28,000 D. \$70,000

Part II: Workout Items

Exercise 1

The Ethelco Appliance Company recorded installment sales of Br600,000 in 2002. A record was kept of the different articles sold on the installment basis. At the end of the year the total cost of goods sold on the installment basis was calculated at Br405,000. The total collections on installment sales for the year were Br360,000. The estimated value of the merchandise repossessed was Br24,000, and balances owed on the repossessions were Br40,000. Perpetual inventory accounts were maintained.

Instructions

Prepare the journal entries required for the data above, including the entries:

- To set up the total realizable gross profit at the end of the year,
- To record the cash collections
- To record the repossessions, and
- To record the realized gross profit

Exercise 2

The following partial information is available for the Cupp Company:

Installment method sales	\$120,000	(C)
Installment method cost of goods sold	(A)	\$63,000
Gross profit percentage	(B)	30%
Cash receipts on installment method sales		
2007 sales	25,000	(D)
2008 sales		(E)
Realized gross profit on installment method sales		
2007 sales	5,000	7,000
2008 sales		9,000

Required

Compute the unknown amounts. (Note: It is not necessary to compute the amounts in the numerical sequence.)

Exercise 3

The following information is available for the Butler Company in 2007, its first year of operations:

Total credit sales (including installment method sales)	\$205,000
Total cost of goods sold (including installment method cost of goods sold)	130,000
Installment method sales	65,000
Installment method cost of goods sold	39,000
Cash receipts on credit sales (including installment method sales of \$20,000)	120,000

Required

1. Prepare the journal entries for 2007.
2. If the company collected \$45,000 in 2008 on its 2007 installment method sales, prepare the appropriate journal entries in 2008.

CHAPTER FOUR CONSIGNMENT SALES

Introduction

Dear learner, this chapter focuses on explaining about the accounting treatment for consignment sales. Business enterprises often try to attain their objectives of maximizing profit by expanding sales. Another method by which business enterprises can expand their sales in order to maximize their profit is thorough consignment sales. This method is particularly useful to minimize the risk of uncollectability due to customers default on credit sales and when reaching distant areas through establishment of branches or forming a sales agency becomes costly.

A consignment arrangement is a method of marketing a product in which the possession of goods is transferred to another party who is to act as an agent in selling the goods. The transfer of goods on consignment is not considered a sales transaction. However, both parties must establish adequate procedures to control and account for goods on consignment. In consignment shipments, the firm that makes the consignment retains title to goods. Unsold items are considered as part of inventory of the enterprise that ships the merchandise on a consignment basis.

In this chapter, you will learn about the nature and accounting treatment for consignment sales.

Chapter Objective

Upon completion of this chapter, you should be able to:

- Explain the characteristics of consignment sales.
- Distinguish between consignment sales and regular sales.
- Discuss the accounting for consignee and consignor.

4.1 Nature of the Consignment Agreement

A consignment constitutes the transfer of possession of merchandise without the transfer of title from the owner, called the consignor, to another person, called the consignee. The consignee acts as an agent on behalf of the consignor for the purpose of selling the goods for a commission. Legally, the consignment is a bailment and, accordingly, the laws of agency and bailment apply in the determination of the rights and responsibilities of both the consignor and the consignee.

4.2 Distinction between Consignment Sales and Regular (Ordinary) Sales

- ⑦ Dear learner, can you explain the difference between ordinary (regular) sales and consignment sales? Give your response in the space provided below.

Did you try? Very good!

The shipment of consigned goods to the consignee is not treated as a sale. Although a transfer of goods has taken place, it is not the intent of either the consignor or the consignee that sale and purchase transactions take place. Title to the goods remains with the consignor, and recognition of the sale is deferred until the goods are transferred to a third party by the consignee. In other words, the intent of the parties is to transfer title directly from the consignor to the third party. At that time, the transaction is recorded as a sale on the books of the consignor. Accordingly, inventory on consignment must be reported as part of the consignor's inventory until it is sold by the consignee to a third party.

A consignment arrangement offers certain advantages to both the consignor and the consignee. A consignor may prefer shipping goods on consignment for the following reasons:

1. Wider markets for a product. Dealers may not be willing to assume the risk of purchasing certain goods, such as a new product or an item that may become obsolete, but may be willing to carry them on consignment.
2. Control over selling price. If goods are sold directly to the consignee, the consignor may find it difficult to establish and control the selling price of goods.
3. Recovery of an asset. Since legal title does not transfer to the consignee, the consignor has the right to possession of all unsold goods or the right to payment for goods sold if the consignee declares bankruptcy. Creditors of the consignee do not have the claim against the consigned assets that they would have if the goods had been sold to the consignee.

The consignee may find a consignment arrangement attractive primarily for the following reasons:

1. Avoids risk of ownership. Goods that do not sell or that become obsolete, deteriorate, or decline in market value may be returned to the consignor.
2. Requires less capital. The consignee does not incur a liability and does not make a cash payment on the goods until they are sold. Thus, the consignee's capital investment will be lower if the goods are held on consignment.

Even with these advantages, consignment arrangements have been declining in use as a result of changing business practices, such as the tendency toward more liberal return policies on non consignment sales.

Operation of the Consignment

- ❓ Dear learner, can you list down the rights and responsibilities of a consignee? Give your answer in the space provided below.
-

Did you try? Ok! Let's examine them together.

Before goods are transferred on consignment, a written agreement should specify clearly the intent of the parties. The agreement should address such issues as the amount and type of the consignee's expenses to be reimbursed by the consignor, how the consignee's commissions are to be computed, when commissions are to be paid, the credit terms and conditions, if any, to be considered by the consignee in granting credit, and the responsibility for collection of receivables and losses on receivables. The agreement should be complete and attempt to avoid potential points of conflict. For

items not provided for in the agreement that result in litigation, the laws of bailment and agency apply. Some of the most important rights and duties of the consignee are the following:

a. Rights of the Consignee

Compensation. The consignee has a right to be compensated for services performed. Usually this compensation is stated as a percentage of the sales price, or the consignee is permitted to retain all the sales price above a specified amount.

Reimbursement for Advances and Necessary Expenses. Unless otherwise provided for in the agreement, the consignor, as owner of the goods, is responsible for all costs incurred that are directly related to the sale of the goods (for example, freight and insurance on the goods while in transit to the consignee's place of business). Before the goods are sold, several expenses that are directly related to the sale may be paid by the consignee for the convenience of the consignor. In addition, in some cases the consignee may make an advance to the consignor before the sale is made to a third party. The consignee has the right to be reimbursed for such advances and expenses. Normally, recovery is made by deducting the expenses and advances from the amounts collected from the sale of the consigned goods. If the collections are insufficient to cover these expenses and advances, the consignee has a direct claim against either unsold goods or receivable balances on items already sold.

Granting of Credit. Unless limited by an express agreement, the consignee has the right to sell goods on credit and extend normal credit terms. Of course, the consignee must exercise due care and act prudently in the granting of credit. The consignee is referred to in such cases as a *del credere* agent and generally receives additional compensation for assuming this risk.

Warranty of Consigned Goods. The consignee has the right to make warranties that are normal for the product being sold.

b. Responsibilities of the Consignee

Care and Protection for Consigned Goods. The consignee must provide care and protection reasonable for the type of goods being held and care for the goods in accordance with specific instructions of the consignor.

Identification of Consigned Goods and Receivables. Although physical separation is not required, the consignee must establish sufficient controls and provide adequate accounting records to identify consigned goods and consignment receivables.

Due Care in Granting and Collecting Receivables. The consignee must exercise reasonable effort to assure that the goods are sold at the specified price, that normal credit terms are granted, that a normal warranty is made, and that a reasonable effort is made to collect the sales price.

Timely Periodic Reporting of Sales and Collections. The consignee must report the sales and collections activities during the period and settle the account with the consignor as provided for in the consignment agreement. The report rendered by the consignee to the consignor is called an account sale, which includes such information as:

- The quality of merchandise received and sold on consignment,
- Expenditures made by the consignee that must be reimbursed by the consignor,
- Cash advances made by the consignor to the consignee, amounts owed or remitted to the consignor.

The consignee makes payments to the consignor as portions of the merchandise are sold or payments may not be required until all the consigned merchandise either has been sold or has been returned to the consignor.

4.3 Accounting for Consigned Goods

The factors that distinguish the consignment from a sale must be recognized when the transfer of goods and subsequent transactions are recorded. The accounting procedures followed by the consignee and the consignor depend upon whether (1) consignment transactions are to be summarized separately and profits on individual consignments are to be calculated separately from profits on regular sales, or (2) consignment transactions are to be merged with other transactions of the consignee, with no attempt to distinguish between profits on consignment sales and profits on regular sales.

When profits on consignment sales are to be separately determined, the consignee maintains a consignment-in account for each consignment. This account is charged for all expenses that are to be absorbed by the consignor; it is credited for the full proceeds from consignment sales. The commission or profit on consignment sales is ultimately transferred from the consignment-in account to a separate revenue account, and the resulting balance in the consignment-in account reports the amount that is owed to the consignor in settlement.

Accounting by the Consignee

Accounting procedures established by the consignee must recognize that goods received on consignment are not owned. However, as noted earlier, the consignee must (1) maintain records and controls that permit the identification of (a) goods held on consignment and (b) related receivables and reimbursable expenses, and (2) prepare periodic reports. The consignee normally creates a special account, Consignment-In, which is debited for reimbursable expenses related to the consigned inventory, commissions earned by the consignee, and cash remittances to the consignor. The account is credited for the proceeds of consignment sales to third parties.

If the consignee transacts business with more than one consignor, a separate Consignment-in account should be established for each consignor. If the consignee deals with a number of consignors, a controlling account could be established in the general ledger and supporting information recorded in individual accounts in a subsidiary ledger. At the end of the period, a Consignment-In account may contain a debit balance, representing a net receivable due from the consignor, or the account may contain a credit balance, representing a net payable due to the consignor. The sum of receivable balances and payable balances should be reported separately and should not be offset against one another. Thus, the sum of the accounts with the debit balances should be reported on the balance sheet as a current asset; the sum of the accounts with credit balances should be reported on the balance sheet as a current liability.

Example: To illustrate the accounting for consignment sales by the consignee assume that on June 10, 2002, the XYZ Co. (consignee) received 10 radio sets on consignment basis from ABC Company (consignor). The consignee is to be allowed a commission of 20% and is to be reimbursed for any transportation and other costs. On July 30, XYZ sends cash to the consignor in settlement of the account together with the following account sales.

XYZ Company, Jima			
Account Sales			
Sales for account of <u>ABC Company</u>			<u>June 30, 2002</u>
Account sales of <u>Video recorders, Model VR 1100</u>			
Date	Explanation	Amount	
June 1	Consigned units on hand-0		
June 10	Consigned units received-10		
June 1-30	Sales-9units @ Br1,200 each		10,800
	Expenses incurred:		
	Freight	Br 500	
	Repairs needed on 2 units sold	60	
	Advertising in local newspaper	80	
	Commission (20% X Br 10,800)	2,160	2,800
	Net payable to consignor		8,000
	Remittance enclosed		8,000
	Balance payable to consignor		-0-
June 30	Consigned merchandise on hand		1 unit

The journal entries to record the transactions on the books of the consignee are shown here below:

- (1) June 10. Received 10 video recorders on consignment.
Memorandum Entry
- (2) June 10. Freight charges paid by consignee on consignment shipments, Br. 500.

Consignment-in	500	
Cash		500
- (3) June 12. Payment for repairs needed on two video recorders, Br. 60

Consignment-in	60	
Cash		60
- (4) June 12. Payment for advertising by consignee chargeable to consignor, Br. 80.

Consignment-in	80	
Cash		80
- (5) June 15-30. Sales of 9 video recorders @ Br. 1,200 each.

Cash	10,800	
Consignment-in		10,800
- (6) June 30. Charge by consignee for 20% commissions earned on consignment sales

Consignment-in	2,160	
Commission revenue on Consignment sales		2,160
- (7) June 30. Remittance of cash in settlement of account

Consignment-in	8,000	
Cash		8,000

Entry (6) must be made before the financial statements are prepared in order to reflect the revenue earned during this period by the consignee.

The entry to record the consignment sales [entry 5 above] was based on the assumption that the sales were cash sales only. A memorandum entry could be made for those sales on account if the consignor were responsible for receivable collections. In such cases, the account sales report would reflect settlement in the form of cash for the balance in the Consignment-in account, and receivable balances transferred to the consignor would be listed. If receivables are transferred to the consignor, it is possible, of course, that the Consignment-in account will report a debit balance reflecting cash due from the consignor.

After the foregoing journal entries are posted to the general ledger, the Consignment-in account appears as follows:

Consignment-In-ABC Company			
6/1 Units on hand	0	6/10-6/30 Sold 9 units	10,800
6/10 Units received	10		
6/10 Freight charges	500		
6/12 Repairs	60		
6/12 Advertising	80		
6/30 Commissions revenue	2,160		
6/30 Cash remittance to consignor	<u>8,000</u>		
	<u>10,800</u>		<u>10,800</u>
7/1 Units on hand	1		

Observe that the money value of the inventory held on consignment is not carried on the books of the consignee.

If the consignee does not measure profits from consignment sales separately from regular sales, the sale of the consigned merchandise is credited to the regular sales account. Consequently, a journal entry is made debiting cost of goods sold (or purchases and crediting the consignment-in account for the amount payable to the consignor for each unit sold (sales price minus the commission). Costs chargeable to the consignor are recorded by debits to the consignment-in account and credits to cash or expense accounts, if the costs previously were recorded in expense accounts. No journal entry is made for commission revenue, because the profit element is measured by the difference between the amount credited to sales and the amount debited to cost of goods sold (or purchases). The consignment-in account is closed by a debit for the payment made to the consignor in settlement. This method may be less desirable, because information relating to gross profits on consignment sales as compared with regular sales may be needed by the consignee as a basis for business decisions.

Accounting by the Consignor

- ⑦ Dear learner, can you state the two alternative ways of accounting for consignment sales by the consignor? Give your response in the space provided below.

Did you try? Good! Check your response as you go through the following section.

The journal entries to be made on the books of the consignor vary, depending on (1) whether consignment transactions are recorded in separate ledger accounts for the purpose of determining profits on consignment sales or are simply combined with the regular account balances and (2) whether a perpetual or periodic inventory system is used.

If consignment transactions are recorded in separate accounts in order to measure gross profit separately, a Consignment-Out account is established for each consignment shipment. If consignment shipments are too numerous, the account may serve as a controlling account for individual consignments that are recorded in a subsidiary ledger. Practice may vary as to the type of transactions charged to this account. One commonly used alternative is to debit Consignment-Out for the cost of goods shipped on consignment and all other expenses related to the consignment sales incurred by both the consignor and consignee; the account is credited for the amount of consignment sales. The Consignment-Out account is in the nature of an inventory account rather than a receivable account, since title to the goods is retained by the consignor.

The consignor may establish an accounting system in which the revenue and expenses related to the consignment transactions are recorded in the regular accounts if gross profit is not to be measured separately, rather than in separate accounts as discussed before. If this is the case, then some modification is required in the accounting methods and control procedures adopted by the consignor. The modifications are necessary to provide a record of the goods on consignment, to identify inventoriable cost related to goods on consignment, and to maintain a record of the relative position with each consignee.

The journal entries on the books of the consignor for the two alternatives discussed in the two preceding paragraphs are presented below. The transactions reported in the account sales report to XYZ Company constitute the primary support for these entries. It is assumed in this illustration that the consignor has adopted a perpetual inventory system. The modifications required when a periodic inventory system is used are discussed in a later section.

I. Consignment Transactions Recorded In Separate Accounts

- (1) June 6 Shipment of 10 video sets on consignment, cost to consignor, Br. 75 each.

Consignment-Out	7,500	
Inventory		7,500

- (2) June 6 Payment of packing expenses incurred by consignor, Br. 400

Consignment-Out	400	
Cash		400

- (3) June 30 Consignment sales of 9 units, Br. 10,800 reported by consignee and payment of Br.8,000 cash received. The consignee charges freight costs of Br.500, repairs expense Br.80, advertising expense Br. 80 and commission of Br.2,160 as reported per account sales report.

Cash	8,000	
Consignment-Out	2,800	
Consignment Sales		10,800

- (4) June 30 Adjust Consignment-Out for cost consignment sales

Cost of Consignment Sales	9,860	
Consignment-Out		9,860

- (5) June 30 Adjust expense accounts to defer inventoriable cost of goods related to unsold consigned merchandise at end of period (One unit in consignment inventory).

No adjusting entry

After the foregoing journal entries are posted, the Consignment-Out account will appear as follows:

Consignment-Out: XYZ Company			
6/6 Shipment of 10 video recorders on consignment	7,500	6/10-6/30 Cost of sales of 9 units	9,860
6/6 Packing expense	400		
6/30 Transactions reported by consignee			
Freight charges	500		
Repairs	60		
Advertising	80		
Commissions	<u>2,160</u>	6/30 Cost allocated to one Unsold unit	<u>840</u>
	<u>10,700</u>		<u>10,700</u>
7/1 Beginning balance-inventoriable cost allocated to one unit	840		

II. Consignment Transactions Recorded in Regular Accounts

- (1) June 6 Shipment of 10 video sets on consignment, cost to consignor, Br. 75 each.

Consignment-Out 7,500
 Inventory 7,500

- (2) June 6 Payment of packing expenses incurred by consignor, Br. 400

Packing Expense 400
 Cash 400

- (3) June 30 Consignment sales of 9 units, Br. 10,800 reported by consignee and payment of Br. 8,000 cash received. The consignee charges freight costs of Br. 500, repairs expense Br. 80, advertising expense Br. 80 and commission of Br. 2,160 as reported per account sales report.

Cash 8,000
 Freight Expense 500
 Repairs Expense 60
 Advertising Expense 80
 Commission Expense 2,160
 Sales 10,800

- (4) June 30 Adjust Consignment-Out for cost consignment sales

Cost of Goods Sold 6,750
 Consignment-Out 6,750

- (5) June 30 Adjust expense accounts to defer inventoriable cost of goods related to unsold consigned merchandise at end of period. (One unit in consignment inventory)

Consignment-Out 90
 Packing Expense 40
 Freight Expense 50

After the foregoing journal entries are posted, the Consignment-Out account will appear as follows:

Consignment-Out: XYZ Company			
6/6 Shipment of 10 video recorders on consignment	7,500	6/10-6/30 Cost of sales of 9 units	6,750
6/30 Adjustment of expense accounts	<u>90</u>	6/30 Cost allocated to one Unsold unit	<u>840</u>

	<u>7,590</u>	<u>7,590</u>
7/1 Beginning balance-inventoriable cost allocated to one unit	840	

The Consignment-Out account provides a summary of the consignment transactions that have occurred during the period. After the transactions reflected in the account sales report have been posted, the balance in the account must be adjusted to recognize the cost of consigned units sold. The balance remaining in the account after this adjustment is posted represents the cost to be deferred as an asset on the unsold units.



Activity 12

In a consignment, does the consignee or consignor retain title to the property? When is revenue recognized by the consignor? The consignee?

4.4 Allocating Costs on Partial Sales

In order to determine the profit from sales in this period and the cost to be deferred, it is necessary to allocate the total cost identified with the goods on consignment between the units sold in this period (to be matched against consignment sales in this period) and the units still on hand at the end of the period (to be reported as inventory on the consignor's balance sheet). The allocation of costs and the amount of the consignment profit were determined as follows:

		Costs associated with	
	Total Costs	Consignment Sales-9units	Ending Inventory
Consignment sales		10,800	
Cost of 10 video recorders	Br. 7,500	Br. 6,750	Br. 750
Packing expense	400	360	40
Freight expense	500	450	50
Repairs expense-on unit sold	60	60	-
Advertising expense	80	80	-
Commission expense	2,160	2,160	-
Total	Br. 10,700	Br. 9,860	Br. 840
Consignment profit		Br. 940	

When this allocation is made, costs are classified as either inventoriable or noninventoriable. Inventoriable costs (product costs) are those considered necessary to acquire the product, get it to the location of sale, and prepare it for sale. Inventoriable costs are said to attach to the inventory and become a part of the total cost, or total valuation, of the inventory. In this illustration the cost of the goods, the packing, and the freight expenditures were considered costs necessary to get the goods to

a location for sale and in a salable condition. Such costs are deducted from (matched against) consignment revenues in the accounting period in which the individual units are sold.

Other costs incurred by the consignee and consignor do not add to the utility of the goods and are considered noninventoriable or period costs. Period costs are expensed in the accounting period in which the expense is incurred. Costs such as commissions earned by the consignee and the cost of repairing two of the units sold did not add to the value of the unsold units and were expensed currently. Advertising is considered a period expense, even though there may be some future benefit. Freight on shipments to the consignee is considered an inventoriable cost to the extent that it does not exceed the normal costs of direct shipment for the consignor. Excessive freight on consignments should not be included in the value of the unsold units, but should be expensed currently as a period charge.

Other inventoriable costs may be incurred by the consignor when unsold units are returned by the consignee. The amount restored to the inventory account (that is, a credit is made to Consignment-Out) should not exceed the original cost of the inventory, and in some situations may be less if the goods have a lower value. After this entry, the balance remaining in Consignment-Out is expensed in the current period. Failure to do so would result in an overstated value for the retained goods. In addition, cost incurred to restore the inventory to a salable condition should be accounted for as a period expense.

The journal entries when the regular accounts are used to record the consignment transactions are self-explanatory and are based on the allocation of costs discussed before. It should be noted that the increase in net income of Br. 940 and the deferred cost of Br. 840 (Br. 750+Br. 90) are the same for both alternatives.

Only minor changes are needed in the foregoing journal entries if the consignor maintains a periodic inventory system. If consignment transactions are kept in separate accounts, the entry to record the shipment of goods [entry (1)] becomes:

Consignment-Out-XYZ Co.....	7,500
Consignment Shipments.....	7,500

The consignment shipments account is viewed as a reduction in the costs of goods available for sale in order to determine the cost of goods available for regular sales. This account is, of course, closed at the end of the period. The remainder of the entries are the same as those in the first set of columns.

If consignment transactions are recorded in the regular accounts, a memorandum entry may be made in the journal to create a record of the goods shipped on consignment. This entry is in the form presented in the preceding paragraph, except that the two accounts are considered memorandum accounts. Memorandum accounts are accounts with equal but opposite balances that offset each other and, accordingly, are not reported on the financial statements. This entry would be reversed for the cost of goods sold (Br. 750 X 9 units) by the consignee. The ending balance of Br. 750 in consignment-Out. In other words, these accounts are simply memorandum accounts used to provide a record of goods still on consignment. The balances in the accounts will not be reported in the financial statements of the consignor. All other entries are once again the same, except that one

additional entry is necessary to record a deferred inventory cost equal to the original purchase price of the one unsold unit of Br. 750.



Activity 13

What difference, if any, do you perceive between outbound freight costs on regular sales and outbound freight costs on consignment shipments?

4.5 Financial Statement Presentation of Consignment Sales

Balance Sheet Presentation of Consignment-Out A consignee may advance a portion of the anticipated sales price to the consignor or may remit more than the amount due based on the consignment transactions up to the end of the period. The amount of these advances or excess remittances should be credited to a liability account rather than the Consignment-Out account. Conversely, a receivable from the consignee should be established if the consignee remits less than the amount disclosed by the account sales report.

For example, if XYZ Company reports the sale of 9 units but remits only Br. 4,000, an entry would be made as follows:

Cash.....	4,000
Accounts Receivable-XYZ Co.....	4,000
Consignment Out-XYZ Co.....	2,800
Consignment Sales.....	10,800

The receipt of cash at a later date would be recorded by a debit to Cash and a credit to Accounts Receivable-XYZ Co. The inclusion of these balances in Consignment-Out would be contrary to the purpose of this account, which is to report the inventoriable costs of goods held on consignment. The balance of Consignment-Out and other deferred costs related to consignment sales, if reported in a separate account, should be reported with the inventory of the consignor. The balance in the consignment-out account is reported on the balance sheet as a separate inventory item that is added to the merchandise on hand, as follows:

Inventories:	
Merchandise on hand.....	Br. xxx
Merchandise on consignment.....	<u>840</u> Br. <u>xxx</u>

Income Statement Presentation of Consignment Sales The income statement may take various forms, depending on the degree of detail that is desired in the disclosure of consignment sales. This, of course, should be influenced by the significance of consignment sales to the consignor. Two possible forms are presented in the following illustration. The amounts reported for the non-consignment transactions are assumed; the amounts reported for the consignment sales are based on the preceding illustration.

- Alternative 1

ABC Company Income Statement

	For the Year Ended June, 2002		
	<u>Consignment Sales</u>	<u>Regular Sales</u>	<u>Total</u>
Sales	Br. 10,800	Br. 60,00	Br. 70,800
Cost of Goods Sold	<u>7,560</u>	<u>40,000</u>	<u>47,560</u>
Gross Profit	<u>3,240</u>	<u>20,000</u>	<u>23,240</u>
Operating Expenses			
Selling Expenses	2,240	6,000	8,240
Other Expenses	<u>60</u>	<u>7,000</u>	<u>7,060</u>
Total	<u>2,300</u>	<u>13,000</u>	<u>15,300</u>
Net Income	<u>Br. 940</u>	<u>Br. 7,000</u>	<u>Br. 7,940</u>

• **Alternative 2**

ABC Company Income Statement For the Year Ended June, 2002			
	Sales	Br. 60,000	
	Cost of Goods Sold	<u>40,000</u>	
It	Gross Profit on Regular Sales	20,000	should
be	Gross Profit on Consignment Sales	<u>3,240</u>	
	Total Gross Profit	<u>23,240</u>	
	Selling Expenses	8,240	
	Other Expenses	<u>7,060</u>	
	Total Expenses	<u>15,300</u>	
	Net Income	<u>Br. 7,940</u>	

pointed out that in the first alternative, the net income from the consignment sales is overstated, since none of the administrative costs have been allocated to consignment sales, but are charged totally against regular sales. Although it may be desirable to derive a more accurate measurement of net income on consignment sales, it is neither practical nor feasible to allocate administrative costs because of the arbitrary nature of such allocation and the additional cost that would be incurred in doing so.

4.6 Consignment Reshipments

In the previous example, freight charges, whether incurred by consignor or consignee, were costs of bringing goods to the point of the sale and hence were properly viewed as acquisition costs and assignable to the inventory. When consigned goods are returned to a consignor, expenditures identified with the original shipment of goods as well as with return should be recognized as an expense. The reshipment of goods to a consignee, the, calls for charges that are no more than those which would normally apply to such transfer. Expenditures for the repair of defective units returned should similarly be regarded as an expense, with subsequent transfer of such units to a consignee calling for charges that are no more than normal costs. Shipping charges to customers that are necessary in completing sales, when paid by the consignor or when chargeable to the consignor require recognition as expenses of the period.

Before closing this section, it should be emphasized that there is wide variation in practice in accounting for and reporting on consignment transactions. The procedures illustrated in this unit can be modified to satisfy the particular needs of the consignee and consignor. Any variation adopted, of course, must report assets, liabilities, revenue, and expenses in a way that is supported by sound logic and accounting theory and that satisfies all legal requirements.

☑ Check List

Dear learner, please check your mastery level of concerning accounting for consignment sales by marking a “✓” if you know it well or “X” if you do not know.

Can you:

- | | |
|---|--------------------------|
| 1. Explain the characteristics of consignment sales? | ☐ |
| 2. Explain the accounting treatment of consignment sales by the Consignee | ☐ |
| 3. Explain the accounting treatment of consignment sales by the Consignor | ☐ |
| 4. State how to present consignment sales on the income statement? | ☐ |
| 5. Explain the nature of the consignment-out account? | ☐ |

↻ Summary

Attaining maximum sales by following a strict cash sales policy takes enterprises nowhere. As a means of achieving the objective of maximizing profit by selling more, firms adopt sales on account. However, the risk that comes along with credit sales, particularly when goods are of high value, is too much to bear. Hence, enterprises sell goods on consignment basis.

The term consignment means a transfer of possession of merchandise from the owner to another person who acts as the sales agent of the owner. The basic distinction between a sale and a consignment relates to the passage of title. Title to the merchandise remains with the owner, who is called a consignor; the sales agent who has possession of the merchandise is called consignee.

A consignment arrangement provides for the consignor such advantages as wide markets for a product, control over selling price, recovery of an asset, option to sale or persuade those unwilling to have an outright purchase, avoids the risk inherent in selling on credit to dealers of questionable financial strength and for the consignee it avoids the risk of ownership due to lack of or inability to sale, obsolescence, decline in market value, require less capital investment as there is no payment for receipt or possession of the consigned goods.

The choice of accounting methods by a consignor or consignee depends on whether (1) consignment gross profits are measured separately from gross profits on regular sales or (2) sales on consignment are combined with regular sales without any effort to measure gross profits separately from the two categories of sales.

Self-Assessment Questions (SAQs) No. 4**Part I: Multiple Choice Questions**

Instruction: Choose the correct answer for each of the following questions and write the letter of the correct choice on the space provided.

1. A credit balance may appear in:
 - A. A consignment out ledger account but not a consignment in account.
 - B. A consignment in ledger account but not a consignment out account.
 - C. Both a consignment in ledger account and a consignment out account.
 - D. Neither a consignment in ledger account nor a consignment out account.
2. Freight costs of Br840 were paid by consignee company on April 30, Year 4, on a shipment of merchandise on consignment from Consignor Company. Consignee Company's appropriate journal entry on April 30, Year 4, is:
 - A. Freight in.....840
Cash.....840
 - B. Accounts Receivable-Consignor Company.....840
Cash.....840
 - C. Accounts payable-Consignor Company.....840
Cash.....840
 - D. None of the foregoing
3. In consignment sales, the consignee:
 - A. Records the merchandise as an asset on its books.
 - B. Records a liability for the merchandise held on consignment.
 - C. Recognizes revenue when it ships merchandise to the consignor.
 - D. Prepares an "account report" for the consignor which shows sales, expenses, and cash receipts.
4. Revenue is recognized by the consignor when the
 - A. Goods are shipped to the consignee.
 - B. Consignee receives the goods.
 - C. Consignor receives an advance from the consignee.
 - D. Consignor receives an account sale from the consignee.

Use the following information for questions 5 and 6.

On May 1, 2010, TV Inc. consigned 80 TVs to Ed's TV. The TVs cost Br270. Freight on the shipment paid by Ed's TV was Br600. On July 10, TV Inc. received an account sales and Br12,900 from Ed's TV. Thirty TVs had been sold and the following expenses were deducted:

Freight	Br600
Commission (20% of sales price)	?

- | | |
|-------------|-----|
| Advertising | 390 |
| Delivery | 210 |
5. The total sales price of the TVs sold by Ed's TV was
 - A. Br15,375.
 - B. Br 16,388.
 - C. Br16,125.
 - D. Br 17,625.
 6. The inventory of TVs will be reported on whose balance sheet and at what amount?

<u>Balance Sheet of</u>	<u>Amount of Inventory</u>
A. TV Inc.	Br 13,875
B. TV Inc.	Br 13,500
C. Ed's TV	Br 13,875
D. Ed's TV	Br 13,500
 7. If there are ending inventories in consignment, there will be a need for an adjusting entry to transfer some amount of expense to the *Consignment out* account, if the consignor does *not* determine consignment profits separately.
 - A. True
 - B. False
 8. The Consignments *Out* account is a dual account, which can be either an asset or a liability.
 - A. True
 - B. False
 9. If the consignee determines consignment profits separately, the *Purchases* or *Cost of goods sold* accounts will be debited and the *Sales* account credited upon sales of consigned merchandise.
 - A. True
 - B. False
 10. Which of the following is false regarding consignments:
 - A. The commissions earned should be reported as item of operating income.
 - B. The Consignment In account is essentially a reflection of a bilateral debtor-creditor relationship.
 - C. The consignment In account balance should be reported as a current liability or a current asset item
 - D. None of the above.
 11. The debit balance of the consignee's *Consignment In* ledger account typically is:
 - A. The same as a debit balance in the consignor's Consignment Out ledger account
 - B. Less than a debit balance in the consignor's Consignment Out ledger account
 - C. Less than a credit balance in the consignor's Consignment Out ledger account
 - D. The same as the credit balance in the consignor's Consignment Out ledger account
 12. In the books of the consignor, the *Consignment Out* account is credited for:
 - A. The cost of goods shipped on consignment.
 - B. Expenses related to consignment reported by the consignee.
 - C. Consignee's commission on the consigned goods sold.
 - D. Cost of goods sold on consignment.
 - E. None of the above.

Part II: Workout Items

Exercise 1

Identify each of the following ledger accounts by indicating whether it belongs in the ledger of consignor or consignees; whether it normally has a debit balance or a credit balance; and how the account is classified in the financial statements.

- A. Cost of consignment sales
- B. Consignment out
- C. Consignment sales

D. Consignment in**Exercise 2**

A manufacturer of outboard motors accumulates production costs on job cost sheets. On March 20, lot No. K-37, consisting of 100 identical motors, was completed at a cost of Br14,000. Twenty-five motors were shipped on consignment to a dealer in Dire Dawa, and another 25 were sent to a consignee in Bahir Dar. The remaining 50 motors were in the manufacturer's stockroom on March 31, the end of the fiscal year. Neither consignee submitted an account sale for March. Explain the quantity and valuation of motors in the manufacturer's balance sheet on March 31.

Exercise 3

The ABC Publishing Company ships 4-volume sets of Medical Encyclopedia to book dealers on consignment. The sets are to be sold at an advertised price of Br 99.00. The estimated cost per set is Br 50. Consignees are allowed a commission of 30% of the sales price and are to be reimbursed for freight relating to consigned goods. On December 8, 100 sets were sent to the Mega Book Store on consignment. The consignor estimated that packing charges of Br 170 were related to the books shipped. The shipment cost paid by the consignor was Br 400. The consignee paid br60 for freight on sets received. Sixty sets were sold in December for cash. Remittance of the amount owed to the consignor was made on December 31. Both consignee and consignor take physical inventories and adjust and close their books at year-end.

Instructions

Prepare the journal entries for December on the books of the consignor, assuming that;

- A. Gross profits on consignment sales are determined separately, and
- B. Gross profits on consignment sales are not determined separately.

Exercise 4

Jansen Corporation shipped \$20,000 of merchandise on consignment to Gooch Company. Jansen paid freight costs of \$2,000. Gooch Company paid \$500 for local advertising which is reimbursable from Jansen. By year-end, 60% of the merchandise had been sold for \$21,500. Gooch notified Jansen, retained a 10% commission, and remitted the cash due to Jansen.

Instruction: Prepare Jansen's entry when the cash is received.

Exercise 5

On May 3, 2010, Eisler Company consigned 80 freezers, costing \$500 each, to Remmers Company. The cost of shipping the freezers amounted to \$840 and was paid by Eisler Company. On December 30, 2010, a report was received from the consignee, indicating that 40 freezers had been sold for \$750 each. Remittance was made by the consignee for the amount due, after deducting a commission of 6%, advertising of \$200, and total installation costs of \$320 on the freezers sold.

Instructions

- a. Compute the inventory value of the units unsold in the hands of the consignee.
- b. Compute the profit for the consignor for the units sold.
- c. Compute the amount of cash that will be remitted by the consignee.

CHAPTER FIVE

LEASES

Introduction

Dear learner, this chapter focuses on explaining about the accounting treatment for leases. Leasing is an important driver of the Economy. It is an increasingly popular way to acquire the use of assets. Businesses lease many different assets including office equipment, medical equipment, land, and manufacturing machinery. Without the ability to lease, companies would find it more difficult to acquire the necessary equipment which, in turn, would adversely affect business and economic growth.

A lease is a contractual agreement between a lessor and a lessee. This arrangement gives the lessee the right to use specific property, owned by the lessor, for a specified period of time. In return for the use of the property, the lessee makes rental payments over the lease term to the lessor. Historically, a major challenge for the accounting profession has been to establish accounting standards that prevent companies from using the legal form of a lease to avoid recognizing future payment obligations as a liability. “Off-balance-sheet financing” continues to be a perplexing problem for the accounting profession, and leasing is probably the oldest and most widely used means of keeping debt off the balance sheet.

Dear learner, this chapter provides a discussion on the valid business reasons for entering into a lease agreement and the intricate and interesting accounting implications of leases. We will focus on how leases are accounted for from both the lessor’s and the lessee’s perspectives. We will discuss the issues associated with classifying a lease as a debt-financed purchase of property (capital lease) or as a rental (operating lease). This chapter will discuss in detail and analyze the criteria established by the accounting profession in an attempt to bring more long-term leases onto the balance sheet as well as specific accounting procedures used for leased assets.

The chapter includes in-text questions, activities, checklist, summary and self-assessment questions. You have to do the different exercises for achieving the learning objectives stated below.

Chapter Objective

Upon completion of this chapter, you should be able to:

- Explain the nature of lease transactions.
- Discuss the benefits of leases for the lessee and lessor.
- Describe the lease classification criteria for the lessee and lessor.
- State the accounting treatment for lease transactions for the lessee and the lessor.

5.1 Basics of Leasing

- ⑦ Dear learner, can you explain the potential benefits of leasing to the lessee and lessor parties? Give your response in the space provided below.
-

Did you try? Good! Check your response as you go through the following sections.

5.1.1 Advantages of Leasing

A leasing arrangement is often a sound business practice for both the lessee and the lessor. The growth in leasing indicates that it often has some genuine and primary operational as well as financial advantages to the lessee of leasing over owning (or purchasing) property. These benefits include:

- a. 100% financing at fixed rates.** Leases are often signed without requiring any money down from the lessee. This helps the lessee conserve scarce cash—an especially desirable feature for new and developing companies. In addition, lease payments often remain fixed which protects the lessee against inflation and increases in the cost of money.
- b. Protection against obsolescence.** Leasing equipment reduces risk of obsolescence to the lessee, and in many cases passes the risk of residual value to the lessor. As one treasurer remarked, “Our instinct is to purchase.” But if a new computer is likely to come along in a short time, “then leasing is just a heck of a lot more convenient than purchasing.” Naturally, the lessor also protects itself by requiring the lessee to pay higher rental payments or provide additional payments if the lessee does not maintain the asset.
- c. Flexibility.** Lease agreements may contain less restrictive provisions than other debt agreements. Innovative lessors can tailor a lease agreement to the lessee’s special needs. For instance, the duration of the lease—the **lease term**—may be anything from a short period of time to the entire expected economic life of the asset. The rental payments may be level from year to year, or they may increase or decrease in amount. The payment amount may be predetermined or may vary with sales, the prime interest rate, the Consumer Price Index, or some other factor. In most cases the rent is set to enable the lessor to recover the cost of the asset plus a fair return over the life of the lease.
- d. Less costly financing.** Some companies find leasing cheaper than other forms of financing. For example, start-up companies in depressed industries or companies in low tax brackets may lease to claim tax benefits that they might otherwise lose. Depreciation deductions offer no benefit to companies that have little if any taxable income. Through leasing, the leasing companies or financial institutions use these tax benefits. They can then pass some of these tax benefits back to the user of the asset in the form of lower rental payments.
- e. Tax advantages.** In some cases, companies can “have their cake and eat it too” with tax advantages that leases offer. That is, for financial reporting purposes, companies do not report an asset or a liability for the lease arrangement. For tax purposes, however, companies can capitalize and depreciate the leased asset. As a result, a company takes deductions earlier rather than later and also reduces its taxes.
- f. Off-balance-sheet financing.** For operating leases the lease does not add a liability or asset to the lessee’s balance sheet thereby providing financial reporting benefit. Therefore, it does not affect certain financial ratios, such as ratios using debt, and the rate of return. As a result, these ratios tend to be “better” because the leased asset and liability are omitted from the balance sheet. In particular, omitting the liability from the balance sheet may add to the perceived borrowing capacity of the lessee.

Disadvantages also may be associated with leasing rather than purchasing assets. The two major disadvantages are:

- a. Total costs are frequently higher.**

- b. There are occasional use restrictions on leased assets.

The length of the lease and the fixed nature of the payments can be either an advantage or a disadvantage, depending upon future economic conditions.

5.1.2 Conceptual Nature of a Lease

Standard setters have struggled for a long time with accounting for leases. A lengthy list of standards is testimony to the importance that leasing plays in today's economy. As the standards have changed, new leasing arrangements have emerged in response, thereby necessitating further changes in the standards. The contentious issue is the representational faithfulness of the accounting treatments frequently favored by corporate managements. A fundamental question is whether lease contracts should be reported as long-term assets and liabilities or disclosed only in financial-statement footnotes. For the lessor, the accounting question is whether the asset under contract is in substance sold (and thus removed from the balance sheet). The basic questions center on the issue of ownership.

If an airline company borrows Br846 million on a 10-year note from a bank to purchase a Boeing jet plane, the company should clearly report an asset and related liability at that amount on its balance sheet. Similarly, if the company purchases the Boeing plane for Br846 million directly from Boeing through an installment purchase over 10 years, it should obviously report an asset and related liability (i.e., it should "capitalize" the installment transaction). However, what if the company leases an airplane for 10 years through a noncancelable lease transaction with payments of the same amount as the installment purchase transaction? In that case, opinion differs over how to report this transaction. The various views on capitalization of leases are as follows.

- a. ***Do not capitalize any leased assets.*** This view considers capitalization inappropriate, because Delta does not own the property. Furthermore, a lease is an "executory" contract requiring continuing performance by both parties. Because companies do not currently capitalize other executory contracts (such as purchase commitments and employment contracts), they should not capitalize leases either.
- b. ***Capitalize leases that are similar to installment purchases.*** This view holds that companies should report transactions in accordance with their economic substance. Therefore, if companies capitalize installment purchases, they should also capitalize leases that have similar characteristics. For example, Delta Airlines makes the same payments over a 10-year period for either a lease or an installment purchase. Lessees make rental payments, whereas owners make mortgage payments. Why should the financial statements not report these transactions in the same manner?
- c. ***Capitalize all long-term leases.*** This approach requires only the long-term right to use the property in order to capitalize. This property-rights approach capitalizes all long-term leases.
- d. ***Capitalize firm leases where the penalty for nonperformance is substantial.*** A final approach advocates capitalizing only "firm" (noncancelable) contractual rights and obligations. "Firm" means that it is unlikely to avoid performance under the lease without a severe penalty.

In short, the various viewpoints range from no capitalization to capitalization of all leases. The accounting profession apparently agrees with the capitalization approach when the lease is similar to an installment purchase: It notes that a lessee should capitalize a lease that transfers substantially all of the benefits and risks of property ownership, provided the lease is noncancelable.

Noncancelable means that lessee can cancel the lease contract only upon the outcome of some remote contingency, or that the cancellation provisions and penalties of the contract are so costly to lessee that cancellation probably will not occur.

This viewpoint leads to three basic conclusions: (1) Companies must identify the characteristics that indicate the transfer of substantially all of the benefits and risks of ownership. (2) The same characteristics should apply consistently to the lessee and the lessor. (3) Those leases that do **not** transfer substantially all the benefits and risks of ownership are operating leases. Companies should not capitalize operating leases. Instead, companies should account for them as rental payments and receipts.

Our discussion of leases and the accounting requirements of various lease arrangements will follow the capitalization criteria presented in the next section.

5.2 Accounting by Lessee

In a lease arrangement, the owner-lessor agrees to rent an asset (machinery, equipment, land, or building) to the tenant-lessee for a set number of periods at a fixed rental fee per period. Leases can be broadly classified as either operating leases or capital leases. If the lease agreement transfers a “material ownership interest” from the lessor to the lessee, it is a capital lease. If not, it is an operating lease.

5.2.1. Capitalization Criteria

If a lease agreement fulfills certain conditions that indicate that a transfer of a “material ownership interest” has taken place, the lease requires special accounting treatment. Material ownership interest has been defined as a transfer of most of the risks and rewards of ownership. In order to record a lease as a capital lease, the lease must be noncancelable. Further, it must meet one or more of the following four capitalization criteria for lessee:

1. The lease agreement transfers title (ownership of the property) to the lessee at the end of the lease term.
2. The lease contains a bargain-purchase option (BPO). This allows the lessee to purchase the leased property at a price expected to be lower than fair market value on a date before or at the expiration of the lease.
3. The present value of the minimum lease payments (excluding executory costs) over the life of the lease is equal to or greater than 90% of the fair value of the leased property at the inception of the lease. (This provision does not apply when the beginning of the lease is within the last 25% of the economic life of the leased property.)
4. The lease term is equal to or greater than 75% of the estimated remaining economic life of the leased property. (This provision does not apply, however, when the beginning of the lease is within the last 25% of the economic life of the leased property.)

Fulfillment of any one of the above conditions indicates a material ownership interest and requires “special accounting treatment” that reflects the lessor sold this asset, instead of merely renting it. Thus, each payment is not a “rental” payment, but an installment payment on the purchase price. Legally, this transaction is a rental; in economic substance, however, it is a sale. To ignore the economic substance would make this company’s financial statements incomparable to the

statements of companies that made a “real” sale. Leases that do not meet any of the aforementioned four criteria are classified as operating leases.

Three of the four capitalization criteria that apply to lessees are controversial and can be difficult to apply in practice. We discuss each of the criteria in detail on the following pages.

Transfer of Ownership Test

If the lease transfers ownership of the asset to the lessee, it is a capital lease. This criterion is not controversial and easily implemented in practice.

Bargain-Purchase Option Test

A bargain-purchase option allows the lessee to purchase the leased property for a price that is significantly lower than the property’s expected fair value at the date the option becomes exercisable. At the inception of the lease, the difference between the option price and the expected fair value must be large enough to make exercise of the option reasonably assured.

Economic Life Test (75% Test)

If the lease period equals or exceeds 75 percent of the asset’s economic life, the lessor transfers most of the risks and rewards of ownership to the lessee. Capitalization is therefore appropriate. However, determining the lease term and the economic life of the asset can be troublesome.

The lease term is generally considered to be the fixed, noncancelable term of the lease. However, a bargain-renewal option, if provided in the lease agreement, can extend this period. A bargain-renewal option allows the lessee to renew the lease for a rental that is lower than the expected fair rental at the date the option becomes exercisable. At the inception of the lease, the difference between the renewal rental and the expected fair rental must be great enough to make exercise of the option to renew reasonably assured.

Recovery of Investment Test (90% Test)

If the present value of the minimum lease payments equals or exceeds 90 percent of the fair value of the asset, then a lessee should capitalize the leased asset. Why? If the present value of the minimum lease payments is reasonably close to the fair value of the leased property, the lessee is effectively purchasing the asset. Determining the present value of the minimum lease payments involves three important concepts, namely, minimum lease payments, executory costs, and discount rate.

1. Minimum Lease Payments (MLP). The lessee is obligated to make, or expected to make, **minimum lease payments** in connection with the leased property. These payments include the following.

- a. Minimum rental payments.** Minimum rental payments are those that the lessee must make to lessor under the lease agreement. In some cases, the minimum rental payments may equal the minimum lease payments. However, the minimum lease payments may also include a guaranteed residual value (if any), penalty for failure to renew, or a bargain-purchase option (if any).
- b. Guaranteed residual value (GRV).** The residual value is the estimated fair (market) value of the leased property at the end of the lease term. The lessor may transfer the risk of loss to lessee or to a third party by obtaining a guarantee of the estimated residual value. The **guaranteed residual value** is either (1) the certain or determinable amount that lessee will pay lessor at the end of the lease to purchase the leased property at the end of the lease, or (2) the amount the

lessee or the third party guarantees that the lessor will realize if the leased property is returned. If not guaranteed in full, the **unguaranteed residual value** is the estimated residual value exclusive of any portion guaranteed.

c. **Bargain-purchase option (BPO).** As we indicated earlier (in item 1), an option given to lessee to purchase the leased asset at the end of the lease term at a price that is fixed sufficiently below the expected fair value, so that, at the inception of the lease, purchase is reasonably assured.

d. **Penalty for failure to renew or extend the lease.** The amount the lessee must pay if the agreement specifies that it must extend or renew the lease, and it fails to do so.

The lessee excludes executory costs (defined below) from its computation of the present value of the minimum lease payments.

2. **Executory Costs.** Like most assets, leased tangible assets incur insurance, maintenance, and tax expenses—called executory costs—during their economic life. If the lessor retains responsibility for the payment of these “ownership-type costs,” it should exclude, in computing the present value of the minimum lease payments, a portion of each lease payment that represents executory costs. Executory costs do not represent payment on or reduction of the obligation. Many lease agreements specify that the lessee directly pays executory costs to the appropriate third parties. In these cases, the lessor can use the rental payment without adjustment in the present value computation.

3. **Discount Rate.** The interest rate used to determine both the liability and the initial carrying value of the leased asset by the lessee should be the same rate used by the lessor if it is known, or if it can be determined from the conditions of the contract. This would be the implicit interest rate. It is the discount rate that, when applied to the minimum lease payments and any unguaranteed residual value accruing to the lessor, causes the aggregate present value to equal the fair value of the leased property to the lessor. If this rate is unknown and not determinable, the incremental borrowing rate of the lessee is used. This rate is defined as: “The rate that, at the inception of the lease, the lessee would have incurred to borrow the funds necessary to buy the leased asset on a secured loan with repayment terms similar to the payment schedule called for in the lease.” The lessee uses the incremental borrowing rate to compute the present value of the minimum lease payments (MLP). The leased asset and lease obligation are recorded at this amount unless the fair market value (FMV) is lower. If the FMV is lower, the implicit rate, the rate that will equate the present value of the MLP to the FMV of the asset is used to calculate the present value of the MLP.



Activity 14

Kalub Corporation (the lessee) entered into an equipment lease with Dollo Company (the lessor) on January 1 of Year 1. Use the following information to decide whether this lease qualifies as an operating or capital lease for Kalub, and give an explanation using the four classification criteria.

- The equipment reverts back to the lessor at the end of the lease, and there is no bargain purchase option.
- The lease term is eight years and requires annual payments of Br10,000 at the end of each year.

- c. The fair value of the equipment at lease inception is Br100,000. Assume that the present value of minimum lease payments is Br50,000.
- d. The equipment has an estimated economic life of 20 years and has zero residual value at the end of this time.

5.2.2. Asset and Liability Accounted Differently

In a capital lease transaction, lessee uses the lease as a source of financing. The lessor finances the transaction (provides the investment capital) through the leased asset. The lessee makes rent payments, which actually are installment payments. Therefore, over the life of the property rented, the rental payments to the lessor constitute a payment of principal plus interest.

- **Asset and Liability Recorded.** Under the capital lease method, the lessee treats the lease transaction as if it purchases the leased asset in a financing transaction. That is, the lessee acquires the leased asset and creates an obligation. Therefore, it records a capital lease as an asset and a liability at the lower of (1) the present value of the minimum lease payments (excluding executory costs) or (2) the fair value of the leased asset at the inception of the lease. The rationale for this approach is that companies should not record a leased asset for more than its fair value.
- **Depreciation Period.** One troublesome aspect of accounting for the depreciation of the capitalized leased asset relates to the period of depreciation. If the lease agreement transfers ownership of the asset to lessee (criterion 1) or contains a bargain-purchase option (criterion 2), lessee depreciates the leased asset consistent with its normal depreciation policy for other properties, using the economic life of the asset. On the other hand, if the lease does not transfer ownership or does not contain a bargain-purchase option, then lessee depreciates it over the term of the lease. In this case, the leased asset reverts to lessor after a certain period of time.
- **Effective-Interest Method.** Throughout the term of the lease, lessee uses the effective-interest method to allocate each lease payment between principal and interest. This method produces a periodic interest expense equal to a constant percentage of the carrying value of the lease obligation. When applying the effective-interest method to capital leases, lessee must use the same discount rate that determines the present value of the minimum lease payments.
- **Depreciation Concept.** Although lessee computes the amounts initially capitalized as an asset and recorded as an obligation at the same present value, the depreciation of the leased asset and the discharge of the obligation are independent accounting processes during the term of the lease. It should depreciate the leased asset by applying conventional depreciation methods such as straight-line, sum-of-the-years'-digits, declining-balance, units of production, and so forth.

5.2.3. Capital Lease Method (Lessee)

Capital leases are considered to be more like a purchase of property than a rental. Consequently, accounting for capital leases by lessees requires entries similar to those required for the purchase of an asset with long-term credit terms. The amounts to be recorded as an asset and as a liability are the present values of the future minimum lease payments as previously defined. The discount rates used by lessees to record capital leases are the same as those used to apply the classification criteria previously discussed, that is, the lower of the implicit interest rate (if known) and the incremental borrowing rate. The minimum lease payments consist of the total rental payments, bargain purchase options, and lessee-guaranteed residual values.

Example

Assume that Chillalo Construction Company leases equipment from Universal Leasing Company with the following terms:

- Lease period: 5 years, beginning January 1, 2012. Noncancelable.
- The equipment has a fair market value at the inception of the lease of Br250, 192, an estimated economic life of 5 years, and no expected residual value at end of lease period.
- The lease agreement requires equal rental payments of Br.65,000 at the beginning of each year (annuity-due basis or payable in advance); includes Br5,000 to cover executory costs.
- Chillalo pays all of the executory costs directly to third parties except for the property taxes of Br.5,000 per year, which is included as part of its annual payments to Universal Leasing Company.
- The lease contains no renewal options. The equipment reverts to Universal Leasing Company at the termination of the lease.
- Chillalo's incremental borrowing rate is 11% per year.
- Chillalo depreciates, on a straight-line basis, similar equipment that it owns.
- Universal Leasing Company sets the annual rental to earn a rate of return on its investment of 10% per year; Chillalo knows this fact.

• Classification of Lease

The lease meets the criteria for classification as a capital lease for the following reasons.

1. The lease term of five years, being equal to the equipment's estimated economic life of five years, satisfies the 75 percent test.
2. The present value of the minimum lease payments (Br.250,192 as computed below) exceeds 90 percent of the fair value of the loader (Br.250,192).

• Computations and Journal Entries

In order to compute the amount capitalized as leased assets as the present value of the minimum lease payments (excluding executory costs-property taxes of Br.5,000) Chillalo uses Universal Leasing Company's implicit interest rate of 10 percent instead of its incremental borrowing rate of 11 percent because (1) it is lower and (2) it knows about it. The present value of the minimum lease payments are computed as follows:

$$\begin{aligned}
 \text{Capitalized Amount} &= (\text{Br}65,000 - \text{Br}5,000) \times \text{Present value of Annuity Due} \\
 &\quad \text{@10\% for 5 periods} \\
 &= \text{Br}60,000 \times 4.16986 \\
 &\quad \quad \quad \underline{\underline{= \text{Br}250,192}}
 \end{aligned}$$

Chillalo capitalizes the fair market value of the asset (which is equal to the present value of the minimum lease payments), and treats the lease obligation as an interest bearing note. The journal entry to record the capital lease on the books of Chillalo Company on January 1, 2012, would be:

Leased Equipment	250,192	
Lease Liability		250,192

Note that the entry records the obligation at the net amount of 250,192 (the present value of the future rental payments) rather than at the gross amount of Br300,000 (Br60,000 X 5).

Chillalo records the first lease payment on January 1, 2012, as follows.

Property Tax Expense	5,000	
Lease Liability	60,000	
Cash		65,000

Each lease payment of Br65,000 consists of three elements: (1) a reduction in the lease liability, (2) a financing cost (interest expense), and (3) executory costs (property taxes). The total financing cost (interest expense) over the term of the lease is Br49,808 which is the difference between the present value of the lease payments (Br250,192) and the actual cash disbursed, net of executory costs (Br300,000). Therefore, the annual interest expense, applying the effective-interest method, is a function of the outstanding liability, as shown in the following lease amortization schedule.

Chillalo Construction Company Lease Amortization Schedule (Annuity-Due Basis)					
Date	Annual Lease Payment (A)	Executory Costs (B)	Interest Expense (C)=E*10%	Reduction of Lease Liability (Principal) (D)=A-B-C	Lease Liability (E)=Preceding Balance-D
1/1/12					Br250,192
1/1/12	Br65,000	Br5,000	Br-0-	Br60,000	190,192
1/1/13	65,000	5,000	19,019	40,981	149,211
1/1/14	65,000	5,000	14,921	45,079	104,132
1/1/15	65,000	5,000	10,413	49,587	54,545
1/1/16	65,000	5,000	5,455	54,545	-0-
	Br325,000	Br25,000	Br49,808	Br250,192	

At the end of its fiscal year, December 31, 2012, Chillalo records accrued interest as follows.

Interest Expense	19,019
Interest Payable	19,019

Depreciation of the leased equipment over its five-year lease term, applying Chillalo's normal depreciation policy (straight-line method), results in the following entry on December 31, 2012.

Depreciation Expense-Leased Equipment	50,038
Accumulated Depreciation- Leased Equipment	50,038*
* =Br250,192÷ 5years	

Chillalo records the lease payment of January 1, 2013, as follows.

Property Tax Expense	5,000
Interest Payable	19,019
Lease Liability	40,981
Cash	65,000

Entries through 2016 would follow the same pattern above. Chillalo records its other executory costs (insurance and maintenance) in a manner similar to how it records any other operating costs incurred on assets it owns. Upon expiration of the lease, Chillalo has fully amortized the amount capitalized as leased equipment. It also has fully discharged its lease obligation. If Chillalo does not purchase the equipment, it returns the equipment to Universal Leasing Company. Chillalo then removes the leased equipment and related accumulated depreciation accounts from its books. If Chillalo purchases the equipment at termination of the lease, at a price of Br5,000 and the estimated life of the equipment changes from five to seven years, it makes the following entry.

Equipment (Br250,192 + Br5,000)	255,192
Accumulated Depreciation-Leased Equipment	250,192
Leased Equipment (under capital leases)	250,192
Accumulated Depreciation-Equipment	290,192
Cash	5,000

• **Financial Statement Presentations**

At December 31, 2012, Chillalo separately identifies the assets recorded under capital leases on its balance sheet. Similarly, it separately identifies the related obligations. Chillalo classifies the portion due within one year or the operating cycle, whichever is longer, with current liabilities, and the rest with noncurrent liabilities.

Based on the preceding journal entries and using information contained in the amortization schedule, the December 31, 2012, balance sheet of Chillalo Corporation would include information concerning the leased equipment and related obligation as illustrated here:

Chillalo Corporation Balance Sheet (Partial) December 31, 2012			
Assets		Liabilities	
Land, buildings, and equipment:		Current liabilities:	
Leased equipment	250,192	Interest payable	<u>19,019</u>
Less: Accumulated Depreciation	<u>50,038</u>	Lease liability, Current portion	<u>40,981</u>
Net value	<u>200,154</u>	Noncurrent liabilities:	
		Lease liability, exclusive of 40,981 included in current liabilities	<u>149,211</u>

The income statement would include the depreciation on leased property of Br50,038, interest expense of Br19,019, and executory costs of Br5,000 as expenses for the period. The total expense of Br74,057 exceeds the Br65,000 rental payment made in the first year. As the amount of interest expense declines each period, the total expense will be reduced and, for the last two years, will be less than the Br65,000 payments.

5.2.4. Operating Method (Lessee)

Operating leases are the simplest type of lease arrangement from an accounting viewpoint. The rentals are considered to be revenue to the owner-lessor and expenses to the tenant-lessee. If rentals are received in advance, they should be recorded as unearned rent (a liability) by the lessor and as prepaid rent (an asset) by the lessee. As time goes by, adjusting entries should be made to slowly recognize these items as revenue and expense, respectively. In addition, the lessor should be the one to record the annual depreciation entry since the asset still belongs to him or her.

Under the operating method, rent expense (and the associated liability) accrues day by day to the lessee as it uses the property. The lessee assigns rent to the periods benefiting from the use of the asset and ignores, in the accounting, any commitments to make future payments. The lessee makes appropriate accruals or deferrals if the accounting period ends between cash payment dates.

For example, assume that the capital lease illustrated in the previous section did not qualify as a capital lease. Chillalo therefore accounts for it as an operating lease. The first-year charge to operations is now Br65,000, the amount of the rental payment. Chillalo records this payment on January 1, 2012, as follows.

Rent Expense	65,000	
Cash		65,000

Chillalo does not report the equipment, as well as any long-term liability for future rental payments, on the balance sheet. Chillalo reports rent expense on the income statement. Moreover, Chillalo must disclose all operating leases that have noncancelable lease terms in excess of one year.

5.2.5. Comparison of Capital Lease with Operating Lease

As we indicated, if accounting for the lease as an operating lease, the first-year charge to operations is Br65,000, the amount of the rental payment. Treating the transaction as a capital lease, however, results in a first-year charge of Br74,057: depreciation of Br50,038 (assuming straight-line), interest expense of Br19,019, and executory costs of Br5,000. The table presented below shows that while the total charges to operations are the same over the lease term regardless of whether the lease is accounted for as an operating lease or as a capital lease, under the capital lease treatment the charges are higher in the earlier years and lower in the later years. If an accelerated depreciation method of amortization is used, the difference in the earlier and later years between the expense and the payment would be even larger.

Chillalo Construction Schedule of Charges to Operations Capital Lease Versus Operating Lease						
Year	Capital Lease				Operating Lease Charge	Difference
	Depreciation	Executory costs	Interest	Total Charge		
2012	Br50,038	Br5,000	Br19,019	Br74,057	Br65,000	Br9,057
2013	50,038	5,000	14,921	69,959	65,000	4,959
2014	50,038	5,000	10,413	65,451	65,000	451
2015	50,038	5,000	5,455	60,493	65,000	(4,507)
2016	50,038	5,000	0	55,040	65,000	(9,960)
	Br250,192	Br25,000	Br49,808	Br325,000	Br325,000	Br0

In addition, using the capital lease approach results in an asset and related liability of Br250,192 initially reported on the balance sheet. The lessee would not report any asset or liability under the operating method. Therefore, the following differences occur if using a capital lease instead of an operating lease.

1. An increase in the amount of reported debt (both short-term and long-term).
2. An increase in the amount of total assets (specifically long-lived assets).
3. A lower income early in the life of the lease and, therefore, lower retained earnings.

Thus, many companies believe that capital leases negatively impact their financial position: Their debt to total equity ratio increases, and their rate of return on total assets decreases. As a result, the business community resists capitalizing leases. Whether this resistance is well founded is debatable. From a cash flow point of view, the company is in the same position whether accounting for the lease as an operating or a capital lease. Managers often argue against capitalization for several reasons. First, capitalization can more easily lead to violation of loan covenants. It also can affect the amount of compensation received by owners (for example, a stock compensation plan tied to earnings). Finally, capitalization can lower rates of return and increase debt to equity relationships, making the company less attractive to present and potential investors.

**Activity 15**

Mount Corporation leased equipment from Folio Company. The lease term is 10 years, requires payments of Br25,000 at the end of each year, and contains a bargain purchase option. At the end of the lease Mount has an option to pay Br4,000 (which is much less than the estimated fair value at that time) to purchase the equipment. The equipment has a fair value at the inception of the lease of Br175,000 and an estimated useful life of 20 years. The lease agreement stipulates that the Folio Company receive a rate of return of 8% each year, which is lower than Mount's incremental borrowing rate. Calculate the present value of the minimum lease payments.

5.2.6. Lessee Accounting for Residual Value

Meaning of Residual Value: The residual value is the estimated fair value of the leased asset at the end of the lease term. Frequently, a significant residual value exists at the end of the lease term, especially when the economic life of the leased asset exceeds the lease term. If title does not pass automatically to the lessee (criterion 1) and a bargain-purchase option does not exist (criterion 2), the lessee returns physical custody of the asset to the lessor at the end of the lease term.

Guaranteed versus Unguaranteed: The residual value may be unguaranteed or guaranteed by the lessee. Sometimes the lessee agrees to make up any deficiency below a stated amount that the lessor realizes in residual value at the end of the lease term. In such a case, that stated amount is the guaranteed residual value. The parties to a lease use guaranteed residual value in lease arrangements for two reasons. The first is a business reason: It protects the lessor against any loss in estimated residual value, thereby ensuring the lessor of the desired rate of return on investment. The second reason is an accounting benefit that the minimum lease payments, the basis for capitalization, include the guaranteed residual value but excludes the unguaranteed residual value.

Lease Payments: A guaranteed residual value—by definition—has more assurance of realization than does an unguaranteed residual value. As a result, the lessor may adjust lease payments because of the increased certainty of recovery. After the lessor establishes this rate, it makes no difference from an accounting point of view whether the residual value is guaranteed or unguaranteed. The net investment that the lessor records (once the rate is set) will be the same.

Assume the same data as in the Chillalo/Universal illustrations except that Universal estimates a residual value of Br75,000 at the end of the five-year lease term. In addition, Universal assumes a 10 percent return on investment (ROI), whether the residual value is guaranteed or unguaranteed. Universal would compute the amount of the lease payments as follows.

Chillalo's Computation of Lease Payments (10% ROI)
Guaranteed or Unguaranteed Residual Value
Annuity-Due Basis, Including Residual Value

Fair value of leased asset to lessor	Br250,192
Less: Present value of residual value (Br75,000 x .62092)	<u>46,569</u>
Amount to be recovered by lessor through lease payments	<u>Br203,623</u>
Five periodic lease payments (Br203,623 ÷ 4.16986)	<u>Br48,832</u>

Contrast the foregoing lease payment amount to the lease payments of Br60,000 where no residual value existed. In this example, the payments are less, because the present value of the residual value reduces Universal's total recoverable amount from Br250,192 to Br.203,623.

Whether the estimated residual value is guaranteed or unguaranteed has both economic and accounting consequence to the lessee. We saw the economic consequence—lower lease payments—in the preceding example. The accounting consequence is that the minimum lease payments, the basis for capitalization, include the guaranteed residual value but excludes the unguaranteed residual value.

Guaranteed Residual Value. A guaranteed residual value affects the lessee's computation of minimum lease payments. Therefore, it also affects the amounts capitalized as a leased asset and a lease obligation. In effect, the guaranteed residual value is an additional lease payment that the lessee will pay in property or cash, or both, at the end of the lease term.

Using the rental payments as computed by the lessor the minimum lease payments are Br319,160 ($[\text{Br}48,832 \times 5] + \text{Br}75,000$). The capitalized present value of the minimum lease payments (excluding executory costs) for Chillalo Construction are computed as follows.

Chillalo's Capitalized Amount (10% Rate)	
Annuity-Due Basis, Including Guaranteed Residual Value	
Present value of five annual rental payments ($\text{Br}48,832 \times 4.16986$)	Br203,623
Present value of guaranteed residual value of Br75,000 due five years after date of inception: ($\text{Br}75,000 \times .62092$)	<u>46,569</u>
Lessee's capitalized amount	<u>250,192</u>

Universal prepares a schedule of interest expense and amortization of the Br250,192 lease liability. This schedule is based on a Br75,000 final guaranteed residual value payment at the end of five years.

Chillalo Construction Company					
Lease Amortization Schedule					
Annuity-Due Basis, Guaranteed Residual Value—GRV					
Date	Lease Payment Plus GRV (A)	Executory Costs (B)	Interest Expense (C)=E*10%	Reduction of Lease Liability (Principal) (D)=A-B-C	Lease Liability (E)=Preceding Balance-D
1/1/12					Br250,192
1/1/12	Br53,832	Br5,000	Br-0-	Br48,832	201,360
1/1/13	53,832	5,000	20,136	28,696	172,664
1/1/14	53,832	5,000	17,266	31,566	141,098
1/1/15	53,832	5,000	14,110	34,722	106,376
1/1/16	53,832	5,000	10,638	38,194	68,182
12/31/16	75,000		6,818	68,182	-0-
	Br344,160	Br25,000	Br68,968	Br250,192	

Universal records the leased asset and liability, depreciation, interest, property tax, and lease payments on the basis of a guaranteed residual value. The format of these entries is the same as illustrated earlier, although the amounts are different because of the guaranteed residual value. Universal records the equipment at Br250,192 and depreciates it over five years. To compute depreciation, it subtracts the guaranteed residual value from the cost of the equipment. Assuming that Universal uses the straight-line method, the depreciation expense each year is Br 35,038 $[(Br250,192 - Br75,000) \div 5 \text{ years}]$. At the end of the lease term, before the lessee transfers the asset to Universal, the lease asset and liability accounts have the following balances.

Leased equipment (under capital leases)	Br250,192	Interest payable	Br6,818
Less: Accumulated depreciation- capital leases	<u>175,190</u>	Lease liability	<u>68,182</u>
	<u>75,000</u>		<u>75,000</u>

If, at the end of the lease, the fair value of the residual value is less than Br75,000, Chillalo will have to record a loss. Assume that Chillalo depreciated the leased asset down to its residual value of Br75,000 but that the fair value of the residual value at December 31, 2016, was Br45,000. In this case, Chillalo would have to report a loss of Br30,000. Assuming that it pays cash to make up the residual value deficiency, Chillalo would make the following journal entry.

Loss on Capital Lease	30,000	
Interest Expense (or Interest Payable)	6,818	
Lease Liability	68,182	
Accumulated Depreciation-Capital Leases	175,190	
Leased Equipment (under capital leases)		250,192
Cash		30,000

If the fair value exceeds Br75,000, a gain may be recognized. Universal and Chillalo may apportion gains on guaranteed residual values in whatever ratio the parties initially agree. When there is a guaranteed residual value, the lessee must be careful not to depreciate the total cost of the asset. For example, if Chillalo mistakenly depreciated the total cost of the equipment (Br250,192), a misstatement would occur. That is, the carrying amount of the asset at the end of the lease term would be zero, but Chillalo would show the liability under the capital lease at Br75,000. In that case, if the asset was worth Br75,000, Chillalo would end up reporting a gain of Br75,000 when it transferred the asset back to Universal. As a result, Chillalo would overstate depreciation and would understate net income in 2012–2015; in the last year (2016) net income would be overstated.

Unguaranteed Residual Value. From the lessee's viewpoint, an unguaranteed residual value is the same as no residual value in terms of its effect upon the lessee's method of computing the minimum lease payments and the capitalization of the leased asset and the lease liability. Assume the same facts as those above except that the Br75,000 residual value is unguaranteed instead of guaranteed. The amount of the annual lease payments would be the same—Br. 48,832. Whether the residual value is guaranteed or unguaranteed, Universal will recover the same amount through lease rentals—that is, Br203,623. The minimum lease payments are Br244,160 $(Br48,832 \times 5)$. Chillalo would capitalize the amount shown below.

Chillalo's Capitalized Amount (10% Rate)
Annuity-Due Basis, Including Unguaranteed Residual Value

Present value of five annual rental payments (Br48,832 x 4.16986)	Br203,623
Unguaranteed residual value of Br75,000 (not capitalized by lessee)	<u>-0-</u>
Lessee's capitalized amount	<u>203,623</u>

The following schedule shows Chillalo's interest expense and amortization of the lease liability of Br203, 623, assuming an unguaranteed residual value of Br75,000 at the end of five years.

Chillalo Construction Company Lease Amortization Schedule Annuity-Due Basis, Unguaranteed Residual Value					
Date	Annual Lease Payments (A)	Executory Costs (B)	Interest Expense (C)=E*10%	Reduction of Lease Liability (Principal) (D)=A-B-C	Lease Liability (E)=Preceding Balance-D
1/1/12					Br203,623
1/1/12	Br53,832	Br5,000	Br-0-	Br48,832	154,791
1/1/13	53,832	5,000	15,479	33,353	121,438
1/1/14	53,832	5,000	12,144	36,688	84,750
1/1/15	53,832	5,000	8,475	40,357	44,393
1/1/16	53,832	5,000	4,439	44,393	-0-
	Br269,160	Br25,000	Br40,537	Br203,623	

Universal records the leased asset and liability, depreciation, interest, property tax, and lease payments on the basis of an unguaranteed residual value. The format of these capital lease entries is the same as illustrated earlier. Note that Universal records the leased asset at Br203,623 and depreciates it over five years. Assuming that it uses the straight-line method, the depreciation expense each year is Br40,724.60 (Br203,623 ÷ 5 years). At the end of the lease term, before Chillalo transfers the asset to Universal, the lease asset and liability accounts have the following balances.

Leased equipment (under capital leases)	Br203,623	Lease liability	<u>-0-</u>
Less: Accumulated depreciation- capital leases	<u>203,623</u>		
	<u>-0-</u>		

Assuming that Chillalo has fully depreciated the leased asset and has fully amortized the lease liability, no entry is required at the end of the lease term, except to remove the asset from the books. If Chillalo depreciated the asset down to its unguaranteed residual value, a misstatement would occur. That is, the carrying amount of the leased asset would be Br75,000 at the end of the lease, but the liability under the capital lease would be stated at zero before the transfer of the asset. Thus, Chillalo would end up reporting a loss of Br75,000 when it transferred the asset back to Universal. Chillalo would understate depreciation and would overstate net income in 2012–2015; in the last year (2016), net income would be understated because of the recorded loss.

The journal entries for Chillalo (lessee) involving both a guaranteed and an unguaranteed residual value are shown in comparative form as follows:

Guaranteed Residual Value			Unguaranteed Residual Value		
Capitalization of lease (January 1, 2012):					
Leased equipment	250,192		Leased equipment	203,623	
Lease liability		250,192	Lease liability		203,623
First payment (January 1, 2012):					
Property tax expense	5,000		Property tax expense	5,000	
Lease liability	48,832		Lease liability	48,832	
Cash		53,832	Cash		53,832
Adjusting entry for accrued interest (December 31, 2012):					
Interest expense	20,136		Interest expense	15,479	
Interest payable		20,136	Interest payable		15,479
Entry to record depreciation (December 31, 2012):					
Depreciation expense-leased equipment	35,038.40		Depreciation expense-leased equipment	40,724.60	
Accumulated Depreciation-leased equipment [(250,192-75,000)÷5]		35,038.40	Accumulated Depreciation-leased equipment (203,623÷5]		40,724.60
Second payment (January 1, 2013):					
Property tax expense	5,000		Property tax expense	5,000	
Lease liability	28,696		Lease liability	33,353	
Interest payable	20,136		Interest payable	15,479	
Cash		53,832	Cash		53,832

5.2.7. Lessee Accounting for Bargain-Purchase Option

A bargain-purchase option allows the lessee to purchase the leased property for a future price that is substantially lower than the property's expected future fair value. The price is so favorable at the lease's inception that the future exercise of the option appears to be reasonably assured. If a bargain-purchase option exists, the lessee must increase the present value of the minimum lease payments by the present value of the option price.

For example, assume that Chillalo Construction had an option to buy the leased equipment for Br75,000 at the end of the five-year lease term. At that point, Chillalo and Universal expect the fair value to be Br95,000. The significant difference between the option price and the fair value creates a bargain- purchase option, and the exercise of that option is reasonably assured.

A bargain-purchase option affects the accounting for leases in essentially the same way as a guaranteed residual value. In other words, with a guaranteed residual value, the lessee must pay the residual value at the end of the lease. Similarly, a purchase option that is a bargain will almost certainly be paid by the lessee. Therefore, the computations, amortization schedule, and entries that would be prepared for this Br75,000 bargain-purchase option are identical to those shown for the Br75,000 guaranteed residual value. The only difference between the accounting treatment for a bargain-purchase option and a guaranteed residual value of identical amounts and circumstances is in the computation of the annual depreciation. In the case of a guaranteed residual value, Chillalo

depreciates the asset over the lease term; in the case of a bargain-purchase option, it uses the economic life of the asset.



Activity 16

What is a bargain purchase option and when do the parties to a lease know if it exists?

5.2.8. Lease Issues Related to Real Estate

Lease of Land Only: If land is the only item of property leased, the lessee accounts for the lease as a capital lease only if the lease transfers ownership at the end of the lease, or includes a bargain purchase option. Otherwise, the lessee accounts for the lease as an operating lease. (The criteria dealing with the 75% of the estimated economic life and the 90% of the fair value of the leased property do *not* apply because the asset would have to be depreciated over the lease life. Such a situation would be inappropriate for land.) The lessee does *not* depreciate the asset, Leased Land under Capital Leases, because title to the land is expected to be transferred, and land is not subject to depreciation. The lessor accounts for the lease of land as a sales-type lease if (1) the lease transfers ownership or contains a bargain purchase option, (2) the lease meets both the collectibility and uncertainty criteria, and (3) there is a dealer's profit or loss. If the criteria for a sales-type lease are met with the exception that there is no dealer's profit or loss, then the lease qualifies as a direct financing one. Otherwise, it is an operating lease.

5.3 Accounting by Lessor

Earlier in this chapter, we discussed leasing's advantages to the lessee. The lessor also may find benefits to leasing its property rather than selling it. Advantages of the lease to the lessor include the following:

- a. Interest revenue.** Leasing is a form of financing. Banks, captives, and independent leasing companies find leasing attractive because it provides competitive interest margins.
- b. Increased sales.** By offering potential customers the option of leasing its products, a manufacturer or dealer may significantly increase its sales volume.
- c. Tax incentives.** In many cases, companies that lease cannot use the tax benefit of the asset, but leasing allows them to transfer such tax benefits to another party (the lessor) in return for a lower rental rate on the leased asset.
- d. Ongoing business relationship with lessee.** When property is sold, the purchaser frequently has no more dealings with the seller of the property. In leasing situations, however, the lessor and lessee maintain contact over a period of time, and long-term business relationships often can be established through leasing.
- e. High residual value retained.** In many lease arrangements, title to the leased property never passes to the lessee. The lessor benefits from economic conditions that may result in a significant residual value at the end of the lease term. The lessor may lease the asset to another lessee or sell the property and realize an immediate gain. For example, new car leasing provides auto dealers with a supply of two- to three-year-old used cars, which can then be sold or leased again. Residual values can produce very large profits.

5.3.1 Economics of Leasing

A lessor determines the amount of the rental, basing it on the rate of return—the implicit rate—needed to justify leasing. In establishing the rate of return, lessor considers the credit standing of the lessee, the length of the lease, and the status of the residual value (guaranteed versus unguaranteed). In the Chillalo/Universal Leasing Company example, Universal's implicit rate was 10 percent, the cost of the equipment to Universal was Br250,192 (also fair value), and the estimated residual value was zero. Universal determines the amount of the lease payment as follows.

Fair value of leased equipment	Br250,192
Less: Present value of the residual value	<u>-0-</u>
Amount to be recovered by lessor through lease payments	<u>Br250,192</u>
Five beginning-of-the-year lease payments to yield a 10% return (250,192 ÷ 4.16986*)	<u>Br60,000</u>
*PV of an annuity due of 1 for 5 years at 10%	

If a residual value is involved (whether guaranteed or not), Chillalo would not have to recover as much from the lease payments. Therefore, the lease payments would be less.

5.3.2 Classification of Leases by the Lessor

For accounting purposes, the lessor may classify leases as one of the following:

1. Operating leases.
2. Direct-financing leases.
3. Sales-type leases.

There are two groups of capitalization criteria that will be used by the lessor to classify and account the lease transactions as capital leases. These are:

Group I

1. The lease transfers ownership of the property to the lessee.
2. The lease contains a bargain-purchase option.
3. The lease term is equal to 75 percent or more of the estimated economic life of the leased property.
4. The present value of the minimum lease payments (excluding executory costs) equals or exceeds 90 percent of the fair value of the leased property.

Group II

1. Collectibility of the payments required from the lessee is reasonably predictable.
2. No important uncertainties surround the amount of unreimbursable costs yet to be incurred by the lessor under the lease (lessor's performance is substantially complete or future costs are reasonably predictable).

If at the date of inception, the lessor agrees to a lease that meets one or more of the Group I criteria (1, 2, 3, and 4) and both of the Group II criteria (1 and 2), the lessor shall classify and account for the arrangement as a direct-financing lease or as a sales-type lease. Note that the Group I criteria are identical to the criteria that must be met in order for a lessee to classify a lease as a capital lease.

Why the Group II requirements? The profession wants to ensure that the lessor has really transferred the risks and benefits of ownership. If collectibility of payments is not predictable or if performance by the lessor is incomplete, then the criteria for revenue recognition have not been met. The lessor should therefore account for the lease as an operating lease.

The distinction for the lessor between a direct-financing lease and a sales-type lease is the presence or absence of a manufacturer's or dealer's profit (or loss): A sales-type lease involves a manufacturer's or dealer's profit, and a direct-financing lease does not. The profit (or loss) to the lessor is evidenced by the difference between the fair value of the leased property at the inception of the lease and the lessor's cost or carrying amount (book value). Normally, sales-type leases arise when manufacturers or dealers use leasing as a means of marketing their products. For example, a computer manufacturer will lease its computer equipment (possibly through a captive) to businesses and institutions. Direct financing leases generally result from arrangements with lessors that are primarily engaged in financing operations (e.g., banks). However, a lessor need not be a manufacturer or dealer to recognize a profit (or loss) at the inception of a lease that requires application of sales-type lease accounting.

Lessors classify and account for all leases that do not qualify as direct-financing or sales-type leases as operating leases. As a consequence of the additional Group II criteria for lessors, a lessor may classify a lease as an operating lease but the lessee may classify the same lease as a capital lease. In such an event, both the lessor and lessee will carry the asset on their books, and both will depreciate the capitalized asset.

5.3.3 Direct Financing Method (Lessor)

Direct-financing leases are in substance the financing of an asset purchase by the lessee. In this type of lease, the lessor records a lease receivable instead of a leased asset. The lease receivable is the present value of the minimum lease payments. Remember that "minimum lease payments" include:

- a. Rental payments (excluding executory costs).
- b. Bargain-purchase option (if any).
- c. Guaranteed residual value (if any).
- d. Penalty for failure to renew (if any).

Thus, the lessor records the residual value, whether guaranteed or not. Also, recall that if the lessor pays any executory costs, then it should reduce the rental payment by that amount in computing minimum lease payments.

Example

The following presentation, using the data from the preceding Chillalo Construction Company/Universal Leasing Company example, illustrates the accounting treatment for a direct-financing lease. We repeat here the information relevant to Universal (the lessor) in accounting for this lease transaction.

- The term of the lease is five years beginning January 1, 2012, noncancelable, and requires equal rental payments of Br65,000 at the beginning of each year. Payments include Br5,000 of executory costs (property taxes).
- The equipment has a cost of Br250,192 to Universal, a fair value at the inception of the lease of Br250,192, an estimated economic life of five years, and no residual value.

- Universal incurred no initial direct costs in negotiating and closing the lease transaction.
- The lease contains no renewal options. The equipment reverts to Universal at the termination of the lease.
- Collectibility is reasonably assured and Universal incurs no additional costs (with the exception of the property taxes being collected from Sterling).
- Universal sets the annual lease payments to ensure a rate of return of 10 percent (implicit rate) on its investment as shown below.

Fair value of leased equipment	Br250,192
Less: Present value of the residual value	<u>-0-</u>
Amount to be recovered by lessor through lease payments	<u>Br250,192</u>
Five beginning-of-the-year lease payments to yield a 10% return (250,192 ÷ 4.16986*)	<u>Br60,000</u>
*PV of an annuity due of 1 for 5 years at 10%	

• Classification of Lease

The lease meets the criteria for classification as a direct-financing lease for several reasons: (1) The lease term exceeds 75 percent of the equipment's estimated economic life. (2) The present value of the minimum lease payments exceeds 90 percent of the equipment's fair value. (3) Collectibility of the payments is reasonably assured. And (4) Universal incurs no further costs. It is not a sales-type lease because there is no difference between the fair value (Br250,192) of the equipment and Universal's cost (Br250,192).

• Computations and Journal Entries

The Lease Receivable is the present value of the minimum lease payments (excluding executory costs which are property taxes of Br5,000) computed by Universal as follows.

$$\begin{aligned}
 \text{Lease Receivable} &= (\text{Br}65,000 - \text{Br}5,000) \times \text{Present value of Annuity Due} \\
 &\quad @10\% \text{ for 5 periods} \\
 &= \text{Br}60,000 \times 4.16986 \\
 &\quad = \underline{\underline{\text{Br}250,192}}
 \end{aligned}$$

The journal entry for Universal to record the lease of the asset and the resulting receivable on January 1, 2012 (the inception of the lease), would be as follows.

Lease Receivable	250,192	
Equipment		250,192

Companies often report the lease receivable in the balance sheet as "Net investment in capital leases." Companies classify it either as current or noncurrent, depending on when they recover the net investment.

Universal replaces its investment (the leased equipment, a cost of Br250,192), with a lease receivable. In a manner similar to Chillalo's treatment of interest, Universal applies the effective-interest method and recognizes interest revenue as a function of the lease receivable balance, as shown in the following schedule.

Universal Leasing Company Lease Amortization schedule (Annuity-Due Basis)					
Date	Annual Lease Payment (A)	Executory Costs (B)	Interest Revenue on Lease Receivable (C)=E*10%	Lease Receivable Recovery (D)=A-B-C	Lease Receivable (E)=Preceding Balance-D
1/1/12					Br250,192
1/1/12	Br65,000	Br5,000	Br-0-	Br60.000	190,192
1/1/13	65,000	5,000	19,019	40,981	149,211
1/1/14	65,000	5,000	14,921	45,079	104,132
1/1/15	65,000	5,000	10,413	49,587	54,545
1/1/16	65,000	5,000	5,455	54,545	-0-
	Br325,000	Br25,000	Br49,808	Br250,192	

On January 1, 2012, Universal records receipt of the first year's lease receipts as follows.

Cash	65,000
Lease Receivable	60,000
Property Tax Expense/Property Taxes Payable	5,000

On December 31, 2012, Universal recognizes the interest revenue earned during the first year through the following entry.

Interest Receivable	19,019
Interest Revenue (leases)	19,019

The journal entry to record receipt of the second year's lease payment on January 1, 2013 would be as follows:

Cash	65,000
Lease Receivable	40,981
Interest Receivable	19,019
Property Tax Expense/Property Taxes Payable	5,000

The journal entry to record the recognition of the interest earned on December 31, 2013 would be as follows:

Interest Receivable	14,921
Interest Revenue (leases)	14,921

The journal entries through 2016 follow the same pattern except that Universal records no entry in 2016 (the last year) for earned interest. Because it fully collects the receivable by January 1, 2016, no balance (investment) is outstanding during 2016. Universal recorded no depreciation. If Chillalo buys the equipment for Br5,000 upon expiration of the lease, Universal recognizes disposition of the equipment as follows.

Cash	5,000
Gain on Sale of Leased Equipment	5,000

• Financial Statement Presentation

At December 31, 2012, Universal reports the lease receivable in its balance sheet among current assets or noncurrent assets, or both. It classifies the portion due within one year or the operating cycle, whichever is longer, as a current asset, and the rest with noncurrent assets.

Universal Leasing Company
Balance Sheet (Partial)
December 31, 2012

Assets	
Current assets:	
Interest Receivable.....	Br19,091
Lease Receivable.....	40,981
Noncurrent assets (investments)	
Lease receivable.....	Br149,211

**Activity 17**

Discuss the interest rates used by the lessee and the lessor for determining the present value of a capital lease.

Lessor Accounting for Direct Financing Leases with Residual Value: If leased property is expected to have residual value, the present value of the expected residual value is added to the receivable account. It does not matter whether the residual value is guaranteed or unguaranteed. If guaranteed, it is treated in the accounts exactly like a bargain purchase option. If unguaranteed, the lessor is expected to have an asset equal in value to the residual amount at the end of the lease term. To illustrate the recording of residual values, assume the same facts for the Universal Leasing Company as the example except that the asset has a residual value at the end of the 5-year lease term of Br75,000 (either guaranteed or unguaranteed) rather than a bargain purchase option. Assume the cost of the equipment to the Universal Leasing Company was again the same as its fair value, Br250,192.

Fair value of leased equipment	Br250,192
Less: Present value of residual value (Br75,000 x .62092)	46,569
Amount to be recovered by lessor through lease payments	<u>203,623</u>
Five beginning-of-the-year lease payments to yield a 10% return (Br203,623 ÷ 4.16986)	<u>48,832</u>

- The entry to record this lease on Jan. 1, 2012 would be:

Lease Receivable	250,192
Equipment	250,192
- The entry to record the first payment on Jan. 1, 2012 would be:

Cash	53,832
Lease Receivable	48,832
Property Tax Exp./Pay.....	5,000

The computation of interest revenue would be identical to the interest expense computation for the lessee as shown in the following amortization schedule.

Universal Leasing Company Lease Amortization schedule (Lessor) Annuity-Due Basis, Guaranteed or Unguaranteed Residual Value					
Date	Annual Lease Payment (A)	Executory Costs (B)	Interest Revenue on Lease Receivable (C)=E*10%	Lease Receivable Recovery (D)=A-B-C	Lease Receivable (E)=Preceding Balance-D
1/1/12					Br250,192
1/1/12	Br53,832	Br5,000	Br-0-	Br48,832	201,360
1/1/13	53,832	5,000	20,136	28,696	172,664
1/1/14	53,832	5,000	17,266	31,566	141,098
1/1/15	53,832	5,000	14,110	34,722	106,376
1/1/16	53,832	5,000	10,638	38,194	68,182
	75,000		6,818	68,182	-0-
	Br344,160	Br25,000	Br68,968	Br250,192	

On December 31, 2012, Universal recognizes the interest revenue earned during the first year through the following entry.

Interest Receivable	20,136	
Interest Revenue (leases)		20,136

The entry to record receipt of the second year's lease payment on January 1, 2013 would be as follows:

Cash	53,832	
Lease Receivable		28,696
Interest Receivable		20,136
Property Tax Expense/Property Taxes Payable		5,000

On December 31, 2016, at the end of the lease term, the lessor would make the following entry to record the recovery of the leased asset, assuming the residual value was the same as originally estimated:

Equipment	75,000	
Lease Receivable		68,182
Interest Revenue		6,818

5.3.4 Operating Method (Lessor)

Under the operating method, the lessor records each rental receipt as rental revenue. It depreciates the leased asset in the normal manner, with the depreciation expense of the period matched against the rental revenue. The amount of revenue recognized in each accounting period is a level amount (straight-line basis) regardless of the lease provisions, unless another systematic and rational basis better represents the time pattern in which the lessor derives benefit from the leased asset.

In addition to the depreciation charge, the lessor expenses maintenance costs and the cost of any other services rendered under the provisions of the lease that pertain to the current accounting period. The lessor amortizes over the life of the lease any costs paid to independent third parties, such as appraisal fees, finder's fees, and costs of credit checks, usually on a straight-line basis.

Example

To illustrate the operating method, assume that the direct-financing lease illustrated in the previous section does not qualify as a capital lease. Therefore, Universal accounts for it as an operating lease. It records the cash rental receipt, assuming the Br5,000 was for property tax expense, as follows.

Cash	65,000
Rent Revenue	65,000

Universal records depreciation as follows (assuming a straight-line method, a cost basis of Br250,192, and a five-year life).

Depreciation Expense (leased equipment)	50,038
Accumulated Depreciation—Equipment	50,038

If Universal pays property taxes, insurance, maintenance, and other operating costs during the year, it records them as expenses chargeable against the gross rental revenues.

If Universal owns plant assets that it uses in addition to those leased to others, the company separately classifies the leased equipment and accompanying accumulated depreciation as Equipment Leased to Others or Investment in Leased Property. If significant in amount or in terms of activity, Universal separates the rental revenues and accompanying expenses in the income statement from sales revenue and cost of goods sold.



Activity 18

Lessor rents a building to Lessee for 5 years at an annual rental of Br20,000. Lessor's cost of this building was Br90,000 and the building has a life of 6 years. The applicable interest rate is 10%. There are no uncertainties regarding costs and collections.

- Is this a capital lease or operating lease? Why? Assume the annuity is an annuity due.
- If the rentals were only Br.12,000 per year, would your answer to part (a) be any different?
- If the life of the building was 9 years, the annual rental was Br12,000, and there was a BPO option, how would your answer to part (a) change?

5.3.5 Sales-Type Method

As already indicated, the primary difference between a direct-financing lease and a sales-type lease is the manufacturer's or dealer's gross profit (or loss). In a sales-type lease, the lessor records the sales price of the asset, the cost of goods sold and related inventory reduction, and the lease receivable. The information necessary to record the sales-type lease is as follows.

- Lease receivable (also referred to as net investment). The present value of the minimum lease payments plus the present value of any unguaranteed residual value. The lease receivable therefore includes the present value of the residual value, whether guaranteed or not.
- Sales price of the asset. The present value of the minimum lease payments.
- Cost of goods sold. The cost of the asset to the lessor, less the present value of any unguaranteed residual value.

When recording sales revenue and cost of goods sold, there is a difference in the accounting for guaranteed and unguaranteed residual values. The guaranteed residual value can be considered part of sales revenue because the lessor knows that the entire asset has been sold. But there is less certainty that the unguaranteed residual portion of the asset has been "sold" (i.e., will be realized). Therefore, the lessor recognizes sales and cost of goods sold only for the portion of the asset for

which realization is assured. However, the gross profit amount on the sale of the asset is the same whether a guaranteed or unguaranteed residual value is involved.

Example

To illustrate this type of lease, assume that the lessor for the equipment described Universal Leasing. The fair value of the equipment is equal to its present value (the future lease payments discounted at 10%), or Br250,192. This computation is reversed from what would happen in practice; normally, the fair value is known, and the minimum lease payments are set at an amount that will yield the desired rate of return to the lessor. Assume that the equipment cost Universal Manufacturing Br175,000.

The interest revenue (Br49,808) is the same as that illustrated for a direct financing lease, and it is recognized over the lease term by the same entries. The manufacturer's profit is recognized as revenue immediately in the current period by including the fair value of the asset as a sale and debiting the cost of the equipment carried in Inventory to Cost of Goods Sold. The reimbursement of executory costs is treated in the same way as illustrated for direct financing leases.

The entries to record this information on Universal Manufacturing Company's books at the beginning of the lease term would be as follows:

Lease Receivable	250,192
Cost of Goods Sold	175,000
Sales	250,192
Inventory	175,000
Cash	65,000
Lease Receivable	60,000
Property Tax Exp./Pay.	.5,000

The 2012 income statement would include the sales and cost of goods sold amounts yielding the manufacturer's profit of Br75,192 and interest revenue of Br19,019.

Sales-Type Leases with a Bargain Purchase Option or Guaranteed/Unguaranteed Residual Value: If the lease agreement provides for the lessor to receive a lump-sum payment at the end of the lease term in the form of a bargain purchase option or a guarantee of residual value, the minimum lease payments include these amounts. The receivable is thus increased by the present value of the future payment, and sales are increased by the present value of the additional amount. When a sales-type lease does not contain a bargain purchase option or a guaranteed residual value but the economic life of the leased asset exceeds the lease term, the residual value of the property will remain with the lessor. As indicated earlier, this is called an *unguaranteed residual value*. Because the sales amount reflects the present value of the minimum lease payments, an unguaranteed residual value would not be included in the sales amount. However, the cost of goods sold would be reduced by the present value of the unguaranteed residual value to recognize the fact that the lessor will be receiving back the Br75,000 leased asset (worth a present value of Br46,569) at the end of the lease term. In essence, this Br46,569 residual value is not "sold" but is merely loaned to the lessee for the period of the lease after which it will be returned to the lessor.

The only difference between accounting for an unguaranteed residual value and a guaranteed residual value or bargain purchase option is that rather than increasing sales by the present value of the residual value, the present value of the unguaranteed residual value is deducted from the cost of the leased equipment sold. This reduction occurs because the portion of the leased asset represented

by the unguaranteed residual value will be returned at the end of the lease term and therefore is not “sold” on the lease-signing date. The Br46,569 in inventory represented by the present value of the unguaranteed residual value has not been sold but has been exchanged for a receivable of equal amount. Note that the gross profit on the transaction is the same regardless of whether the residual value is guaranteed or unguaranteed.

Example

To illustrate a sales-type lease with a guaranteed residual value and with an unguaranteed residual value, assume the same facts as in the preceding direct-financing lease situation. The estimated residual value is 75,000 (the present value of which is Br46,569), and the leased equipment has an Br175,000 cost to the dealer, Universal. Assume that the fair value of the residual value is Br45,000 at the end of the lease term.

Fair value of leased equipment	Br250,192
Less: Present value of residual value (Br75,000 x .62092)	46,569
Amount to be recovered by lessor through lease payments	<u>Br203,623</u>
Five beginning-of-the-year lease payments to yield a 10% return (Br203,623 ÷ 4.16986)	<u>Br48,832</u>

Universal Leasing Company Lease Amortization schedule (Lessor) Annuity-Due Basis, Guaranteed Or Unguaranteed Residual Value					
Date	Annual Lease Payment (A)	Executory Costs (B)	Interest Revenue on Lease Receivable (C)=E*10%	Lease Receivable Recovery (D)=A-B-C	Lease Receivable (E)=Preceding Balance-D
1/1/12					Br250,192
1/1/12	Br53,832	Br5,000	Br-0-	Br48,832	201,360
1/1/13	53,832	5,000	20,136	28,696	172,664
1/1/14	53,832	5,000	17,266	31,566	141,098
1/1/15	53,832	5,000	14,110	34,722	106,376
1/1/16	53,832	5,000	10,638	38,194	68,182
	75,000		6,818	68,182	-0-
	Br344,160	Br25,000	Br68,968	Br250,192	

The relevant journal entries for the sales-type lease with guaranteed and unguaranteed residual value are presented in comparative form as follows:

Guaranteed Residual Value			Unguaranteed Residual Value		
<i>To record sales-type lease at inception (January 1, 2012):</i>					
Cost of goods sold	175,000		Cost of goods sold	128,431	
Lease receivable	250,192		Lease receivable	250,192	
Sales revenue		250,192	Sales revenue		203,623
Inventory		175,000	Inventory		175,000
<i>To record receipt of the first lease payment (January 1, 2012):</i>					
Cash	53,832		Cash	53,832	
Lease receivable		48,832	Lease receivable		48,832
Property tax exp./pay.		5,000	Property tax exp. /pay.		5,000

<i>To recognize interest revenue earned during the first year (December 31, 2012):</i>					
Interest receivable	20,136		Interest receivable	20,136	
Interest Revenue		20,136	Interest Revenue		20,136
<i>To record receipt of the second lease payment (January 1, 2013):</i>					
Cash	53,832		Cash	53,832	
Interest receivable		20,136	Interest receivable		20,136
Lease receivable		28,696	Lease receivable		28,696
Property tax exp./pay.		5,000	Property tax exp./pay.		5,000
<i>To recognize interest revenue earned during the second year (December 31, 2013):</i>					
Interest receivable	17,266		Interest receivable	17,266	
Interest Revenue		17,266	Interest Revenue		17,266
<i>To record receipt of residual value at end of lease term (December 31, 2016):</i>					
Inventory	45,000		Inventory	45,000	
Cash	30,000		Loss on capital lease	30,000	
Lease receivable		75,000	Lease receivable		75,000



Activity 19

Diredawa Leasing Company leases a new machine that has a cost and fair value of Br75,000 to Wonchi Corporation on a 3-year noncancelable contract. Wonchi Corporation agrees to assume all risks of normal ownership including such costs as insurance, taxes, and maintenance. The machine has a 3-year useful life and no residual value. The lease was signed on January 1, 2011. Diredawa Leasing Company expects to earn a 9% return on its investment. The annual rentals are payable on each December 31.

- Discuss the nature of the lease arrangement and the accounting method that each party to the lease should apply.
- Prepare an amortization schedule that would be suitable for both the lessor and the lessee and that covers all the years involved.

☒ Check List

Dear learner, please check your mastery level of concerning accounting for leases by marking a “✓” if you know it well or “X” if you do not know.

Can you:

1. Explain the nature of lease transactions? ☐
2. Explain the benefits of leases for the lessee and lessor? ☐
3. Describe the lease classification criteria for the lessee? ☐
4. Describe the lease classification criteria for the lessor? ☐
5. Discuss the accounting treatment for lease transactions for the lessee? ☐
6. Discuss the accounting treatment for lease transactions for the lessor? ☐

↻Summary

A lease is a contractual agreement between a lessor and a lessee that conveys to the lessee the right to use specific property (real or personal), owned by the lessor, for a specified period of time. In return, the lessee periodically pays cash (rent) to the lessor. For the lessee, a lease may involve financing benefits, a risk benefit, a tax benefit, a financial reporting benefit, and a billing benefit. For the lessor, a lease may involve the benefits of indirectly making a sale, and an alternative means of obtaining a profit opportunity.

A lease is a capital lease if it meets one or more of the following criteria: (1) The lease transfers ownership of the property to the lessee. (2) The lease contains a bargain-purchase option. (3) The lease term is equal to 75 percent or more of the estimated economic life of the leased property. (4) The present value of the minimum lease payments (excluding executory costs) equals or exceeds 90 percent of the fair value of the leased property. For a capital lease, the lessee records an asset and a liability at the lower of (1) the present value of the minimum lease payments, or (2) the fair value of the leased asset at the inception of the lease. A lessor may classify leases for accounting purposes as follows: (1) operating leases, (2) direct-financing leases, (3) sales-type leases. The lessor should classify and account for an arrangement as a direct-financing lease or a sales-type lease if, at the date of the lease agreement, the lease meets one or more of the above mentioned criteria for the lessee and *both* of the following criteria, namely, (1) Collectibility of the payments required from the lessee is reasonably predictable; and (2) no important uncertainties surround the amount of unreimbursable costs yet to be incurred by the lessor under the lease. The lessor classifies and accounts for all leases that fail to meet the criteria as operating leases.

A lessee accounts for an operating lease by expensing the periodic lease payments. For a capital lease, the lessee records an asset and a liability equal to the present value, at the beginning of the lease term, of the minimum lease payments during the lease term. The discount rate is the lower of the lessee's incremental borrowing rate or the lessor's implicit rate if known and lower. The lessee depreciates the asset over its economic life if the lease contained a transfer of ownership or a bargain purchase option. Otherwise, the lessee uses the lease life. The lessee computes interest expense using the effective interest rate, and reduces the lease obligation for the difference between the cash paid and the interest expense.

The total charges to operations are the same over the lease term whether accounting for the lease as a capital lease or as an operating lease. Under the capital lease treatment, the charges are higher in the earlier years and lower in the later years. If using an accelerated method of depreciation, the differences between the amounts charged to operations under the two methods would be even larger in the earlier and later years. If using a capital lease instead of an operating lease, the following occurs: (1) an increase in the amount of reported debt (both short-term and long-term), (2) an increase in the amount of total assets (specifically long-lived assets), and (3) lower income early in the life of the lease and, therefore, lower retained earnings.

Lessor accounts for an operating lease by recording the amounts of the periodic lease receipts as revenue. It also reports the asset on its balance sheet and records depreciation on the asset. For a direct financing lease, the lessor records a receivable at the minimum lease payments plus any unguaranteed residual value. The lessor computes interest revenue on a direct financing lease using its implicit interest rate. A sales-type lease recognizes interest revenue like a direct-financing lease. It also recognizes a manufacturer's or dealer's profit. In a sales-type lease, the lessor records at the inception of the lease the sales price of the asset, the cost of goods sold and related inventory reduction, and the lease receivable. Sales-type leases differ from direct-financing leases in terms of

the cost and fair value of the leased asset, which results in gross profit. Lease receivable and interest revenue are the same whether a guaranteed or an unguaranteed residual value is involved. The accounting for guaranteed and for unguaranteed residual values requires recording sales revenue and cost of goods sold differently. The guaranteed residual value can be considered part of sales revenue because the lessor knows that the entire asset has been sold. There is less certainty that the unguaranteed residual portion of the asset has been “sold”; therefore, lessors recognize sales and cost of goods sold only for the portion of the asset for which realization is assured. However, the gross profit amount on the sale of the asset is the same whether a guaranteed or unguaranteed residual value is involved.

Self-Assessment Questions (SAQs) No. 5

Part I: Multiple Choice Questions

1. How exactly does using a higher incremental borrowing rate reduce the likelihood that a lessee will be required to account for a lease as a capital lease?
 - a. A higher incremental borrowing rate increases the incidence of bargain purchase options.
 - b. A higher incremental borrowing rate increases the expected useful life of the leased asset.
 - c. The use of a higher discount rate increases the likelihood that the lease will be canceled.
 - d. The use of a higher discount rate lowers the computed present value of the minimum payments.
2. Which of the following is an advantage of leasing?
 - a. Off-balance-sheet financing
 - b. Less costly financing
 - c. 100% financing at fixed rates
 - d. All of these
3. Which of the following statements characterizes an operating lease?
 - a. The lessee records depreciation and interest.
 - b. The lessee records the lease obligation related to the leased asset.
 - c. The lessor records depreciation and lease revenue.
 - d. The lessor transfers title of the leased property to the lessee for the duration of the lease term.
4. Generally accepted accounting principles require that certain lease agreements be accounted for as purchases. The theoretical basis for this treatment is that a lease of this type
 - a. Effectively conveys all of the benefits and risks incident to the ownership of property.
 - b. Is an example of form over substance.
 - c. Provides the use of the leased asset to the lessee for a limited period of time.
 - d. Must be recorded in accordance with the concept of cause and effect.
5. In a lease that is recorded as an operating lease by the lessee, the equal monthly rental payments should be
 - a. Allocated between interest expense and depreciation expense.
 - b. Allocated between a reduction in the liability for leased assets and interest expense.
 - c. Recorded as a reduction in the liability for leased assets.
 - d. Recorded as rental expense.
6. For a capital lease, the amount recorded initially by the lessee as a liability should
 - a. Exceed the present value at the beginning of the lease term of minimum lease payments during the lease term.

- b. Exceed the total of the minimum lease payments during the lease term.
 - c. Not exceed the fair value of the leased property at the inception of the lease.
 - d. Equal the total of the minimum lease payments during the lease term.
7. The lessee's balance sheet liability for a capital lease would be periodically reduced by the
- a. Minimum lease payment.
 - b. Minimum lease payment plus the amortization of the related asset.
 - c. Minimum lease payment less the amortization of the related asset.
 - d. Minimum lease payment less the portion of the minimum lease payment allocable to interest.
8. Which of the following statements concerning guaranteed residual values is appropriate for the lessee?
- a. The asset and related liability should be increased by the amount of the residual value.
 - b. The asset and related liability should be decreased by the amount of the residual value.
 - c. The asset and related liability should be decreased by the present value of the residual value.
 - d. The asset and related liability should be increased by the present value of the residual value.
9. In computing depreciation of a leased asset, the lessee should subtract
- a. A guaranteed residual value and depreciate over the term of the lease.
 - b. An unguaranteed residual value and depreciate over the term of the lease.
 - c. A guaranteed residual value and depreciate over the life of the asset.
 - d. An unguaranteed residual value and depreciate over the life of the asset.
10. The primary difference between a direct-financing lease and a sales-type lease is the
- a. Manner in which rental receipts are recorded as rental income.
 - b. Amount of the depreciation recorded each year by the lessor.
 - c. Recognition of the manufacturer's or dealer's profit at the inception of the lease.
 - d. Allocation of initial direct costs by the lessor to periods benefited by the lease arrangements.
11. The excess of the fair value of leased property at the inception of the lease over its cost or carrying amount should be classified by the lessor as:
- a. Unearned income from a sales-type lease.
 - b. Unearned income from a direct-financing lease.
 - c. Manufacturer's or dealer's profit from a sales-type lease.
 - d. Manufacturer's or dealer's profit from a direct-financing lease.
12. In a lease that is recorded as a sales-type lease by the lessor, interest revenue:
- a. Should be recognized in full as revenue at the lease's inception.
 - b. Should be recognized over the period of the lease using the straight-line method.
 - c. Should be recognized over the period of the lease using the interest method.
 - d. Does not arise.
13. For a capital lease, the amount recorded initially by the lessee as a liability should normally:
- a. Exceed the total of the minimum lease payments.
 - b. Exceed the present value of the minimum lease payments at the beginning of the lease.
 - c. Equal the total of the minimum lease payments.
 - d. Equal the present value of the minimum lease payments at the beginning of the lease.
14. At the inception of a capital lease, the guaranteed residual value should be:
- a. Included as part of the minimum lease payments at present value.
 - b. Included as part of the minimum lease payments at future value.
 - c. Included as part of the minimum lease payments only to the extent that guaranteed residual value is expected to exceed estimated residual value.

- d. Excluded from minimum lease payments.
- 15. A lessee had a ten-year capital lease requiring equal annual payments. The reduction of the lease liability in year two should equal:
 - a. The current liability shown for the lease at the end of year one.
 - b. The current liability shown for the lease at the end of year two.
 - c. The reduction of the lease obligation in year one.
 - d. One-tenth of the original lease liability.

Part II Workout Questions

Exercise 1

Maris Co. purchased a machine on January 1, 2011, for Br1,000,000 for the express purpose of leasing it. The machine is expected to have a five-year life, *no* salvage value, and be depreciated on a straight-line monthly basis. On April 1, 2011, under a cancelable lease, Maris leased the machine to Dunbar Company for Br300,000 a year for a four-year period ending March 31, 2015. Maris incurred total maintenance and other related costs under the provisions of the lease of Br15,000 relating to the year ended December 31, 2011. Harley paid Br300,000 to Maris on April 1, 2011.

Instructions [Assume the operating method is appropriate for parts (a) and (b).]

- (a) Under the operating method, what should be the income before income taxes derived by Maris Co. from this lease for the year ended December 31, 2011?
- (b) What should be the amount of rent expense incurred by Dunbar from this lease for the year ended December 31, 2011?

Exercise 2

Eubank Company, as lessee, enters into a lease agreement on July 1, 2010, for equipment. The following data are relevant to the lease agreement:

- a. The term of the noncancelable lease is 4 years, with no renewal option. Payments of Br422,689 are due on June 30 of each year.
- b. The fair value of the equipment on July 1, 2010 is Br1,400,000. The equipment has an economic life of 6 years with no salvage value.
- c. Eubank depreciates similar machinery it owns on the sum-of-the-years'-digits basis.
- d. The lessee pays all executory costs.
- e. Eubank's incremental borrowing rate is 10% per year. The lessee is aware that the lessor used an implicit rate of 8% in computing the lease payments (present value factor for 4 periods at 8%, 3.31213; at 10%, 3.16986).

Instructions

- (a) Indicate the type of lease Eubank Company has entered into and what accounting treatment is applicable.
- (b) Prepare the journal entries on Eubank's books that relate to the lease agreement for the following dates: (Round all amounts to the nearest birr. Include a partial amortization schedule.)
 - 1. July 1, 2010.
 - 2. December 31, 2010.
 - 3. June 30, 2011.
 - 4. December 31, 2011.

Exercise 3

Lucas, Inc. enters into a lease agreement as lessor on January 1, 2011, to lease an airplane to National Airlines. The term of the noncancelable lease is eight years and payments are required at the end of each year. The following information relates to this agreement:

- a. National Airlines has the option to purchase the airplane for Br9,000,000 when the lease expires at which time the fair value is expected to be Br15,000,000.
- b. The airplane has a cost of Br38,000,000 to Lucas, an estimated useful life of fourteen years, and a salvage value of zero at the end of that time (due to technological obsolescence).
- c. National Airlines will pay all executory costs related to the leased airplane.
- d. Annual year-end lease payments of Br5,766,425 allow Lucas to earn an 8% return on its investment.
- e. Collectibility of the payments is reasonably predictable, and there are no important uncertainties surrounding the costs yet to be incurred by Lucas.

Instructions

- (a) What type of lease is this? Discuss.
- (b) Prepare a lease amortization schedule for the lessor for the first two years (2011-2012).
- (c) Prepare the journal entries on the books of the lessor to record the lease agreement, to reflect payments received under the lease, and to recognize income, for the years 2011 and 2012.

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Answer Key to Self-Assessment Questions (SAQs)

Self-Assessment Questions (SAQs) No. 1

Part I

- | | | | | |
|------|------|------|------|-------|
| 1. F | 3. T | 5. F | 7. T | 9. F |
| 2. T | 4. F | 6. F | 8. T | 10. T |

Part II

- | | | | | | | | |
|------|------|------|------|-------|------|------|------|
| 1. C | 3. D | 5. B | 7. C | 9. D | 11.D | 13.D | 15.D |
| 2. A | 4. C | 6. B | 8. A | 10. B | 12.B | 14.D | 16.C |

Part III

Exercise 1

⇒ Journal entries on Home Office books:

1	Investment in branch	25,000	
	Cash		25,000
2	Investment in branch	86,000	
	Shipments to branch		60,000
	Allowance for overvaluation of branch inventory		26,000
3	Investment in branch	4,800	
	Accumulated depreciation		4,000
	Prepaid expenses		800
4	Cash	60,000	
	Investment in branch		60,000

⇒ Journal entries on Branch books:

1	Cash	25,000	
	Home office		25,000
2	Shipments from home office	86,000	
	Freight-in	1,500	
	Home office		86,000
	Cash		1,500
3	Operating expenses	4,800	
	Home office		4,800
4	Home office	60,000	
	Cash		60,000

Exercise 2

B. Perpetual Inventory System

Books of Home Office		Books of Meskel Branch	
Investment in Meskel Branch	154,000	Inventories	154,000
Inventories	110,000	Home Office	154,000
Allowance for overvaluation of Inventories:			
Meskel Branch	44,000	Cash	80,000

Income: Meskel Branch	8040	Cost of goods sold	70,000
Investment in Meskel Branch	8040	Sales	80,000
		Inventories	70,000
Allowance for Overvaluation of Inventories: Meskel Branch	20440	Operating Expenses	16,500
Realized Gross Profit: Meskel Branch Sales	20440	Cash	16,500
		Cost of Goods Sold	1,540
Realized Gross Profit: Meskel Branch Sales	20440	Inventories	1,540
Income Summary	12400	Sales	80,000
Income: Meskel Branch	8040	Income summary	8040
		Cost of Goods Sold	71,540
		Operating Expenses	16,500
		Home Office	8040
		Income Summary	8040

C. Periodic Inventory System

Books of Home Office	Books of Meskel Branch
Investment in Meskel Branch 154,000	Shipments from Home Office 154,000
Shipments to Branch 110,000	Home Office 154,000
Allowance for overvaluation of Inventories: Meskel Branch 44,000	Cash 80,000
Income: Meskel Branch 8040	Sales 80,000
Investment in Meskel Branch 8040	Operating Expenses 16,500
	Cash 16,500
Allowance for Overvaluation of Inventories: Meskel Branch 20440	Cost of Goods Sold 1,540
Realized Gross Profit: Meskel Branch Sales 20440	Inventories 1,540
Realized Gross Profit: Meskel Branch Sales 20440	Sales 80,000
Income Summary 12400	Inventories 82460
Income: Meskel Branch 8040	Income summary 8040
	Shipments from Home Office 154,000
	Operating Expenses 16,500
	Home Office 8040
	Income Summary 8040

Exercise 3

USA Corporation
Remeasurement of French Branch Trial Balance to U.S. Dollars
June 30, 2005

	Balance (Euros) Dr (Cr)	Exchange Rates	Balance (U.S. dollars) Dr (Cr)
Cash	€ 15,000	\$1.04	\$ 15,600
Trade accounts receivable	250,000	1.04	260,000
Inventories	115,000	1.05	120,750
Home office	(360,000)		(365,000)
Sales	(450,000)	1.045	(470,250)
Cost of goods sold	340,000	1.05	357,000
Operating expenses	90,000	1.045	94,050
Subtotals	€ -0-		\$ 12,150
Foreign currency transaction	-0-		(12,150)
Totals	€ -0-		\$ -0-

Self-Assessment Questions (SAQs) No. 2**Part I**

- | | | | | | |
|------|------|------|------|-------|-------|
| 1. B | 3. B | 5. A | 7. C | 9. E | 11. A |
| 2. D | 4. B | 6. C | 8. A | 10. C | |

Part II

	A	B
Current assets	Br. 22,000,000	Br. 23,800,000
Long term assets	75,000,000	87,000,000
Investment in ROC	5,400,000	
Total assets	<u>Br.102,400,000</u>	<u>Br.110,800,000</u>
Liabilities	Br. 10,000,000	Br. 18,400,000
Contributed capital	50,000,000	50,000,000
Retained earnings	<u>42,400,000</u>	<u>42,400,000</u>
Total liabilities and Stockholders' Equity	<u>Br.102,400,000</u>	<u>Br.110,800,000</u>

Self-Assessment Questions (SAQs) No. 3**Part I: Multiple Choice Questions**

- | | | | | | | |
|------|------|-------|-------|------|------|------|
| 1. A | 2. A | 3. B | 4. C | 5. C | 6. B | 7. B |
| 8. D | 9. D | 10. B | 11. D | 12.D | 13.A | 14.B |
| 15.D | 16.D | 17.A | 18.A | | | |

Part II: Workout Items**Exercise 1**

- A. To set up the total realizable gross profit at the end of the year,
- | | | |
|---------------------------------|---------|---------|
| Installment accounts receivable | 600,000 | |
| Installment sales | | 600,000 |
| Cost of installment sales | 405,000 | |
| Inventories | | 405,000 |

Installment sales	600,000	
Cost of installment sales		405,000
Deferred Gross Profit		195,000
B. To record the cash collections		
Cash	360,000	
Installment accounts receivable		360,000
C. To record the realized gross profit		
Deferred Gross Profit (0.325X360000)	117,000	
Realized Gross Profit		117,000
D. To record the reposessions		
Inventory-reposessed	24,000	
Loss on repossession	3,000	
Deferred Gross Profit	13,000	
Installment accounts receivable		40,000

Exercise 2

	<u>2007</u>	<u>2008</u>
Installment method sales	\$120,000	(C) \$90,000 ^c
Installment method cost of goods sold	(A) 96,000 ^b	63,000
Gross profit percentage	(B) 20% ^a	30%
Cash receipts on installment method sales		
2007 sales	25,000	(D) 35,000 ^c
2008 sales		(E) 30,000 ^d
Realized gross profit on installment method sales		
2007 sales	5,000	7,000
2008 sales		9,000

^a\$5,000 ÷ \$25,000 = 0.20

^b\$120,000 x (1 - 0.20)

^c\$7,000 ÷ 0.20

^d\$9,000 ÷ 0.30

^e\$63,000 ÷ (1 - 0.30)

Exercise 3

1. Accounts Receivable	205,000	
Sales		205,000
Cost of Goods Sold	130,000	
Inventory		130,000
Cash	120,000	
Accounts Receivable		120,000
Sales	65,000	
Cost of Goods Sold		39,000
Deferred Gross Profit, 2007		26,000
Deferred Gross Profit, 2007	8,000 ^a	
Gross Profit Realized on Installment Sales		8,000
^a \$26,000 ÷ \$65,000 = 40%; 40% x \$20,000 = \$8,000		
Gross Profit Realized on Installment		
Method Sales	8,000	
Income Summary		8,000

2.	Cash	45,000	
	Accounts Receivable		45,000
	Deferred Gross Profit, 2007	18,000 ^b	
	Gross Profit Realized on Installment Sales		18,000
	^b 45% x \$40,000		
	Gross Profit Realized on Installment Sales	18,000	
	Income Summary		18,000

Self-Assessment Questions (SAQs) No. 4

Part I: Multiple Choice Questions

1. B	2.	3. D	4. D	5. D	6. A
7. A	8.B	9.B	10. D	11.B	12.D

Part II: Workout Items

Exercise 1

- A. Consignor, debit, expense
- B. Consignor, debit, asset(inventory)
- C. Consignor, credit, revenue
- D. Consignee, debit or credit, asset if debit balance & liability if credit balance

Exercise 2

100 units at Br14,000.

Exercise 3

A. Gross profits determined separately		B. Gross profits not determined separately	
Dec. 8 Shipment of 100 Encyclopedia sets on consignment; cost to consignor, Br.50 each			
Consignment Out	5000	Consignment Out	5000
Inventory	5000	Inventory	5000
Dec. 8 Packing charges of consignor identified with the consignment amount to Br.170.			
Consignment Out	170	No Entry	
Packing expenses	170		
Dec. 8 Freight costs paid by consignor, Br.400.			
Consignment Out	400	Freight Out Expense	400
Cash	400	Cash	400
Dec. 31. Received account sales: 60 units sold at Br. 5940, Commission of 30% and freight cost of Br.60 was deducted and the balance remitted.			
Cash	4098	Cash	4098
Commission Expense-		Commission Expense	1782
Consignment Sales	1782	Freight Out Expense	60
Consignment Out	60	Sales	5940
Consignment Sales	5940		
Dec. 31 Adjustment for cost of sales			
Cost of Consignment Sales	3378	Cost of Consignment Sales	3000
Consignment Out	3378	Consignment Out	3000
Dec. 31 Adjustment for direct costs related to unsold merchandise held by consignee			
No entry		Consignment out	252
		Freight out expense	184
		Packing expenses	68

Exercise 4

Cash [$\$21,500 - \$500 - (\$21,500 \times 10\%)$]	18,850
Advertising Expense	500
Commission Expense	2,150
Revenue from Consignment Sales	21,500
Cost of Goods Sold	13,200
Inventory on Consignment	13,200

Exercise 5

(a) Inventoriable costs:

80 units shipped at cost of \$500 each	\$40,000
Freight	840
Total inventoriable cost	<u>\$40,840</u>
40 units on hand ($40/80 \times \$40,840$)	<u>\$20,420</u>

(b) Computation of consignment profit:

Consignment sales ($40 \times \$750$)	\$30,000
Cost of units sold ($40/80 \times \$40,840$)	(20,420)
Commission charged by consignee ($6\% \times \$30,000$)	(1,800)
Advertising cost	(200)
Installation costs	(320)
Profit on consignment sales	<u>\$ 7,260</u>

(c) Remittance of consignee:

Consignment sales	\$30,000
Less: Commissions	\$1,800
Advertising	200
Installation	320
	<u>2,320</u>
Remittance from consignee	<u>\$27,680</u>

Self-Assessment Questions (SAQs) No. 5

Part I: Multiple Choice Questions

1. D	4.A	7.D	10.C	13.D
2.D	5.D	8.D	11. C	14.A
3. C	6. C	9.A	12. C	15.A

Part II: Workout Questions

Exercise 1

(a) Revenue 4/1/11—12/31/11 ($\text{Br}300,000 \times 9/12$)		Br225,000
Expenses:		
Depreciation ($\text{Br}200,000 \times 9/12$)	Br150,000	
Maintenance, etc.	<u>15,000</u>	<u>165,000</u>
Income before taxes		<u>Br 60,000</u>

(b) Rent expense, 4/1/11—12/31/11 ($\text{Br}300,000 \times 9/12$) = Br225,000.

Exercise 2

(a) Capitalized amount:

$\text{Br}422,689 \times \text{PV of an ordinary annuity for 4 periods at 8\%}$

$\text{Br}422,689 \times 3.31213 = \text{Br}1,400,000$

Because the present value of the lease payments (Br1,400,000) equals the fair value, Br1,400,000, of the leased property, it is a capital lease and must be accounted for under the capital lease method.

(b) 1.	July 1, 2010		
	Leased Equipment Under Capital Leases.....	1,400,000	
	Lease Liability.....		1,400,000
2.	December 31, 2010		
	Depreciation Expense.....	280,000	
	Accumulated Depreciation—Capital Leases		
	[(Br1,400,000 $\times$ 4/10) $\times$ 6/12].....		280,000
	Interest Expense (Br12,000 $\times$ 6/12).....	56,000	
	Interest Payable.....		56,000

Lease Amortization Schedule

<u>Date</u>	<u>Annual Lease Payment</u>	<u>Interest on Unpaid Obligation</u>	<u>Reduction of Lease Obligation</u>	<u>Balance of Lease Obligation</u>
7/1/10				Br1,400,000
6/30/11	Br422,689	Br112,000	Br310,689	1,089,311
6/30/12	422,689	87,145	335,544	753,767

3.	June 30, 2011		
	Interest Expense.....	112,000	
	Lease Liability.....	310,689	
	Cash.....		422,689
	(Interest payable entry assumed to have been reversed 1/1/11)		
4.	December 31, 2011		
	Depreciation Expense.....	490,000	
	Accumulated Depreciation—Capital Leases.....		490,000
	[(Br1,400,000 $\times$ 4/10) $\times$ 6/12 plus		
	(Br1,400,000 $\times$ 3/10) $\times$ 6/12]		
	Interest Expense (Br87,145 $\times$ 6/12).....	43,573	
	Interest Payable.....		43,573

Exercise 3

a) The lease is a direct-financing type lease from the lessor's point of view or a capital lease from the lessee's point of view. The lease contains a bargain purchase option which satisfies one of the criteria for classification as a direct-financing lease. The option to buy for Br.9,000,000 at the termination of the lease when the asset is expected to have a fair value of Br.15,000,000 constitutes a bargain purchase option. Additionally, the payments are collectible, and there are no uncertainties as to future lessor costs.

b)

Lessor's Lease Amortization Schedule

<u>Date</u>	<u>Annual Lease Rental</u>	<u>Interest on Lease Receivable</u>	<u>Lease Receivable Recovery</u>	<u>Lease Receivable</u>
1/1/11				Br38,000,000
12/31/11	Br5,766,425*	Br3,040,000	Br2,726,425	35,273,575
12/31/12	5,766,425	2,821,886	2,944,539	32,329,036

*[Br38,000,000 – (Br9,000,000 × .54027)] ÷ 5.74664 = Br5,766,425.

January 1, 2011

(c)	Lease Receivable.....	38,000,000	
	Airplanes.....		38,000,000
			December 31, 2011
	Cash.....	5,766,425	
	Lease Receivable.....		2,726,425
	Interest Revenue.....		3,040,000
			December 31, 2012
	Cash.....	5,766,425	
	Lease Receivable.....		2,944,539
	Interest Revenue.....		2,821,886

**Answer Key for Activities****Activity 1**

The transactions to be accounted for by the branch generally should include only controllable expenses for which the branch manager is responsible. For example, depreciation of plant assets usually follows policies set by the home office and is not subject to control by the branch manager. This situation suggests that both the branch plant assets records and the related depreciation records should be maintained by the home office.

Activity 2

A home office's Allowance for Overvaluation of Inventories: Branch ledger account is used to reduce to cost the component of the balance of the Investment in Branch ledger account represented by shipments of merchandise to the branch at a markup over home office cost. When such a shipment is made, the allowance account is credited for the excess of billed price over home office cost of the shipment. At the end of an accounting period, the home office prepares a journal entry debiting the allowance account and crediting Realized Gross Profit: Branch Sales for the amount of the markup realized by the branch through sales of merchandise to outsiders. Thus, the end-of-period adjusted balance of the allowance account represents unrealized markup in the branch's ending inventories acquired from the home office.

Activity 3

To record the acquisition of equipment to be carried in the home office, Adwa Branch debits Home Office and credits Cash for Br.17,000. The home office debits Equipment: Adwa Branch and credits Investment in Adwa Branch for Br.17,000.

Activity 4

The separate financial statements prepared by individual branches and by the home office indicate the operating results and financial position of each unit of Abyssinia Corporation. The statements are used to evaluate the performance of branch managers and suggest the most appropriate areas for expansion or closure of branches. The combined financial statements serve the needs of managers in the analysis of operating results and financial position of the enterprise as a whole. Combined financial statements also are more appropriate for use by outsiders such as stockholders and creditors.

Activity 5

Mega Branch of Great Company should debit the Home Office ledger account and credit the Inventories account. Alpha Branch should not absorb more freight costs than if the goods had been shipped directly from the home office. Normal freight costs of shipping merchandise to branches are added to the carrying amount of inventories, but excess freight costs are losses from poor planning and are recognized as expenses of the home office.

Activity 6

The Ethiopian enterprise would have to exchange ETB627, 000 ($\$50,000 \times \text{ETB } 12.54$ selling spot rate = ETB627, 000) for a \$50,000 draft to settle the trade account payable to the US supplier.

Activity 7

The position of the Financial Accounting Standards Board on the recording of foreign currency transaction gains and losses is that they should be recognized when the exchange rate changes, in order to record the gains or losses in the period of the event—the exchange rate change—rather than on the date the account balance is settled.

Activity 8

A joint venture differs from a partnership in that it is a temporary association of individuals or business enterprises that combine resources for the purpose of carrying out a specific project, such as exploration for petroleum in a foreign country. A joint venture has many of the characteristics of a partnership, but it terminates on the completion of the specific project for which it was formed. The life of a joint venture is more likely to be measured in months than in years.

Activity 9

Under the equity method of accounting for an investment in an unincorporated joint venture, each investor records its share of the venture's net income or losses in the investment ledger account and reduces the balance of the investment account by the amount of cash or other assets received from the venture. In the investor's balance sheet the investment in the joint venture is displayed as one amount, and in the investor's income statement the investor's share of net income or net loss of the venture is displayed as a single amount. In contrast, under the proportionate share method of accounting for an investment in an unincorporated joint venture, each investor recognizes in its accounting records its share of each asset, liability, revenue, gain, expense, and loss of the venture. Thus the assets, liabilities, revenue, and expenses of the investor in its financial statements include the investor's share of the related items of the joint venture.

Activity 10

A common practice for many years was to classify the deferred gross profit in the liabilities section of the balance sheet. Nevertheless, the classification of the deferred gross profit as an asset valuation account is theoretically preferable and was recommended by the Financial Accounting Standards Board (FASB).

Activity 11

The rate of gross profit on the original sale is 35% (1505/4300).

Activity 12

In a consignment, the consignor retains title to the property. The consignor recognizes revenue when the sale to the third party occurs. The consignee recognizes commission revenue when it is earned.

Activity 13

Outbound freight costs on regular sales are accounted as a periodic expense but outbound freight costs on consignment shipments is accounted as inventoriable cost.

Activity 14

Classification Criteria	Criteria Met?	Remarks
1. Transfer of ownership at end of lease	No	
1. Bargain purchase option	No	
2. Lease term is 75% or more of economic life	No	It is 40% (8 ÷ 20 years)
4. Present value of minimum lease payments is 90% or more of fair value	No	It is 50% (Br50,000 ÷ Br100,000)
Therefore, this lease is an operating lease. It does not meet any of the criteria.		

Activity 15

PV of lease payments = Br25,000 x 6.710081 = Br167,752

PV of single sum of Br4,000 = Br4,000 x 0.463193 = 1,853

Present value of minimum lease payments Br169,605

Activity 16

A bargain purchase option gives the lessee the right to purchase leased property at a bargain price at some future date. If the specified price is sufficiently lower than the expected fair value at the date the option may be exercised, so that exercise of the option is reasonably assured, a bargain purchased option is said to exist. To determine if a bargain purchase option exists, the lessor and lessee must be able to reasonably predict what the market value of the leased asset will be on the option date.

Activity 17

Since the minimum lease payments required under a capital lease are to be made in the future, the present value of these payments must be used to account for capital leases. The incremental borrowing rate is the rate the lessee would have to pay to borrow the funds to purchase the leased assets if a purchase occurred instead of a lease. The implicit interest rate is the rate the lessor used to determine the lease payments. That is, it is the rate that will discount the lease payments and the residual value to the fair market value of the leased asset. The lessor uses the implicit interest rate to determine the present value of the minimum lease payments. The lessee uses the incremental borrowing rate or the implicit rate, whichever is lower.

Activity 18

- This is a capital lease because the present value of the annuity of Br20,000 is Br83,397 (Br4.169865 × 20,000), which is greater than 90% of the Br90,000 cost.
- It would still be a capital lease because the lease life of 5 years is at least 75% of the building life of 6 years.
- Even though the lease life is now less than 75% of the building life, the lease is still a capital lease because of the BPO.

Activity 19

- Because the lease term is longer than 75% of the economic life of the asset and the present value of the minimum lease payments is more than 90% of the fair value of the asset, it is a capital

lease to the lessee. Assuming collectibility of the rents is reasonably assured and no important uncertainties surround the amount of unreimbursable costs yet to be incurred by the lessor, the lease is a direct financing lease to the lessor.

The lessee should adopt the capital lease method and record the leased asset and lease liability at the present value of the minimum lease payments using the lessee's incremental borrowing rate or the interest rate implicit in the lease if it is lower than the incremental rate and is known to the lessee. The lessee's depreciation depends on whether ownership transfers to the lessee or if there is a bargain purchase option. If one of these conditions is fulfilled, amortization would be over the economic life of the asset. Otherwise, it would be depreciated over the lease term. Because both the economic life of the asset and the lease term are three years, the leased asset should be depreciated over this period.

The lessor should adopt the direct financing lease method and replace the asset cost of Br75,000 with Lease Receivable of Br75,000. (See schedule below.) Interest would be recognized annually at a constant rate relative to the unrecovered net investment.

Cost (fair market value of leased asset)..... Br75,000

Amount to be recovered by lessor through lease payments.....Br75,000

Three annual lease payments: $\text{Br75,000} \div 2.53130^*$ Br29,629

*Present value of an ordinary annuity of 1 for 3 periods at 9%.

b. Schedule of Interest and Amortization

Date	Rent Receipt/ Payment	Interest Revenue/ Expense	Reduction of Principal	Receivable/ Liability
1/1/11				Br75,000
12/31/11	29,629	6,750*	22,879	52,121
12/31/12	29,629	4,691	24,938	27,183
12/31/13	29,629	2,446	27,183	0
*Br75,000 X .09 = Br6,750				

Glossary

Account sales is a report rendered by the consignee that includes the quantity of merchandise received and sold, expenditures made, advance made, and amounts owed and remitted.

Bailment is a contract for the delivery or transfer of possession of money or personal property for a particular purpose, such as for safekeeping, repairs, or sales.

Branch is a unit of a business enterprise, located at some distance from the home office, that carries merchandise obtained from the home office, makes sales, approves customers' credit, and makes collections from its customers.

Bargain purchase option. A provision allowing the lessee to purchase the leased property at the end of the life of the lease at a price so favorable that the exercise of the option appears, at the inception of the lease, to be reasonably assured.

Bargain renewal option. A provision allowing the lessee to renew the lease for a rental that is so favorable that the exercise of the option by the lessee appears, at the inception of the lease, to be reasonably assured.

Consignee is a person or a firm that keeps goods transported on a consignment basis and makes sales to customers.

Consignment in are goods received by the consignee from the consignor.

Consignment is transfer of goods by their owner to another party who is to act as sales agent, with legal title to the goods retained by the owner until their sale.

Consignment out is shipment of merchandise to the consignee by a consignor on a consignment basis.

Consignor is a person or a firm that transfers goods to another person or firm so that they are sold to customers through the other person or firm.

Discontinued operations is operations of a component (operating segment) that has been sold, abandoned, spun off, or otherwise disposed of, or, although still operating, is the subject of a formal plan for disposal by a business enterprise

Estimated economic life of leased property. Regardless of the lease term, the estimated remaining period during which the property is expected to be usable for the purpose that was intended at the inception of the lease, with normal repairs and maintenance.

Estimated residual value of leased property. The estimated fair value of the leased property at the end of the lease term. (Note that this value is a different concept from the estimated residual value at the end of the *economic* life of the property.)

Executory costs. Ownership-type costs, such as insurance, maintenance, and property taxes. These costs may be paid either by the lessor or the lessee. Normally, it is expected that the cost should be borne by the party to the contract who controls the asset essentially in the manner of an owner.

Fair value of leased property. The price that would be received to sell the property in an orderly transaction between market participants that are independent of the lessor. If the lessor is a manufacturer or dealer, the fair value of the property at the inception of the lease is normally the selling price. If the lessor is not a manufacturer or dealer, the fair value is *usually* the cost of the asset to the lessor.

Guaranteed residual value. The portion of the estimated residual value of the leased property that is guaranteed by the lessee or by a third party unrelated to the lessor.

Home office is the principal business unit of an enterprise that has branches or divisions.

Inception of the lease. The date of the lease agreement; or, if the leased property is being constructed, the date that title passes to the lessor.

Initial direct costs. Costs incurred by the lessor to originate a lease that (1) result directly from acquiring that lease, and (2) would not have been incurred had that leasing transaction not occurred. These costs also include costs directly related to specified activities performed by the lessor for that lease, such as evaluating the lessee's financial condition, negotiating lease terms, preparing and processing lease documents, and closing the transaction.

Interest rate implicit in the lease. The interest (discount) rate that, when applied on a present value basis to the sum of the minimum lease payments and any unguaranteed residual value accruing to the lessor, causes the resulting total present value to be equal to the fair value of the leased property to the lessor.

Joint venture is a partnership of limited duration and with limited projects or other activities

Jointly controlled entity The International Accounting Standards Board term for joint venture

Lease receivable. The sum of the undiscounted (1) *minimum lease payments* plus (2) any unguaranteed residual value accruing to the benefit of the lessor at the end of the lease. Sometimes called *gross investment in the lease*.

Lease term. The fixed, noncancelable term of the lease plus (1) any periods covered by bargain renewal options, (2) any periods for which failure to renew the lease imposes a significant penalty on the lessee, (3) any periods covered by ordinary renewal options preceding the exercise date of a bargain purchase option, and (4) any periods during which the lessor has the option to renew or to extend the lease. The lease term, however, in no case extends beyond the date a bargain purchase option becomes exercisable.

Lessee's incremental borrowing rate. The rate that, at the inception of the lease, the lessee would have incurred to borrow, over a similar term, the cash necessary to purchase the leased property.

Manufacturer's or dealer's profit or loss. This profit or loss is the difference between the following two items: (1) the fair value of the property at the inception of the lease, and (2) the cost or carrying amount of the leased asset.

Minimum lease payments. These are the payments that are required to be paid by the lessee to the lessor over the life of the lease. Specifically, for a lease that contains a *bargain purchase option*, the minimum lease payments include (1) the minimum periodic payments required by the lease over the lease term, and (2) the payment required by the bargain purchase option. Otherwise, the minimum lease payments include (1) the minimum periodic payments plus (2) any guaranteed residual value, and (3) any payments on failure to renew or extend the lease. Executory costs are *not* included in minimum lease payments.

Periodic inventory system is the method of accounting for inventory in which the Inventories ledger account is used only at the end of an accounting period to reflect the value of the ending inventory of merchandise or manufactured products

Perpetual inventory system is the method of accounting for inventory in which the Inventories ledger account is debited for purchases of merchandise or the cost of goods manufactured and credited for the cost of goods sold

Reciprocal accounts are the Investment in Branch ledger account in the home office accounting records and the Home Office account in the branch accounting records; also, the Investment in Subsidiary Common Stock ledger account in the parent company's accounting records and the stockholders' equity accounts in the subsidiary's accounting records

Public enterprise is a wholly state owned organization established pursuant to proclamation no. 25/1992 to carry on for gain manufacturing, distribution, service rendering or other economic and related activities.

Unguaranteed residual value. The portion of the estimated residual value of the leased property that is not guaranteed by the lessee or by a third party unrelated to the lessor.

Unreimbursable cost. These costs may include commitments by the lessor to guarantee performance of the leased property that is more extensive than the typical product warranty, or to effectively protect the lessee from obsolescence of the leased property. However, estimating executory costs such as insurance, maintenance, and taxes to be paid by the lessor does not by itself constitute an important uncertainty.

**OROMIA PUBLIC SERVICE COLLEGE
ACCOUNTING AND PUBLIC FINANCE DEPARTMENT
DISTANCE TEACHING AND TRAINING**

**ADVANCED ACCOUNTING (ACCT. 421)
TUTOR MARKED ASSIGNMENT (TMA)**

General Instruction: Read the instructions in each part of the problems carefully and provide your answers accordingly.

Question 1

On January 2, 2010, Yale Corporation and Zola Corporation each invested Br.500,000 in an unincorporated joint venture, Y-Z Company, the income or losses of which were to be shared equally. On December 31, 2010, financial statements of Y-Z Company showed total revenue, Br.800,000; total costs and expenses, Br.800,000; total costs and expenses, Br.600,000; total current assets, Br.600,000; net plant assets, Br.1,500,000; total current liabilities, Br.300,000; total long-term debt, Br.600,000; and total venturers' capital, Br.1,200,000. Neither venturer had drawings during 2010.

Instructions:

- a. Prepare journal entries for Yale Corporation for the year ended December 31, 2010, to record its investment in Y-Z Company under the equity method of accounting.
- b. Prepare an additional journal entry for Yale Corporation on December 31, 2010, to complete the journal entries (together with those in a) required for the investment in Y-Z Company under the proportionate share method of accounting.

Question 2

Awash Company's home office bills shipments of merchandise to its South Branch at 140% of home office cost. During the first year after the branch was opened, the following were among the transactions and events completed:

- a. The home office shipped merchandise with a home office cost of Br.110,000 to South Branch.
- b. South Branch sold for Br.80,000 cash merchandise that was billed by the home office at Br.70,000, and incurred operating expenses of Br.16,500 (all paid in cash).
- c. The physical inventories taken by South Branch at the end of the first year were Br.84,000 at billed prices from the home office.

Instructions:

1. Assuming that the perpetual inventory system is used both by the home office and by South Branch, prepare for the first year.

- A. All journal entries, including closing entries, in the accounting records of South Branch of Awash Company.
- B. All journal entries, including the adjustment of the Inventories Overvaluation account, in the accounting records of the home office of Awash Company.
2. Assuming that the periodic inventory system is used both by the home office and by South Branch, prepare for the first year:
 - A. All journal entries, including closing entries, in the accounting records of South Branch of Awash Company.
 - B. All journal entries, including the adjustment of the Inventories Overvaluation account, in the accounting records of the home office of Awash Company.
3. The eliminating entries needed at year end, to remove the effects of the inventory transfer in preparing financial statements for Awash Company under the:
 - A. Perpetual inventory system
 - B. Periodic inventory system

Question 3

On January 1, 1992 the Hadad Company entered into a consignment agreement with the Trinidad Company. The agreement specifies that the consignee (Trinidad) is to sell the merchandise at a price of 30% above cost. Trinidad is required to pay Hadad the net sales price within 15 days of each sale to a third party. The net sales price is defined as the sales price, less any advertising costs incurred by Trinidad, and less a commission of 10% deducted from the sales price less the advertising costs. Hadad pays any costs incurred in shipping the merchandise to Trinidad.

In 1992, Hadad shipped merchandise costing Br.320,000 to Trinidad, and incurred delivery costs of Br.8,000. During the year (through December 15), Trinidad made sales of Br.195,000 and incurred advertising costs of Br.15,000, and paid the required amount to Hadad. On December 31, 1992 Hadad phoned Trinidad and was told that additional sales of Br.39,000 had been made, and advertising costs of Br.3,000 incurred, since December 15. (Record this information in separate journal entries.)

Instructions:

1. Prepare the journal entries for the Hadad Company.
2. What amount, and in what category, would Hadad Company report on its balance sheet on December 31, 1992?
3. Prepare the journal entries for the Trinidad Company.
4. What amount related to the consignment activities, and in what category, would the Trinidad Company report on its balance sheet on December 31, 1992?

Question 4

Ethio International is a Multinational Company incorporated in Ethiopia, engaged in transactions with international suppliers and customers. The business has undertaken the following transactions during the year 2005:

December 1, 2005. Purchased a machine costing USD 105,000 from a US supplier to be paid for on January 1, 2005.

December 1, 2005. Ethio issued USD 105,000, 12%, 60-day note to the US supplier to replace the accounts payable.

January 31, 2006. Paid the amount due on the note issued on January 1, 2005.

Ethio International and the US Supplier prepare financial statements monthly.

Exchange rate information is provided below:

	<u>Buying Spot rate</u>	<u>Selling Spot rate</u>
December 1, 2005.....	1 USD = ETB 8.560	1 USD = ETB 8.571
December 31, 2005.....	1 USD = ETB 8.570	1 USD = ETB 8.572
January 31, 2006.....	1 USD = ETB 8.550	1 USD = ETB 8.660

Instructions: Prepare the journal entries for the foregoing transactions on the books of Ethio Corporation.

Question 5

The home office of Awash Company bills Dire Branch at 25% above home office cost for all merchandise shipped to the branch. During January, 2002, the home office shipped merchandise to the branch at a billed price of Br24,000. The branch inventories on January 1 and January 31, 2002, were as follows:

	Jan. 1	Jan. 31
Merchandise received from home office (at billed prices)	Br27,600	Br32,000
Merchandise purchased from outsiders	<u>12,400</u>	<u>12,000</u>
Total branch inventories	<u>Br40,000</u>	<u>Br44,000</u>

The home office uses the periodic inventory system.

Instruction

Prepare all journal entries (including adjustments) in the accounting records of the home office for January, 2002 to record the foregoing information.

Question 6

The Investment in South Branch ledger account of the home office of Mainland Company and the Home Office account of the branch for the month of January, 2002, are below:

Investment in South Branch

Balance, Jan. 1	61,000	Cash received	
Shipment of merchandise	6,200	from branch Collection of	4,500
Expenses allocated to branch	1,150	branch note receivable	
			2,000

Home Office

Cash remitted to home office	4,500	Balance, Jan. 1 Shipment of merchandise	61,000
Merchandise returned to home office	195	Collection of home office trade account receivable	6,200
			180

Instruction

- a. Prepare the reconciliation for home office and branch reciprocal accounts.
- b. Prepare a single journal entry for both the home office and the branch to bring each set of accounting records up to date (assume that both use the perpetual inventory system).

Question 7

On January 1, 2005, Golf Tee Inc. will acquire a vehicle from a car dealership for Br50,000. The dealership offers to lease the vehicle to Golf Tee Inc. for five years with payments of Br12,462 due on December 31 of each year. The expected resale value of the car after five years is Br0, and the borrowing rate for Golf Tee Inc. is 12%.

1. By simply examining the terms, do you believe this lease qualifies as a capital lease or an operating lease? Explain.
2. What borrowing rate is the car dealership charging Golf Tee Inc.? Is it 10%, 12%, or 14%? Explain.
3. Assuming the borrowing rate is 12%, and assuming the lease qualifies as an operating lease, provide the journal entrees for Golf Tee Inc. for the first two years of the lease.
4. Assuming the borrowing rate is 12% and assuming the lease qualifies as a capital lease, provide the journal entries for Golf Tee Inc. for the first two years of the lease.

Question 8

Hayat Corp. is a manufacturer of truck trailers. On January 1, 2011, Hayat Corp. leases ten trailers to Guder Company under a six-year noncancelable lease agreement. The following information about the lease and the trailers is provided:

1. Equal annual payments that are due on December 31 each year provide Hayat Corp. with an 8% return on net investment (present value factor for 6 periods at 8% is 4.62288).
2. Titles to the trailers pass to Guder at the end of the lease.
3. The fair value of each trailer is Br50,000. The cost of each trailer to Hayat Corp. is Br45,000. Each trailer has an expected useful life of nine years.
4. Collectibility of the lease payments is reasonably predictable and there are no important uncertainties surrounding the amount of costs yet to be incurred by Hayat Corp.

Instructions

- (a) What type of lease is this for the lessor? Discuss.
- (b) Calculate the annual lease payment. (Round to nearest birr.)
- (c) Prepare a lease amortization schedule for Hayat Corp. for the first three years.
- (d) Prepare the journal entries for the lessor for 2011 and 2012 to record the lease agreement, the receipt of the lease rentals, and the recognition of income (assume the use of a perpetual inventory method and round all amounts to the nearest birr).

Tutor Marked Assignment (TMA)
Answer Key

Solution -Question 1**A. Equity Method**

1. Recognition of investments on books of Yale Corporation
Investment in YZ Company.....500,000
Cash.....500,000
2. Recognition of income from investment.
Investment in YZ Company.....100,000
Investment Income.....100,000

B. Proportionate Consolidation Method

- Costs & expenses.....300,000
Investment income.....100,000
Revenues.....400,000
Current assets.....300,000
Plant assets.....750,000
Current liabilities.....150,000
Long-term debt.....300,000
Investment in YZ Company.....600,000

Solution -Question 2**I. Perpetual Inventory System****a. Books of South Branch**

1	To record merchandise received from home office:		
	Inventories	154,000	
	Home Office		154,000
2.1	To record sales, cost of goods sold, and operating expenses:		
	Cash	80,000	
	Cost of Goods Sold	70,000	
	Operating Expenses	16,500	
	Sales		80,000
	Inventories		70,000
	Cash		16,500
2.2	To close revenue and expense ledger accounts.		
	Sales	80,000	
	Income Summary	6,500	
	Cost of Goods Sold		70,000
	Operating Expenses		16,500
2.3	To close net loss for year.		
	Home Office	6,500	
	Income Summary		6,500

b. Books of Home Office

1	To record merchandise shipped to South Branch, billed at 40% above cost.		
	Investment in South Branch	154,000	
	Inventories		110,000
	Allowance for Overvaluation of Inventories: South Branch		44,000
2	To record net loss for year reported by South Branch.		
	Income: South Branch	6,500	
	Investment in South Branch		6,500
3	To reduce allowance to amount by which ending inventories exceed cost		
	Allowance for Overvaluation of Inventories: South Branch	20,440	
	Realized Gross Profit: South Branch Sales		20,440
4	To close branch net loss and realized gross profit account.		
	Realized Gross Profit: South Branch Sales	18,900	
	Income Summary		12,400
	Income: South Branch		6,500

II. Periodic Inventory System**a. Books of South Branch**

1	To record merchandise received from home office:		
	Shipments from Home Office	154,000	
	Home Office		154,000
2	To record sales and operating expenses:		
	Cash	80,000	
	Operating Expenses	16,500	
	Cash		16,500
	Sales		80,000
3	To record ending inventories and to close revenue and expense accounts.		
	Sales	80,000	
	Inventories (end of first year)	84,000	
	Income Summary	6,500	
	Shipments from Home Office		154,000
	Operating Expenses		16,500
4	To close net loss for year.		
	Home Office	6,500	
	Income Summary		6,500

b. Books of Home Office

1	To record merchandise shipped to South Branch, billed at 40% above cost.		
	Investment in South Branch	154,000	
	Shipments to Branch		110,000
	Allowance for Overvaluation of Inventories: South Branch		44,000
2	To record net loss for year reported by South Branch.		
	Income: South Branch	6,500	

	Investment in South Branch		6,500
3	To reduce allowance to amount by which ending inventories exceed cost		
	Allowance for Overvaluation of Inventories: South Branch	20,440	
	Realized Gross Profit: South Branch Sales		20,440
4	To close branch net loss and realized gross profit account.		
	Realized Gross Profit: South Branch Sales	18,900	
	Income Summary		12,400
	Income: South Branch		6,500

III. Eliminating entries in journal entry form

a	Perpetual Inventory System		
	Allowance for Overvaluation of Inventories-South Branch	44,000	
	Cost of Goods Sold		20,000
	Inventories		24,000
b	Periodic Inventory System		
	Shipments to Branch	110,000	
	Allowance for Overvaluation of Inventories-South Branch	44,000	
	Shipments from Home Office		154,000
	Inventories- Income statement	24,000	
	Inventories- Balance sheet		24,000

Solution -Question 3

1. Journal entries

- a. Consignment-out 308,000

Inventory	300,000
Cash	8,000
 - b. Cash 162,000

Advertising Expense	15,000
Sales Commissions Expense (195,000 - 15,000) x 0.10	18,000
Sales	195,000
 - c. Cost of Goods Sold [195,000 ÷ (1 + 0.30)] 150,000

Delivery Expense (150,000 ÷ 300,000) x 8,000	4,000
Consignment-out	154,000
 - d. Accounts Receivable 32,400

Advertising Expense	3,000
Sales Commissions Expense (39,000 - 3,000) x 0.10	3,600
Sales	39,000
 - e. Cost of Goods Sold [39,000 ÷ (1 + 0.30)] 30,000

Delivery Expense (30,000 ÷ 300,000) x 8,000	800
Consignment-out	30,800
2. The company would include a current asset, Consignment Inventory, of Br123,200 (308,000 - 154,000 - 30,800) on its balance sheet, as well as the Accounts Receivable of Br32,400.
3. Journal entries
- a. Memorandum Entry: Merchandise costing Br300,000 was received from the Hadad Company on consignment.
 - b. Consignment-in 15,000

	Cash		15,000
c.	Cash	195,000	
	Consignment-in		195,000
d.	Consignment-in $[(195,000 - 15,000) \times 0.10]$		18,000
	Commissions revenue		18,000
e.	Consignment-in $(195,000 - 15,000 - 18,000)$	162,000	
	Cash		162,000
f.	Consignment-in	3,000	
	Cash		3,000
g.	Cash	39,000	
	Consignment-in		39,000
	Consignment-in $[(39,000 - 3,000) \times 0.10]$		3,600
	Commissions Earned		3,600
4.	The company would include a current liability, Consignment Obligation, of Br32,400 on its balance sheet.		

Solution -Question 4

Dec. 1	Machinery $(105,000 \times 8.571)$	899,955	
	Accounts Payable		899,955
	Accounts Payable	899,955	
	Notes Payable		899,955
Dec. 31	Interest expense $(105,000 \times 0.12 \times 30 / 360 \times 8.572)$	9000.6	
	Foreign Currency Transaction Losses	105	
	Interest payable		9000.6
	Notes payable		105
Jan.31	Foreign Currency Transaction Losses	9,332.4	
	Notes payable	900,060	
	Interest expense $(105,000 \times 0.12 \times 30 / 360 \times 8.66)$	9,093	
	Interest payable	9,000.6	
	Cash $(107,100 \times 8.660)$		927,486

Solution -Question 5

Awash Company Home Office

Journal Entries

2002	Investment in Dire Branch	24,000	
	Shipments to Dire Branch		19,200
	Allowance for Overvaluation of Inventories: Dire Branch		4,800
	To record shipments to branch at 25% above home office cost.		
	Allowance for Overvaluation of Inventories: Dire Branch	3,920	
	Realized Gross Profit: Dire Branch Sales		3,920
	To reduce allowance amount by which ending inventories		

	exceed home office cost.		
	Billed		
	price Cost Markup*		
	Beginning inventories Br27,600 Br22,080 Br 5,520		
	Add: Shipments from home office <u>24,000</u> <u>19,200</u> <u>4,800</u>		
	Available for sale Br51,600 Br41,280 Br10,320		
	Less: Ending inventories <u>(32,000)</u> <u>(25,600)</u> <u>(6,400)</u>		
	Cost of goods sold <u>Br19,600</u> <u>Br15,680</u> <u>Br 3,920</u>		
*A markup of 25% on cost is equal to a markup of 20% on billed price.			

Solution -Question 6

a.

	Investment in South Branch ledger account (in home office accounting records)	Home Office ledger account (in branch accounting records)
Balances prior to adjustment	\$61,850	\$62,685
Add: Collection of home office trade account receivable by branch	180	
Expenses allocated to branch by home office		1,150
Less: Merchandise returned to home office by branch	(195)	
Collection of branch note receivable by home office	<u> </u>	<u>(2,000)</u>
Adjusted balances	<u>\$61,835</u>	<u>\$61,835</u>

b. **Mainland Company Home Office**

Journal Entry

2002			
Jan. 31	Inventories	195	
	Trade Accounts Receivable		180
	Investment in South Branch		15

South Branch

Journal Entry			
2002			
Jan. 31	Operating Expenses	1,150	
	Home Office	850	
	Notes Receivable		2,000

Solution -Question 7

- Capital Lease, because “the expected resale value of the car after five year is Br0”, which means that the useful life of the car is five years Golf Tee Inc. leases the whole useful life of the car.
- Answer 1) 12%. It is the borrowing rate for Golf Tee Inc. If the car dealership charges more than 12%, then Golf Tee can go borrow the money from its bank and purchase the car. Therefore, 12% is the highest rate the car dealership can charge Golf Tee.
Answer 2) 8%. Since Golf Tee leases five years out of the five years useful life of the car, the market value of the car has to be equal to the present value of the lease payments.

$$50,000 = \text{Br}12,462 * \text{PVOA}(r, 5 \text{ periods})$$

$$\text{PVOA}(r, 5 \text{ periods}) = 4.0122$$

$$r = 8\% \text{ (approximately)}$$

- | | | | |
|-----------------------|--------------|----------|----------|
| 12/31/: | Rent Expense | Br12,462 | |
| | Cash | | Br12,462 |
| 2 nd year: | Rent Expense | Br12,462 | |
| | Cash | | Br12,462 |

- PV of lease payments = $\text{Br}12,462 * \text{PVOA}(12\%, 5) = \text{Br}12,462 * 3.60478 = \text{Br}44,922.77$

1/1/2005:	Leased Assets	44,922.77	
	Lease Obligation		44,922.77
12/31/2005:	Interest Expense ($44922.77 * 12\%$)	5,391	
	Lease Obligation ($12,462 - 5391$)	7,071	
	Cash		12,462
	Depreciation Expense ($44,922.77 / 5$)	8,984.5	
	Accumulated Depreciation		8,984.5
12/31/2006:	Interest Expense ($((44922.77 - 7,071) * 12\%)$)	4,542	
	Lease Obligation ($12,462 - 4,542$)	7,920	
	Cash		12,462
	Depreciation Expense	8,984.5	
	Accumulated Depreciation		8,984.5

Solution-Question 8

- It is a sales-type lease to the lessor, Hayes Corp. Hayes's (the manufacturer) profit upon sale is Br50,000, which is recognized in the year of sale (2011). It is not an operating lease because title to the assets passes to the lessee, the present value (Br500,000) of the minimum lease payments equals or exceeds 90% (Br450,000) of the fair value of the leased trailers, collectibility is reasonably assured, and no important uncertainties surround the amount of

unreimbursable costs yet to be incurred by the lessor. The remaining accounting treatment is similar to that accorded a direct-financing lease.

(b) $(\text{Br}50,000 \times 10) \div 4.62288 = \text{Br}108,158$.

(c) Lease Amortization Schedule (Lessor)

<u>Date</u>	<u>Annual Lease Rental</u>	<u>Interest on Lease Receivable</u>	<u>Lease Receivable Recovery</u>	<u>Lease Receivable</u>
1/1/11				Br500,000
12/31/11	Br108,158	Br40,000	Br68,158	431,842
12/31/12	108,158	34,547	73,611	358,231
12/31/13	108,158	28,658	79,500	278,731

(d)

January 1, 2011			
Lease Receivable.....	500,000		
Cost of Goods Sold.....	450,000		
Sales Revenue.....			500,000
Inventory.....			450,000
December 31, 2011			
Cash.....	108,158		
Lease Receivable.....			68,158
Interest Revenue.....			40,000
December 31, 2012			
Cash.....	108,158		
Lease Receivable.....			73,611
Interest Revenue.....			34,547

SUMMARY OR EDITING

The material is well prepared and contains all the contents to be covered by the course including relevant examples and excursions. Beside these qualities the following should be considered.

- 1) The heading of the module should be titled including the appropriate course code
- 2) The header should be uniform through out the module and should be titled as, 'Public service college of oromia: Accounting & public finance department'
- 3) The chapter content should be forwarded after the chapter introduction and chapter objective to make the module is similar with other modules of the college
- 4) It could be better if additional objective type questions are added in each chapter
- 5) The reports should be formatted uniform so that the module be attractive for distance learners
- 6) There should be a table of content for all the module
- 7) It could also has the mark of the college